OECD

OECD ECONOMIC SURVEYS

1998

SPECIAL FEATURES
Structural policies
Health care reform

NORWAY

© OCDE, 1998
© Logiciel, 1987-1996, Acrobat, marque déposée d'ADOBE.
Tous droits du producteur et du propriétaire de ce produit sont réservés. L'OCDE autorise la reproduction d'un seul exemplaire de ce programme pour usage personnel et non commercial uniquement. Sauf autorisation, la duplication, la location, le prêt, l'utilisation de ce produit pour exécution publique sont interdits. Ce programme, les données y afférant et d'autres éléments doivent donc être traités comme toute autre documentation sur laquelle s'exerce la protection par le droit d'auteur.
Les demandes sont à adresser au :
Chef du Service des Publications, Service des Publications de l'OCDE, 2, rue André-Pascal,
75775 Paris Cedex 16, France

OECD ECONOMIC SURVEYS

1997-1998

NORWAY

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

Pursuant to Article 1 of the Convention signed in Paris on 14th December 1960, and which came into force on 30th September 1961, the Organisation for Economic Co-operation and Development (OECD) shall promote policies designed:

- to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;
- to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development; and
- to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.

The original Member countries of the OECD are Austria, Belgium, Canada, Denmark, France, Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States. The following countries became Members subsequently through accession at the dates indicated hereafter: Japan (28th April 1964), Finland (28th January 1969), Australia (7th June 1971), New Zealand (29th May 1973), Mexico (18th May 1994), the Czech Republic (21st December 1995), Hungary (7th May 1996), Poland (22nd November 1996) and the Republic of Korea (12th December 1996). The Commission of the European Communities takes part in the work of the OECD (Article 13 of the OECD Convention).

Publié également en français.

© OECD 1998
Permission to reproduce a portion of this work for non-commercial purposes or classroom use should be obtained through the Centre français d'exploitation du droit de copie (CFC), 20, rue des Grands-Augustins, 75006 Paris, France, Tel. (33-1) 44 07 47 70, Fax (33-1) 46 34 67 19, for every country except the United States. In the United States permission should be obtained through the Copyright Clearance Center, Customer Service, (508)750-8400, 222 Rosewood Drive, Danvers, MA 01923 USA, or CCC Online: http://www.copyright.com/. All other applications for permission to reproduce or translate all or part of this book should be made to OECD Publications, 2, rue André-Pascal, 75775 Paris Cedex 16, France.

Table of contents

Assessment and recommendations 1

I. Recent developments and short-term prospects 11

A booming economy 11
Still moderate wages and low inflation 24
High current account surplus 27
Short-term outlook 29

II. Macroeconomic policies 33

The general policy framework 34
Monetary management 35
The fiscal stance 42
A longer-term perspective 48

III. Implementing structural reform: a review of progress 55

The labour market 55
Product markets 64
Financial services 68

IV. The health care system 73

Main features of the system 74
Problems with the system 85
Reforming the system 96

Notes 103

Glossary of acronyms 107

Bibliography 108

Annex

Calendar of main economic events 110

Statistical annex and structural indicators 115

Boxes

1. Estimated effects of an acceleration in wages and consumption 32
2. The 1997 Budget reform 49

Tables

Text

1. Demand and output 12
2. Household appropriation account 16
3. Labour market developments 20
4. Net inflow into the labour force 24
5. Prices, wages and costs 26
6. Short-term projections 30
7. Effects of a wage and consumption impulse 32
8. Money and credit 42
9. Fiscal balance: projections and outcomes 43
10. Public finances by government level 47
11. Budget procedures: sequencing of events 50
12. Baseline scenario in the Long-Term Programme 52
13. Implementing the OECD Jobs Strategy – an overview 57
14. Number of persons in active labour market programmes 61
15. Banks' operating results 70
16. Features of Norwegian banks 70
17. Health care expenditure by government level 75
18. Health care provision by government level 76
19. Structure of hospital services 78
20. Financing of hospital services 80

Statistical annex and structural indicators

A. Selected background statistics 116
B. Supply and use of resources 117
C. Gross domestic product by origin, current prices 118
D. Gross domestic product by origin, constant prices 119
E. General government income and expenditure 120
F. Labour market 121
G. Balance of payments 122
H. Foreign trade by area 123
I. Prices and wages 124
J. Money and credit 125
K. Production and employment structures 126
L. Productivity and investment structure 127
M. Labour market indicators 128
N. Public sector, general government income and expenditure structures 129

Figures

Text

1. Growth performance 13
2. Export performance and cost competitiveness 15
3. Household spending 17
4. Mainland business investment 19
5. The labour market 21
6. International comparison of employment structure and growth 23
7. Wage and price developments 25
8. Comparison of real compensation per employee during two recoveries 27
9. External position 28
10. Exchange rate behaviour and official reserves 37
11. Interest rate developments 38
12. Index of monetary conditions 39
13. Money and credit 41

14. Central government budget balance 44
15. Long-run scenarios 53
16. Working age population by labour market status 56
17. Health expenditure in OECD countries 74
18. Hospitals and health regions 77
19. International comparison of health outcomes 84
20. Growth in health spending by category 85
21. Health expenditure and GDP per capita 86
22. Population aged 75 and over 87
23. Labour resources in health care 88
24. Patients' evaluation of hospital treatment 89
25. Share of hospitals at different cost-efficiency levels 91
26. Employment and vacancies of physicians in general hospitals 92
27. Public revenues and somatic health care expenditure by county 92

BASIC STATISTICS OF NORWAY (1996)

THE LAND

Area (1 000 km^2):	
Total	385.4
Mainland	323.8
Agricultural	10.3
Productive forests	72.7

Major cities (thousand inhabitants, 1.1.97):	
Oslo	494.8
Bergen	224.3
Trondheim	144.7

THE PEOPLE

Population (thousands, 1.1.97)	4 392.7
Number of inhabitants per km^2	11.4
Net natural increase (thousands)	17.1
Net migration (thousands, 1995)	6.4

Total labour force (thousands)	2 248.0
Civilian employment (thousands)	2 125.0
As a per cent of total:	
Agriculture, forestry and fishing	4.7
Industry and construction	23.4
Services	71.9

PRODUCTION

Gross domestic product (NKr billion)	1 017.8
Gross domestic product per head (US$)	36 069

Gross fixed capital investment:	
Per cent of GDP	20.5
Per head (US$)	7 384

THE GOVERNMENT

Public consumption (per cent of GDP)	19.8
General government (per cent of GDP):	
Current and capital expenditure	44.6
Current revenue	50.5

Composition of Parliament (number of seats):	
Labour	65
Progress	25
Christian Democrats	25
Conservatives	23
Centre	11
Socialist Left	9
Other	7
Total	165

Last general elections: 15.9.97
Next general elections: 2001

FOREIGN TRADE

Exports of goods and services (per cent of GDP)	40.5
of which: Gross freight and oil drilling	15.5
Main commodity exports (per cent of total):	
Forestry products	3.6
Fish and fish products	6.7
Base metals and products	10.3
Machinery and transport equipment (excluding ships)	8.8

Imports of goods and services (per cent of GDP)	31.4
Main commodity imports (per cent of total):	
Ships	2.7
Raw materials (including fuel and chemicals)	13.9
Base metals and products	9.4
Machinery and transport equipment (excluding ships)	35.2

THE CURRENCY

Monetary unit: Krone

Currency units per US$, average of daily figures:	
Year 1997	7.10
December 1997	7.25

Note: An international comparison of certain basic statistics is given in an Annex table.

This Survey is based on the Secretariat's study prepared for the annual review of Norway by the Economic and Development Review Committee on 12 January 1998.

•

After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 23 January 1998.

•

The previous Survey of Norway was issued in March 1997.

Assessment and recommendations

The economic expansion is entering its fifth year...

Since the start of the recovery in 1993, the Norwegian economy has expanded at more than twice the rate recorded for the OECD area at large. Although overall GDP growth (mainland and offshore) eased to 4 per cent in 1997, reflecting a pause in petroleum exports at the beginning of the year, there are as yet few, if any, signs of a cyclical slowdown. Mainland GDP (*i.e.* excluding shipping, oil and gas activities) continued to expand at 3½ per cent in 1997, with the current upswing being more broadly based than the mid-1980s boom: exports of mainland industries have been buoyant, underpinned by sustained international cost-competitiveness and successful marketing efforts of Norwegian exporters. Moreover, easy monetary conditions, sound private sector balance sheets and healthy public finances – due to the rising petroleum proceeds – have served to buoy domestic demand, comprising strong consumer spending, vigorous mainland business capital formation and sharp increases in housing investment. In addition, public infrastructure and petroleum extraction facilities have been expanded, also providing impetus to economic growth.

... having achieved robust job creation and maintained subdued inflation

The economic expansion has propelled employment to almost 80 per cent of the working-age population in 1997 – the highest such ratio in the OECD area. The bulk of the 10 per cent rise in employment over the past four years has occurred in the business sector. However, the

government also contributed significantly to job creation, reflecting *inter alia* the expansion of Norway's public health care and education systems. The brisk employment growth has been largely accommodated by a massive inflow of new workers into the labour market, lessening the decline in the unemployment rate – which fell by 2½ percentage points from its 1993 peak, to 4 per cent in late-1997. Nevertheless, wages continued on a moderate trend, rising by 4 per cent in 1997, based on a centralised pay deal in the spring. Combined with moderate import price rises, this helped to keep consumer price inflation subdued, although it edged up to 2½ per cent in 1997 due to incidental factors. There are, however, signs that the labour market is tightening, as reflected in the recent sharp rise in the ratio of vacancies to unemployment and growing shortages of skilled labour, notably in the areas of health care, education, construction and information technology.

But with the economy operating at full capacity and wage pressure building up...

The Secretariat projects overall GDP growth to peak at 4¾ per cent in 1998, before declining to 3½ per cent in 1999 as the growth of oil output levels off. Based on the assumption that interest rates remain low and the exchange rate stable, private consumption and non-oil exports should continue to expand, while fixed investment is projected to lose momentum with the completion of major projects on the mainland and on the Norwegian continental shelf. Accordingly, mainland GDP growth is expected to edge down to 2¾ per cent by 1999, with the unemployment rate projected to reach 3¼ per cent as employment growth normalises. Assuming a modest outcome in the spring 1998 pay round, wage and price inflation are projected to rise moderately, not to exceed 5 and 3 per cent, respectively. However, with the ongoing widening of the inverted output gap and the reduced scope for further rises in labour supply, wage drift may become more difficult to control as

employers compete for scarce labour resources, thereby raising the risk of higher inflation. Indeed, underlying inflation, (which adjusts for indirect taxes and electricity prices) is, in fact, already creeping up.

... the present policy framework faces a serious challenge...

The commendable performance of the Norwegian economy in the recent past – in terms of employment, inflation and export performance – owes much to the policy framework agreed upon by the government and the social partners in 1993. This framework, known as the ''Solidarity Alternative'', aims to arrest the decline in mainland industry, which has been associated with the real appreciation of the currency in past decades. To this end, the guidelines on monetary policy provided by the government to the central bank in May 1994 were to stabilise the krone exchange rate *vis-à-vis* European currencies within the range observed since the currency was left to float in late-1992. In turn, the social partners pledged to keep wages in check, while the role of fiscal policy was to manage the level of aggregate demand so as to keep it at or near potential output. However, with the economy now operating beyond trend capacity this policy framework is coming under increasing strain.

... requiring the optimal use of available policy instruments

Indeed, while the Solidarity Alternative framework has served the country well to pull the economy out of protracted stagnation and restore full employment, under current conditions it seems set to face increasing difficulties in forestalling a rise in the rate of inflation. In principle economic policy has at its disposal various instruments to respond to the incipient inflationary pressure: both fiscal and monetary policy could be used to curtail aggregate demand so it would not exceed levels consistent with low inflation, while incomes policies – when accompanied by appropriate macroeconomic policies – can help to prevent cost-push inflation. Over time, inflationary pressures can

also be reduced by using structural policies to raise potential output. It is important to note that these various policy instruments are not mutually exclusive, and that typically an optimal policy mix requires their simultaneous interdependent application. The requirement to maintain stability of the nominal exchange rate greatly reduces the ability to use monetary policy for the purpose of active demand management.

As long as monetary conditions remain easy...

In fact, the stable exchange rate regime underpinning the current policy framework has already led to very easy monetary conditions in order to offset the upward pressure on the value of the krone, with short-term interest rates having been reduced to below 4 per cent since late 1996. As a result, the interest rate differential with respect to equivalent ECU rates has turned negative. The yield gap between long-term and short-term interest rates in Norway has widened, confirming the easing in the stance of monetary policy. Meanwhile, bank credit and money aggregates have expanded rapidly, and asset values – especially stocks and real estate – have soared. These developments further stimulate aggregate demand, exposing the economy to the risk of overheating and of a boom-bust cycle in asset markets.

... more fiscal restraint may be required

With slack in the economy having disappeared and interest rates having been reduced to fend off upward pressure on the exchange rate, the task of preventing the economy from overheating falls squarely on fiscal policy and incomes policy. Fiscal restraint and surging petroleum revenues have boosted the general government surplus from ½ per cent of GDP in 1994 to 7¼ per cent in 1997, substantially exceeding initial budget estimates. However, the restrictive impact of fiscal policy on demand growth has declined from 2 per cent of mainland GDP in 1994 to ½ per cent in

1997, partly reflecting the rise in expenditure levels from initial budget targets. Although the 1998 budget implies a further increase in the general government surplus, to 8 per cent of GDP, the restrictive fiscal impact is estimated to amount only to ¼ per cent of mainland GDP; with demand expanding beyond trend capacity, this fiscal policy stance risks being insufficient in the context of the prevailing policy framework, and the government should stand ready to tighten it.

Monetary policy should make full use of the flexibility available to improve the policy mix

The current monetary policy framework does not impose rigid stability of the nominal exchange rate with respect to the reference currencies, but leaves some room to the Central Bank to respond flexibly to exchange market pressures. It is important that the Central Bank use fully the existing room for discretion provided by the monetary policy guidelines, in order to complement the efforts by fiscal and incomes policies to keep inflation under control. These guidelines are considered by the Norwegian government to be an essential element of the consensus approach to economic management, which social partners and the government are determined to preserve. Thus, within the framework which Norway has adopted, there is limited flexibility in the conduct of monetary policy. While maintenance of the consensus approach is highly desirable, it is important to ensure that there is sufficient flexibility in such a consensus to make possible an appropriate policy mix which sustains high employment and low inflation.

Structural policies have made some progress...

In this context it is important to emphasise that structural reform also serves to increase the scope for non-inflationary economic growth by raising efficiency and thus potential output. Similar to other OECD countries, the Norwegian government has made significant efforts to open up domestic product and financial markets to foreign competition in

recent years – most prominently by joining the EEA and WTO and complying with the resulting obligations. In particular, markets for utilities and transportation services have been further deregulated, while privatisation of state-owned commercial banks has continued. Concerning the labour market, various income replacement programmes, including unemployment insurance and assistance for single parents, have been modified by introducing time limits on benefit entitlements in order to strengthen work incentives. Nevertheless, even after exhaustion of these income replacements, the Norwegian welfare system provides generous income support.

... but more remains to be done

Although there has been progress in structural reform, considerable scope for further action remains. In particular, the very high support to the agricultural sector should be scaled down in order to reduce the burden of inefficiencies and income transfers on consumers and tax payers. In the same spirit, the heavy state involvement in mainland industries should be reconsidered, its implications for efficiency carefully analysed, and opportunities for privatisation of commercial assets explored. Such efforts have been made in the banking sector and should continue. In order to secure the proper application of competition laws, an independent appellate body with the power to impose fines or sanctions should be formed to resolve litigation initiated by the Competition Authority. And further reforms of income replacement programmes are needed to strengthen work incentives. Moreover, the government should guard against pressure to impose measures serving to reduce labour supply and working hours.

Longer term concerns centre on the role of the Petroleum Fund and population ageing

Low growth in labour supply is likely to constrain economic growth in the long run due to the ageing of the population, despite a high retirement age by international standards. An additional concern is that the projected decline of petroleum production after the year 2000 will reduce the ability of public finances to meet rising claims on the public welfare system – notably in the areas of public pensions and health care. In order to smooth the transition to such a post-petroleum economy, the government some years ago created the Petroleum Fund, which aims at accumulating financial assets to meet these growing long-run obligations. With a view to minimising the impact of large oil exports on the real exchange rate and international competitiveness of the mainland economy, the fund's assets are being invested in foreign financial markets. To ensure a sufficient accumulation of assets to meet these objectives requires continued fiscal restraint in coming decades. Failure to do so would risk depleting the Fund long before the ageing of the population and the decline in oil revenues are projected to accelerate.

The public health care system provides high quality services...

One of the areas of government activity which will face increasing claims on resources in the years ahead is health care. To date, the public health care system in Norway has succeeded in securing universal provision, high quality and – despite the low and uneven population density – an equitable geographical distribution of services. Accordingly, the average health status of Norwegians is excellent, as reflected – *inter alia* – in their long life expectancy at birth, which ranks among the highest in the world. These positive results have been achieved at moderate resource costs: at 8 per cent, the share of GDP spent on health care in Norway is on par with the average for the OECD countries, despite an above average level of real per capita income and a more advanced ageing of the population.

While such moderate expenditure levels reflect the tight reins of government associated with the block-grant funding of health care, this funding system has, nevertheless, been associated with a number of problems.

... but there are bottlenecks and inefficiencies...

Most prominently, the absence of price signals as a rationing device of services – inherent in the block-grant funding system – has led to a less than optimal allocation of resources and delayed access to services. The existing rationing mechanisms, in addition to generating long waiting lists for treatment, have reduced patients' choice of hospitals. These problems have eroded popular support – including that of tax payers, patients and providers – for the system as currently managed. The introduction of patient guarantees for timely treatment in the late 1980s did not have the desired effect of reducing waiting lists due to a lack of financial incentives and instruments for legal enforcement. Similarly, the financial incentives for general practitioners to establish durable relationships with their patients have been weak, resulting in an under-supply of services in the more densely populated areas. Finally, the strict entry quotas in the retail market for pharmaceuticals have resulted in high profits in densely populated areas, too few outlets and limited opening hours.

... which current reforms aim to eliminate

Several reform proposals have recently been implemented or are being considered to address the above shortcomings. The basic thrust of these reforms is to introduce proper incentives for health service providers to raise efficiency. However, these measures do not include privatisation nor the systematic separation of the finance and provision of medical service – an approach increasingly favoured by other OECD Member countries. As from 1 July 1997, the funding system of hospitals has been changed, with the introduction of funding partially based on the actual

number of patients treated, their diagnosed medical conditions and standardised reimbursement per treatment, in order to strengthen the incentives for raising output at a given expenditure level. Similarly, a new funding system is currently being developed for financing primary care, with the grants per physician in private practice to be varied according to the number of enlisted patients and their age profile. These efforts are complemented with a review of the management practices of hospitals, and efforts to improve incentive based co-operation and service co-ordination at the regional level. In addition, a bill on hospital admission priorities and patients' rights is being prepared, to address the problem of excessively long waiting lists by allowing patients to seek treatment abroad, financed by the local health care authorities. These reforms should be enhanced by introducing more ambitious (best practice) standards for block-grant funding of hospitals to complement the activity-based reimbursement system. Moreover, where the reforms may entail justified reductions in resources, the government should avoid financially compensating the affected administrations, in order to ensure that health care spending remains under control. Finally, the easing of entry conditions for new suppliers in the retail market for medicines, as currently being considered by the government, should be promptly adopted.

Summing-up

In summary, the Norwegian economy has performed extraordinarily well in recent years, based on soaring petroleum exports, a stable exchange rate regime, a prudent fiscal policy stance, and a consensus based incomes policy. While the economy has reached full employment, inflation has so far remained low, facilitated by stable import prices and moderate wage increases. With the economic fundamentals very strong and labour supply increasingly acting as a constraint on economic growth, inflation risks taking

off unless restrictive macro-policies succeed in bringing aggregate demand growth into line with that of potential output. Responsible fiscal policy conduct has a key role to play in preventing excess demand from igniting an inflationary wage-price spiral, and whatever flexibility is at the disposal of the Central Bank in the conduct of monetary policy should be fully used to complement the efforts of the fiscal authorities and the social partners. The latter have a useful role to play in containing cost pressure. Indeed, fiscal restraint, wage moderation and structural reforms of labour, product and financial markets should help to reduce the degree of monetary tightness needed to ensure non-inflationary growth in the years to come.

I. Recent developments and short-term prospects

The Norwegian economy is entering the fifth year of rapid expansion, spurred by favourable balance sheet developments and easy monetary conditions. As a result, employment has surged, its ratio to the working-age population reaching an OECD record high and the unemployment rate falling below 4 per cent. While moderate wage agreements at home and stable import prices have so far kept inflation in check, asset prices are soaring, and the risk of economic overheating is growing. This chapter examines in more detail the main features of the current economic situation, followed by a discussion of the OECD Secretariat's economic projections for 1998-99.

A booming economy

The economic expansion which started in 1993 has been continuing unabated, with mainland GDP estimated to have grown by 3½ per cent in 1997 – roughly on a par with the average for the 1994-96 period (Table 1 and Figure 1, Panel A). The duration of the upturn has exceeded that of the mid-1980s boom, and for the sixth year in a row output growth on the Norwegian mainland has been above that of the European Union (Figure 1, Panel C). The composition of growth in the current upswing has been more balanced than during the 1980s expansion – with robust public and household demand complemented by buoyant mainland business capital formation and non-oil (''traditional'') exports. More recently, residential investment has begun a vigorous recovery from the prolonged slump, driven by rising housing prices and low interest rates. Investment in petroleum activities (platforms, pipelines, etc.) and public investment (health care, education and airport facilities) have also provided exceptionally strong demand support in 1997. The growth of overall GDP (mainland and

Table 1. **Demand and output**

Percentage changes from previous period, seasonally adjusted annual rates, volumes

	1994 current prices NKr billion	1995	1996	1997[1]	1996 2nd half	1997 1st half	1997[1] 2nd half
Private consumption	433.1	2.7	4.7	3.3	4.3	2.8	3.3
Government consumption	186.6	1.0	3.3	2.0	4.1	0.4	3.1
Gross fixed capital formation	179.4	3.7	4.8	10.6	14.7	20.9	–14.1
of which:							
Public sector	27.8	1.6	4.8	11.4	4.6	54.7	–68.4
Petroleum production and pipeline transport	54.2	–13.8	–4.4	25.4	12.6	21.9	45.2
Residential	22.7	13.0	–6.0	10.0	1.1	12.4	14.1
Other private[2]	74.7	14.2	12.9	3.9	22.6	2.4	–11.8
Stockbuilding[3]	14.5	1.6	–0.5	–0.1	–0.3	–0.1	0.1
Total domestic demand	813.5	4.2	3.7	4.4	5.7	5.9	0.1
Exports of goods and services	333.2	3.1	10.0	5.9	6.4	2.7	11.8
of which:							
Traditional goods	128.6	4.2	10.3	..	1.1	11.0	..
Petroleum	106.4	8.1	15.5	4.7	9.4	–0.5	10.4
Ships and platforms	10.6	1.8	–19.7	..	–24.0	–24.2	..
Services	87.6	–2.8	5.3	..	14.0	–2.3	..
Imports of goods and services	279.2	5.5	6.5	7.9	13.4	9.5	–0.8
Foreign balance[3]	54.0	–0.3	1.9	–0.1	–0.8	–1.0	2.4
GDP	867.6	3.6	5.3	4.0	3.6	3.4	5.6
of which: Mainland	736.4	3.1	3.7	3.6	2.5	3.9	4.1

1. OECD Secretariat estimates.
2. Including shipping and oil drilling.
3. Contribution to GDP growth.

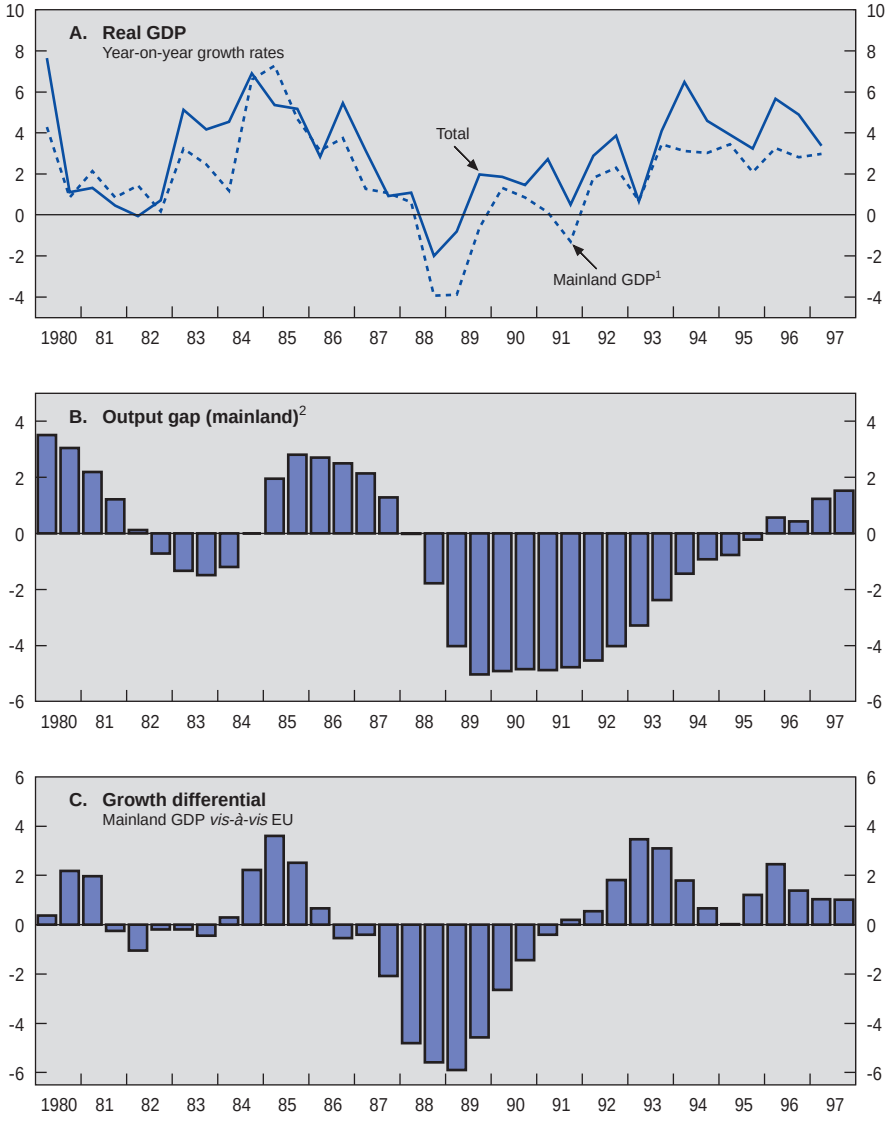
Source: Statistics Norway and OECD Secretariat.

offshore production) has continued to outpace mainland GDP, rising by almost 4 per cent, although falling short of the record overall GDP growth of 1996 (5.3 per cent), due to a slowdown in oil production in early 1997.

Reflecting the strong output performance, employment has expanded by almost 6 per cent in the last two years, greatly helped by flexible labour supply. At the same time, the unemployment rate has declined modestly to 4 per cent. Nevertheless, the scope for continued growth in labour supply may soon be exhausted as labour force participation currently is at an historic peak and exceeds that in all other OECD countries. Hence, the available labour supply may limit further employment growth. In fact, labour shortages are already emerging,

Figure 1. **GROWTH PERFORMANCE**

Per cent



1. Mainland GDP excludes exports and imports of petroleum, oil rigs and ships.
2. The difference between actual and trend mainland GDP.

Source: OECD, *Quarterly National Accounts* and OECD Secretariat.

as illustrated by rapid declines in long-term unemployment, the sharp fall in the ratio of unemployment to vacancies, and a rise in the number of employers reporting difficulties in recruiting suitably skilled labour. With such a sharp tightening of labour market conditions, in combination with a rise in the utilisation rate of productive capital, capacity constraints in the economy have significantly increased. Indeed, with the economic expansion exceeding the growth rate of potential output of the mainland economy for the fifth year in a row, the already inverted output gap has widened further in 1997 (Figure 1, Panel B). With the unemployment rate below the Secretariat's estimate of the non-accelerating wage inflation rate of unemployment (NAWRU) and the projected robust output growth set to reduce it even further, there is a growing risk that wages may soon accelerate.

Strong oil activity

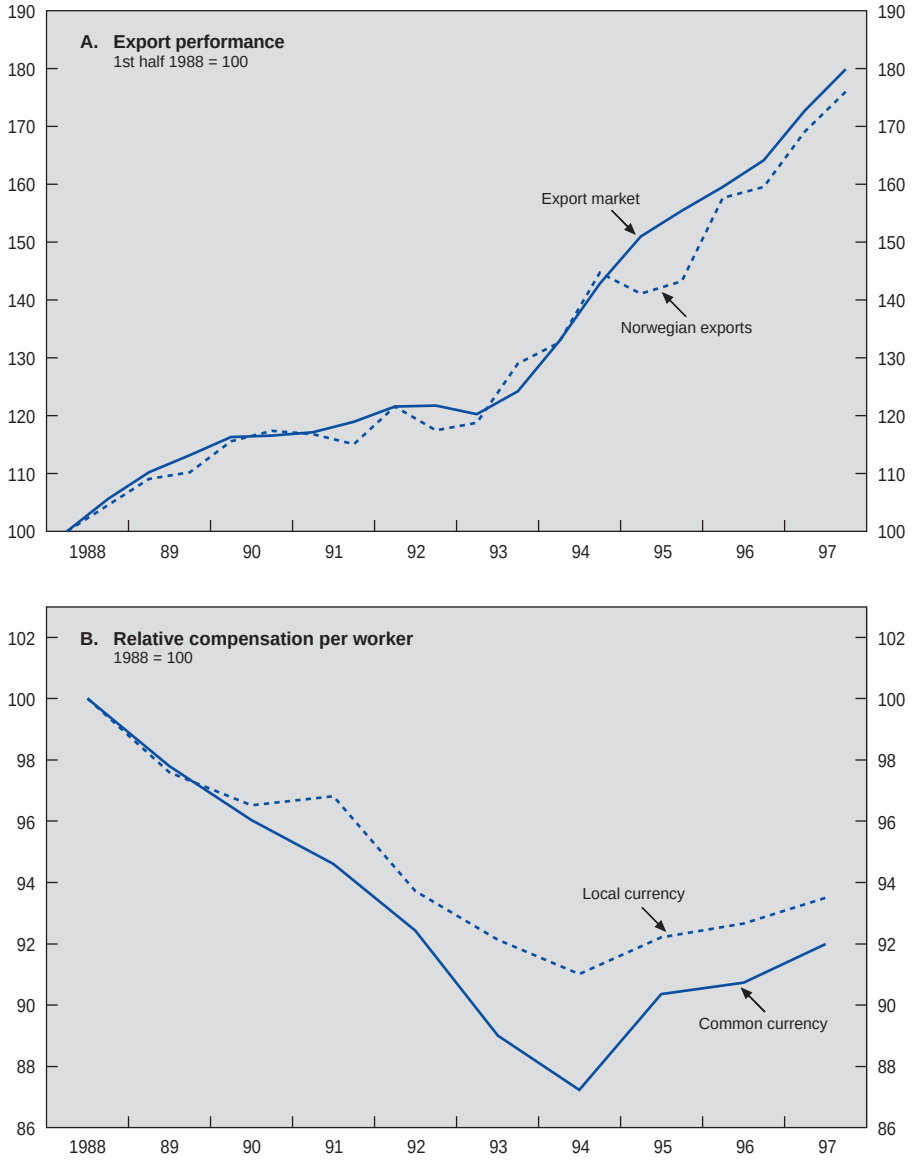
After expanding at an annual average rate of 10 per cent during the 1994-96 period, the volume of oil and gas exports is estimated to have grown by 5½ per cent in 1997, with activity gaining momentum again in the second half of the year (Table 1). The continued buoyancy in the oil and gas sector, which currently accounts for half of the total merchandise exports and almost one-fifth of GDP in Norway, reflects the ongoing improvement in oil and gas exploration and extraction technologies since the mid-1980s. Such technological progress sparked a wave of investments in new production capacity on the continental shelf in the early 1990s, with the state as one of the main initiators (see Chapter II). After oil and gas investment returned to normal levels in 1995 and 1996, a new bout of capital formation occurred in 1997 in the wake of the 15th licensing round. Petroleum production is officially projected to rise on average by 5 per cent annually until the year 2001, and decline thereafter despite a planned increase in natural gas extraction after oil production peaks.

Robust non-oil exports

Non-oil ''traditional'' merchandise exports have picked up sharply from the short-lived downturn in early 1995, with growth exceeding 10 per cent in 1996 and around 7 per cent in 1997 (Table 1 and Figure 2, Panel A). This has been achieved despite a significant increase in relative labour costs in both local and common currencies between 1994 and 1997 (Figure 2, Panel B), with little if

Figure 2. **EXPORT PERFORMANCE AND COST COMPETITIVENESS**

Manufacturing



Source: Ministry of Finance and OECD Secretariat.

any loss in market shares. Norway's share in world exports has actually risen since 1995, due to beneficial marketing efforts in Asia, Eastern Europe and the United States – with engineering products related to resource extraction (petroleum and fish) being particularly successful. Additional impetus for growth in traditional exports has been provided by the continued rebound in fish catches from their 1990 trough and the soaring sales of farmed salmon to Asia and Europe.

Buoyant household demand

Real household consumption grew 3.5 per cent in 1997, slightly less than the 4.7 per cent recorded in 1996 (Table 2 and Figure 3, Panel A). The slowdown in 1997 reflects a stabilisation in auto sales – at the peak level reached in late 1996 – associated with a rise in car registration charges. As disposable income rose sharply during the year, the household saving ratio edged up to 6 per cent, and households' balance sheets continued to strengthen. Households' net financial assets in relation to disposable income, at 48 per cent in 1997, significantly exceed the 20 per cent peak achieved in the mid-1980s. This has contributed to raise households' net interest income and, along with lower interest rates and rising labour income, explains the strengthening housing demand. Real house

Table 2. **Household appropriation account**

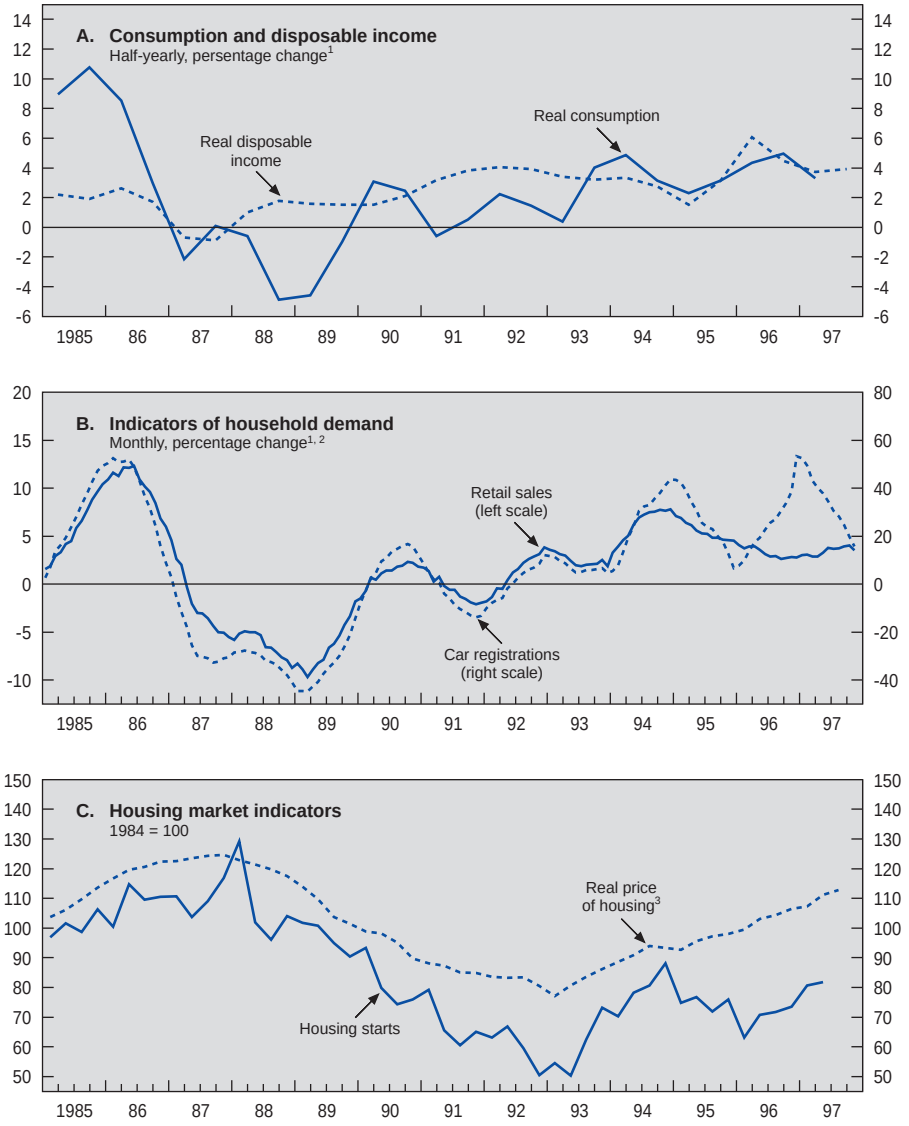
Percentage change from previous year

	1992	1993	1994	1995	1996	1997[1]
Disposable income	6.7	5.5	3.8	5.3	5.7	6.6
of which:						
Wages	3.5	3.6	4.8	5.8	7.7	7.6
Property income	2.7	4.9	2.5	2.6	2.4	6.0
Current transfers received (net)	7.2	4.1	1.7	3.4	5.2	2.4
Interest on consumer debt (net)	–13.6	–12.7	–26.7	–3.5	13.7	9.3
Direct taxes	0.6	5.8	7.0	7.2	8.1	5.0
Real disposable income	3.8	3.4	2.6	2.4	4.5	3.8
Real consumption expenditure	2.2	2.2	4.0	2.7	4.7	3.3
Saving ratio[2]	5.8	6.8	6.0	5.6	5.5	6.0
Net financial assets[2]	18.6	31.2	35.7	41.8	44.9	47.8

1. Estimates.
2. Per cent of disposable income.

Source: Statistics Norway and OECD Secretariat.

Figure 3. **HOUSEHOLD SPENDING**



1. Percentage change over same period of previous year.
2. Twelve-month moving average.
3. Second-hand market.

Source: Statistics Norway; OECD, *National Accounts* and *Main Economic Indicators.*

prices, as a result, have continued to rise in 1997, and are approaching the 1987 peak level (Figure 3, Panel C). This did not result in increased residential construction in 1996, due to temporary supply shortages in the construction business (notably the availability of building sites and labour shortages in the Oslo area associated with the construction of the new international airport, *Gardermoen*). However, housing investment has picked up in 1997.

Soaring asset prices

More generally, all categories of asset prices (housing prices, share prices, bond prices, etc.) in Norway rose sharply in 1997, reflecting the buoyant economy, very low real after-tax interest rates, a continued expansion of credit and the complete recovery of the financial sector from the crisis at the beginning of the decade. As noted, the real estate market shifted into high gear, with second-hand nominal housing prices rising by 9 per cent in the first three quarters, with the recovery also spreading from the Oslo area to other parts of the country.[1] Indeed, the upturn in the housing market in Norway has advanced further than in most other OECD countries. The share prices on the Oslo stock exchange accelerated in 1997, rising over 25 per cent by early December, thus doubling the 1994 average level and matching the performance of the US stock market over the same period. As in other countries, this development has also mirrored improved earnings in industry based on technological advances and better management, as well as stronger demand for shares emanating from reduced transaction costs for smaller investors and an associated proliferation of new types of investment vehicles, including mutual funds. The sharp rise in share prices is one of the factors that has contributed to raise investment levels in Norwegian companies.

Sustained business investment

Mainland business investment as a share of mainland business-sector GDP has recovered strongly from the low level reached at the trough of the protracted stagnation in the 1988-93 period (Figure 4, Panel A). Investment has been supported by robust foreign and mainland demand, high and steady levels of business confidence, low interest rates and, until mid-1996, an upward trend in profitability associated with moderate wage developments. The sharp reversal of earlier increases in the profit share since mid-1996 has been due to weak international commodity prices (basic metals and forestry products) and rising

Figure 4. **MAINLAND BUSINESS INVESTMENT**

1. Mainland business GDP less compensation as a percentage of mainland business GDP.
Source: Ministry of Finance; OECD, *Main Economic Indicators* and OECD Secretariat.

electricity prices. With quarterly reports of companies listed at the Oslo stock exchange suggesting that profits have been rebounding in recent quarters, the expansion of investment continued in 1997, albeit it decelerated from almost 14 per cent in 1996 to below 9 per cent (Table 1 and Figure 4, Panel B). The continuing robust output growth and the observed slowdown in the expansion of productive capital have contributed to raise the capacity utilisation rate in 1997.

Surging employment

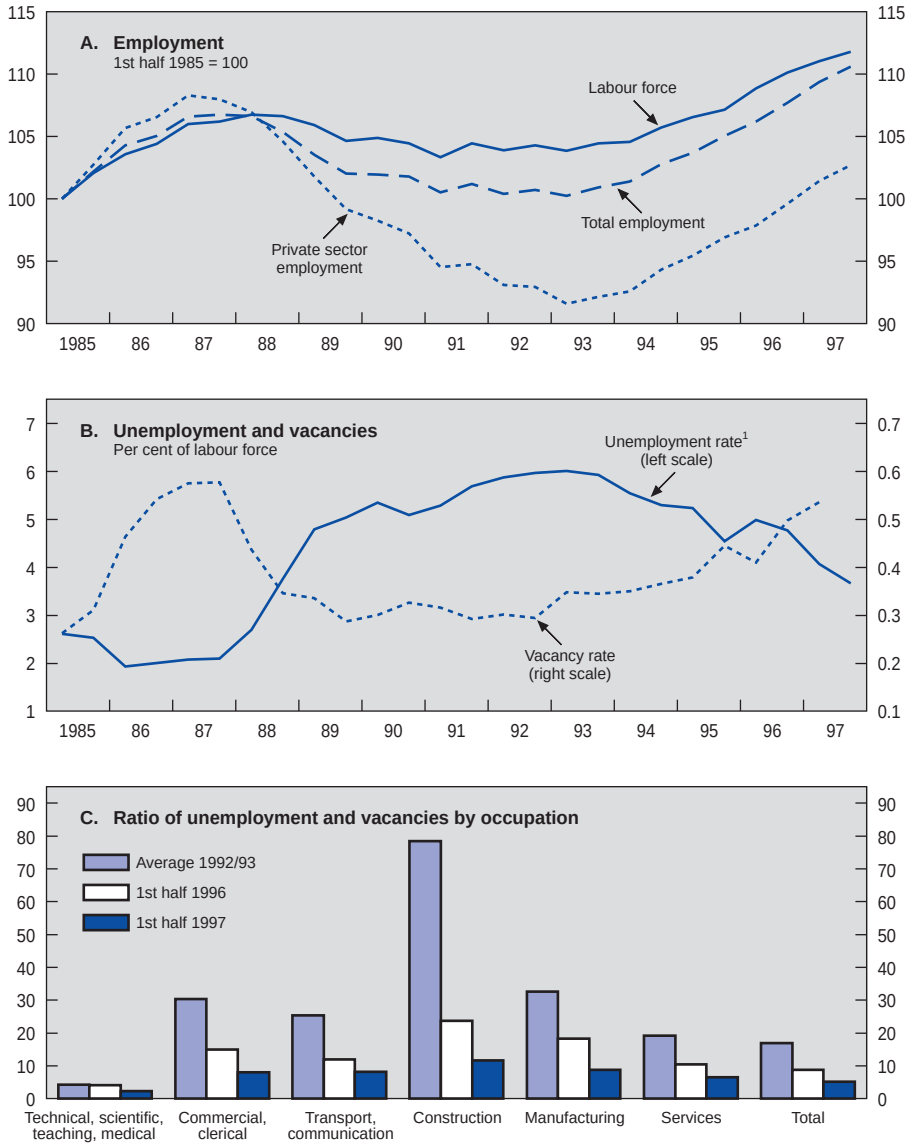
Employment has been accelerating every year since 1993, growing at 2.8 per cent in 1996 and 3 per cent (year-on-year) in the first half of 1997 (Table 3 and Figure 5, Panel A). In the 1993-97 period as a whole, employment has expanded by almost 10 per cent, a post-war record for Norway. As a result,

Table 3. **Labour market developments**

	1991 Thousand persons	1992	1993	1994	1995	1996	1997[1]
		Percentage change					
Labour force[2]	2 126	0.2	0.0	0.9	1.6	2.7	2.2
Employment[2]	2 010	–0.3	0.0	1.5	2.2	2.8	3.0
In full-time equivalents	. .	0.4	0.0	1.0	0.9	2.1	. .
		Per cent of the labour force					
Unemployment,[2] total	116	5.9	6.0	5.4	4.9	4.9	4.4
Males	68	6.5	6.6	6.0	5.1	4.9	4.2
Females	48	5.1	5.2	4.8	4.6	5.0	4.6
Teenagers (< 20 years)	17	16.7	18.1	17.1	16.0	18.0	18.2
Young adults (20 < 25 years)	26	12.4	11.9	11.0	10.2	10.1	8.9
Persons unemployed for more than 6 months (as a per cent of total)	41	40.9	44.2	44.1	41.9	29.9	26.1
Participation in active labour market programmes[2]	45	2.3	2.7	2.6	2.0	1.6	1.0
Including special measures[2]	57	2.9	3.4	3.4	2.9	2.5	1.9
		Percentage change					
Memorandum items:							
GDP Mainland	. .	2.1	2.8	4.1	3.1	3.7	3.5
Labour productivity	. .	2.4	2.8	2.6	0.9	0.9	0.5

1. First three quarters. Growth rates relative to the same period in the previous year.
2. Break in the time series for *Labour Force Survey* data in 1996.
Source: Statistics Norway and Ministry of Local Government and Labour.

Figure 5. **THE LABOUR MARKET**



1. Break in series in January 1996 due to a broadening of the definition of unemployment in the Labour Force Survey which is estimated to have raised the unemployment rate by 0.5 percentage point.

Source: Statistics Norway; OECD, *National Accounts* and *Main Economic Indicators*.

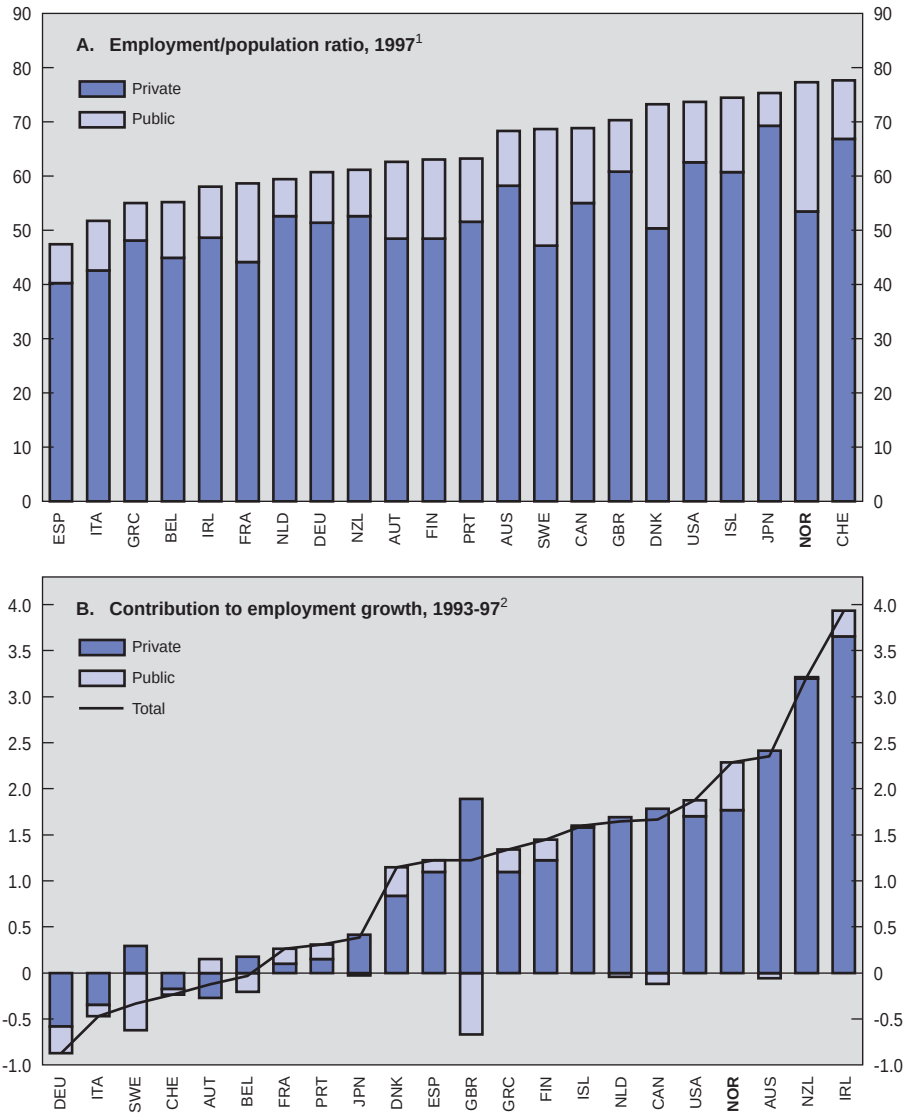
the employment rate (the ratio of the number of employed persons to the working age population), at 76 per cent, has become the highest in the OECD area (along with Switzerland), well above that in the other Nordic countries, the United States and Japan (Figure 6, Panel A). The massive job creation has occurred both in the private and the public sector, though business sector employment still remains well below its 1987 peak. In fact, in no other country in the OECD area has public employment grown by as much as in Norway since 1993 (Figure 6, Panel B). This reflects the ongoing expansion of the health care and education systems in Norway, and is associated with the sharply rising expenditure of local governments (see Chapter II).

The sharp rise in employment has been largely accommodated by a very flexible labour supply, which since 1993 has risen by close to 8 per cent. Indeed, labour force participation has reached a record high level, as large numbers of young people and women have moved from education or inactivity to employment. Of the 180 000 person net increase in the labour force between mid-1993 and mid-1997, over 100 000 were women, boosting the female participation rate by as much as 6 percentage points – compared to an overall increase of 5 percentage points (Table 4). Over the same period, the labour force participation rate of people under 25 has increased by almost 10 percentage points, radically reversing a sharp decline during the 1988-93 slump. Consistent with this pronounced growth in youth and female labour supply, the share of part-time workers in the labour force has tended to rise, although there are also signs of a move from part-time to full-time work in 1997.

With most of the employment growth coming from new labour market entrants, the unemployment rate has declined relatively little, from the 6 per cent peak in 1993 to 4.4 per cent in the first three quarters of 1997 – with a further decline recorded in recent months (Table 3, Figure 5, Panel B). When participation in active labour market programmes is included, the decline in the unemployment rate, however, has been more pronounced, dropping from a 8.7 per cent peak in 1993 to 5.6 per cent in the first half of 1997. On the other hand, the rate of unemployment has tended to stay high for teenagers and young adults, suggesting that a relatively large proportion of these groups have tended to be ‘‘trapped’’ in long spells of joblessness, due to the fact that the remaining unemployment is largely ‘‘structural’’, *i.e.* representing skill-mismatches and low incentives – associated with the unemployment insurance system – to actively seek work (see Chapter III).

Figure 6. **INTERNATIONAL COMPARISON OF EMPLOYMENT STRUCTURE AND GROWTH**

Per cent



1. Employment by sector as a per cent of the working age population.
2. Average annual percentage growth over the period.

Source: OECD Secretariat.

Table 4. **Net inflow into the labour force**

From second quarter of 1993 to second quarter of 1997, 1 000 persons

	Employed	Unemployed	Total	Total, per cent[1]
By age				
16-24 years	21	1	22	9.8
25-54 years	161	–21	140	3.0
55-74 years	23	–3	20	3.6
By sex				
Men	105	–25	80	4.4
Women	97	3	100	5.9
By level of education				
Primary	5	–9	–4	3.9
Lower secondary	–9	–8	–18	2.6
Upper secondary	124	–11	113	5.8
Higher	91	3	94	2.5
By working time				
Full time	159	. .	. .	. .
Part time	50	. .	. .	. .
Total	203	–23	180	5.1

1. Per cent of relevant category of the working age population.
Source: Statistics Norway.

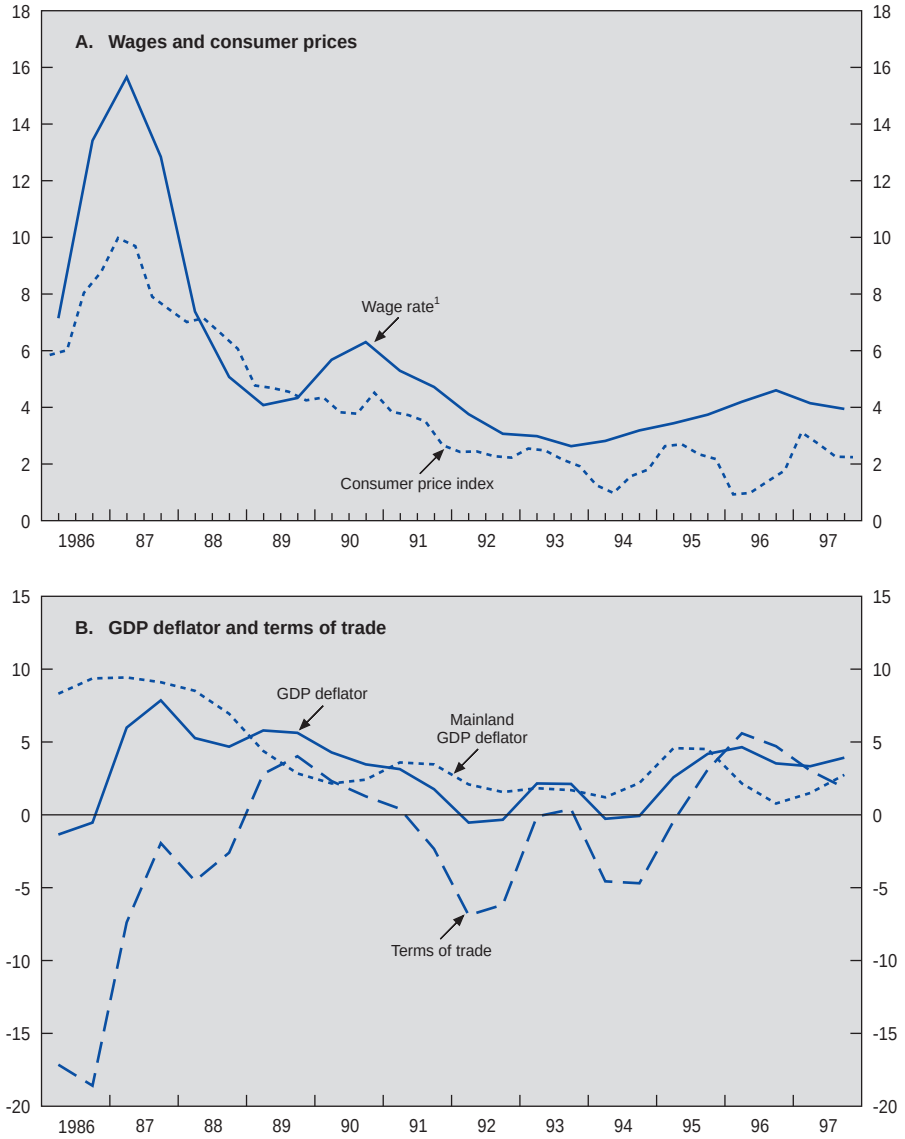
The tightened labour market conditions suggest that it may become difficult to sustain recent growth rates in economic activity without running into labour market bottlenecks threatening wage acceleration. The incidence of long-term unemployment (more than 6 months) has sharply declined from the 1994 peak of 44 per cent to 26 per cent in the first half of 1997, the number of unfilled vacancies has continued on an upward trend, and many employers are reportedly experiencing difficulties in recruiting suitably skilled labour (Figure 5, Panel B). While labour shortages are more pronounced in the public sector, in particular in the areas of health care (doctors, nurses) and education (Figure 5, Panel C), the business sector has been reporting intensifying labour shortages as well, in particular in the areas of construction, management and information technology.

Still moderate wages and low inflation

Notwithstanding the tightening labour market conditions, wage growth has actually fallen from 4¾ per cent in 1996 to 4¼ per cent in 1997, only slightly

Figure 7. **WAGE AND PRICE DEVELOPMENTS**

Per cent change over corresponding period of previous year



1. Manufacturing.

Source: OECD, *National Accounts* and *Main Economic Indicators*.

Table 5. **Prices, wages and costs**

Percentage change from previous year

	1992	1993	1994	1995	1996	1997[1]
Consumer price index	2.3	2.3	1.4	2.4	1.3	2.6
Hourly earnings per employee	2.7	3.5	3.0	4.4	4.8	4.3
of which:						
Mainland	2.7	3.3	3.0	4.5	4.8	4.3
Manufacturing and mining	2.8	2.8	2.9	4.8	4.4	4.4
Private services	2.9	3.0	2.8	4.3	4.6	4.4
Public sector	2.8	3.4	3.2	4.4	4.8	4.2
Relative compensation per worker						
Local currency	–3.2	–1.7	–1.2	1.3	0.5	0.9
Common currency	–2.3	–3.7	–2.0	3.6	0.4	1.4

1. Estimate.

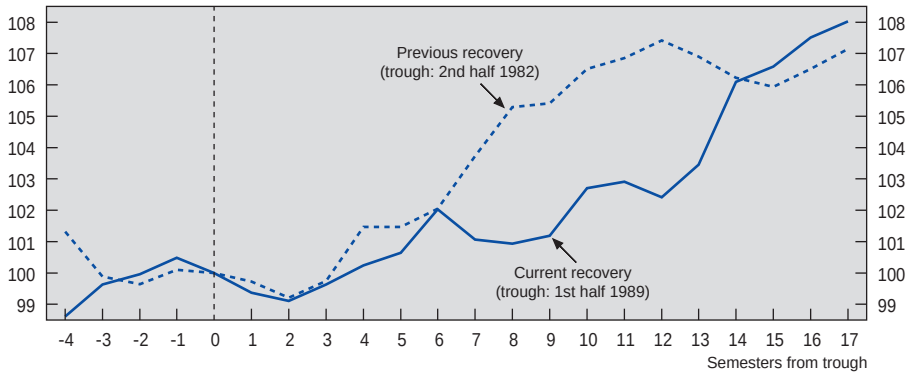
Source: Bank of Norway, Ministry of Finance and OECD Secretariat.

above the average for the 1993-95 period (Figure 7, Table 5). Since the beginning of the upswing, such moderate wage outcomes have been facilitated by incomes-policy ‘‘concessions’’ by the government to the labour unions in order to support the centralised wage bargaining process. Last Spring, in exchange for continued wage moderation, the government agreed to improve the conditions for early retirement (see Chapter III).

Nevertheless, there are various indications that wage pressure has been building up. For certain occupational groups, most prominently hospital doctors, professionals in information technology and construction workers, there have been major pay rises beyond the centrally negotiated increases in recent years. Moreover, on an aggregate level, real wage increases have tended to accelerate as the upswing progressed, and in accumulated terms have now exceeded the rise in real wages achieved at a similar stage in the previous cycle (Figure 8). With labour market conditions becoming tighter still in domestically-oriented industries (health, education, commercial services, etc.), where concerns over international competitiveness are less pronounced than in the traditional ‘‘wage-leading’’ export-oriented industries, it is likely to become increasingly difficult for the central labour market organisations to moderate wage developments in coming years.

Figure 8. **COMPARISON OF REAL COMPENSATION PER EMPLOYEE DURING TWO RECOVERIES**[1]

Index, trough = 100



1. Total compensation per employee divided by the deflator for private consumption expenditure. The troughs in activity correspond to low points in the Secretariat's estimates of the output gap.

Source: OECD Secretariat.

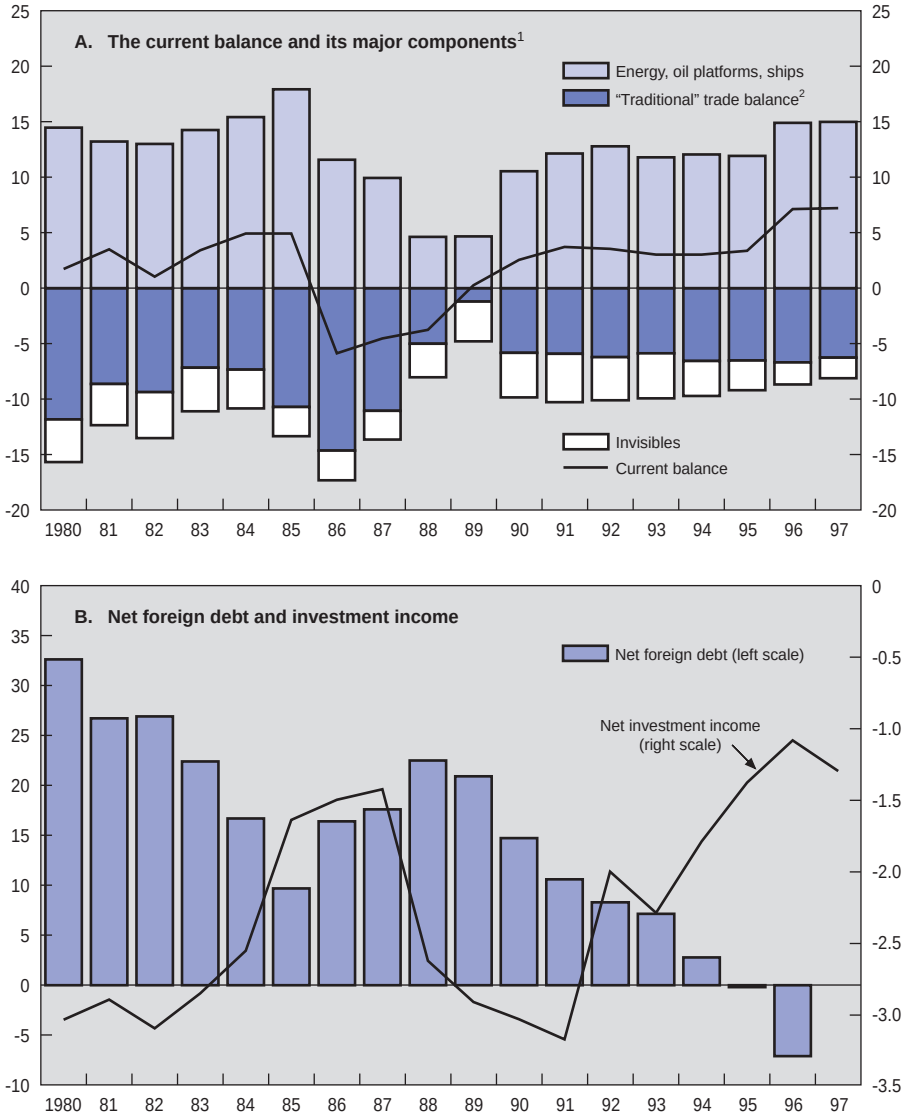
Reflecting mostly the impact of increases in indirect taxes and drought-related increases in hydro-electricity charges, consumer price inflation rose from 1.3 per cent in 1996 to an estimated 2.6 per cent in 1997 (Table 5 and Figure 7, Panel A); it fell from a 3.3 per cent peak in February 1997 to 2.1 per cent in October as these temporary factors subsided. The ''underlying'' consumer price inflation (excluding these temporary factors) has, however, been creeping up from an average of 1½ per cent in 1996 to slightly over 2 per cent towards the end of 1997, due to rising unit labour costs. Accordingly, the mainland GDP deflator has been on an upward trend since mid-1996 as well, despite a deterioration in the terms of trade associated with weak commodity prices (Figure 7, Panel B).

High current account surplus

After having hovered around 3 per cent of GDP in the first half of the 1990s, the surplus on the current account jumped to 7.7 per cent of GDP in 1996 and remained at that level in 1997 (Figure 9, Panel A). This development is

Figure 9. **EXTERNAL POSITION**

Per cent of GDP



1. Break in series in 1990.
2. Excluding exports and imports of petroleum, oil rigs and ships.

Source: Statistics Norway, Ministry of Finance and OECD Secretariat.

attributable to the substantial increase in petroleum exports, with the ''offshore'' trade surplus (petroleum, oil platforms and ships) widening from 12 per cent of GDP on average in the 1990-95 period to 15 per cent in the subsequent years. Although Norway became a net foreign creditor in 1995, its net foreign interest payments are still negative, reflecting the higher interest rates on past foreign loans. Nevertheless, these net interest payments are rapidly declining, having more than halved from the 3 per cent of GDP peak in 1991 (Figure 9, Panel B). The improved net foreign asset position reflects the substantial capital outflows in recent years, with both outward direct investment and portfolio investment having contributed. In the three years up to 1995, the capital outflows from the private sector matched the current account surplus as the Bank of Norway hardly intervened in foreign exchange markets. In 1996, however, speculative capital inflows emerged, prompting the Bank of Norway to purchase NKr 90 billion (9 per cent of GDP) worth of foreign financial assets (of which NKr 46 billion for the government Petroleum Fund – see Chapter II). In 1997, total official purchases of foreign currency matched the allocations to the Petroleum Fund, amounting to around NKr 65 billion.

Short-term outlook

GDP growth is projected to rise from an estimated 4 per cent in 1997 to 4¾ per cent in 1998, before edging down to 3½ per cent in 1999, in part due to an expected tapering off in the growth of oil exports (Table 6). Traditional exports, in contrast, are projected to remain buoyant as growth in Europe strengthens. At the same time, private consumption should remain robust, whereas fixed investment is expected to lose momentum with the completion of major projects on both the mainland and the continental shelf. Accordingly, mainland economic activity is projected to decelerate gradually from an estimated 3½ per cent in 1997 to 2½ per cent in 1999, with the unemployment rate stabilising at 3¼ per cent by the end of the projection period. Wage and price inflation are projected to remain moderate, not exceeding 5 and 3 per cent respectively, on account of modest pay increases expected to be agreed in the spring 1998 wage negotiation round. Such moderate wage developments may, however, require an agreement between the government and the labour unions on government participation in the creation of a new educational leave programme.

Table 6. **Short-term projections**[1]

Percentage change, constant prices

	1994 NKr billion	1996	1997	1998	1999
Private consumption	433.1	4.7	3.3	3.1	3.0
Government consumption	186.6	3.3	2.0	1.8	1.7
Gross fixed investment[2]	179.4	4.8	10.6	3.0	3.7
of which:					
Oil sector[2]	54.2	–4.4	25.4	3.3	3.0
Mainland business sector	70.0	11.1	5.7	1.5	1.2
Residential construction	22.7	–6.0	10.0	10.4	4.9
Public sector	27.8	4.8	11.4	3.9	2.5
Stockbuilding[3]	14.5	–0.5	–0.1	0.0	0.0
Total domestic demand	813.5	3.7	4.4	2.7	2.9
Export of goods and services	333.2	10.0	5.9	7.9	5.8
of which: Non-manufactured goods (including energy)	148.5	11.6	8.8	9.1	5.6
Import of goods and services	279.2	6.5	7.9	3.9	5.0
Foreign balance[4]	54.0	1.9	0.1	2.3	1.1
GDP	867.6	5.3	4.0	4.7	3.6
of which: Mainland	736.4	3.7	3.6	3.1	2.7
Memorandum items:					
GDP deflator	..	4.1	3.6	3.0	3.1
Private consumption deflator	..	1.1	2.6	2.8	3.1
Employment	2 062.5[5]	2.5	2.8	1.4	1.0
Unemployment rate	5.4	4.9	3.9	3.6	3.3
Private sector compensation per employee	..	4.6	3.9	4.4	5.0

1. Projections published in the OECD *Economic Outlook No. 62,* (December 1997).
2. Includes platforms under construction, crude oil production and pipeline transport.
3. Contribution to GDP growth, excluding platforms under construction.
4. Contribution to GDP growth.
5. In 1 000 persons.

Source: OECD Secretariat.

These projections, which are consistent with those published in *Economic Outlook No. 62* (December 1997), are based upon the following assumptions:

- on the basis of the predicted growth pattern in the OECD area, markets for Norwegian manufacturing exports will grow by 8¼ and 7¼ per cent in 1998 and 1999, respectively;
- the average OECD oil-import price is projected to decline from the November 1997 level of $20.00 per barrel, to below $18.50 in 1998 and 1999;

– a modest tightening of monetary conditions in Europe is assumed to be shadowed by Norwegian interest rates to keep the exchange rate *vis-à-vis* the ECU roughly unchanged at its November 1997 level. Long-term interest rates are also expected to show a modest increase, in line with that of rates in the ERM area, due to the pick up in economic activity in Europe;
– consistent with the 1998 Budget released by the new minority coalition government that took office in mid-October, central government real ''underlying'' expenditure (excluding unemployment benefits and interest expenditure, and corrected for changes in accounting practices) is projected to expand by 2¼ per cent. This rise will, however, be partly offset by announced tax increases, entailing a modest fiscal contraction overall of ¼ per cent of mainland GDP.

On these assumptions, the risks to the projections are mostly on the upside. With labour market conditions tightening further, wage discipline might erode, especially in the sheltered sector of the economy where international cost-competitiveness concerns carry less weight. Although the next centralised wage agreement is expected to result in moderate negotiated wage increases, wage drift may become more difficult to control as employers start competing for scarce labour resources. In addition, continued robust credit growth, driven by easy monetary conditions and the associated boom in the real estate market, could lead to an acceleration in domestic demand, thus raising inflationary pressures in the economy. A simulation with OECD's INTERLINK model suggests that such factors could result in inflation accelerating to 5 per cent by 1999 assuming an unchanged stance of fiscal and monetary policies (Box 1). However, even though the central government budget is moderately tight for 1998, spending pressures at the local level are increasing. On the downside, the financial crisis spreading throughout Asia towards the end of 1997 is likely to dampen real growth in the region, affecting also activity in Europe and hence export demand and the terms of trade in Norway. Moreover, recent oil price declines, if sustained, will reduce the country's external and government surpluses, possibly weakening household and business confidence and affecting domestic demand.

Box 1. **Estimated effects of an acceleration in wages and consumption**

Consumer price inflation in Norway risks rising in coming years under the present policy regime if wage drift accelerates and asset prices keep soaring. With labour shortages intensifying and the inverted output gap widening further, wage drift could turn out higher than projected in the baseline scenario depicted in Table 6. Indeed, the tight labour market situation, in particular in the sheltered industries where competitiveness considerations are less of a concern, could render union wage restraint under the ''Solidarity Alternative'' policy framework (see Chapter II) ineffective because of employers bidding up the wages of scarce labour. In addition, the ongoing rise in asset prices could, by boosting real wealth of households, lead to a falling household saving ratio, resulting in higher private consumption levels than incorporated in the projection.

The effects of such developments on the short-term projections are simulated with the OECD's INTERLINK model, assuming a 2 percentage point higher annual wage increase and a 1 percentage point annual decline in the household saving ratio in 1998 and 1999. In line with the prevailing macroeconomic policy framework, the nominal exchange rate and short-term interest rates are assumed to remain unchanged from the baseline projection, as is the (structural) budget position.

The simulation results shown in Table 7 indicate that – under these assumptions – consumer price inflation would accelerate rapidly to reach almost 5 per cent by 1999, accompanied by a ½ per cent higher level of real GDP and a slight further decline in the unemployment rate. The composition of output, moreover, would change with a shift from net exports to domestic demand, reflecting the over 2 per cent real appreciation of the exchange rate relative to the baseline projection.

Table 7. **Effects of a wage and consumption impulse**[1]

Difference from the baseline projection

	Units	1998	1999
Total domestic demand	Per cent	0.9	1.3
Foreign balance, contribution to GDP	Per cent of GDP	–0.4	–0.8
GDP	Per cent	0.5	0.4
Unemployment rate	Percentage points	–0.1	–0.1
Inflation rate (consumer prices)	Percentage points	0.6	1.7

1. Assumes a 2 per cent higher annual wage increase, a 1 per cent annual decline in the household saving ratio, and unchanged nominal exchange rates and short term interest rates.

Source: OECD Secretariat.

II. Macroeconomic policies

Norway's success in achieving a strong economic upswing while keeping inflation low has been facilitated by a consensus-based policy framework adopted in the early 1990s. This framework commits the authorities to keep the exchange rate stable *vis-à-vis* other European countries pursuing low inflation objectives. In return, the labour unions and the employers' organisations have pledged wage restraint in line with developments among Norway's trading partners, in order to preserve the international cost-competitiveness of mainland ''traditional'' industries. Within this framework, the role of fiscal policy has been to keep demand developments in check as economic activity picked up. A prudent fiscal stance is, moreover, considered essential to meet the long-run challenges associated with the ageing of the population and the expected decline in petroleum revenue in the next century.

This policy framework is, however, coming under strain in the current environment of emerging capacity constraints, ballooning fiscal surpluses and continued upward pressure on the exchange rate. Although speculative attacks on the currency a year ago were successfully warded off, short-term interest rates had to be reduced to curtail upward pressure on the exchange rate. With the economy operating above trend capacity, it has therefore become increasingly difficult to prevent overheating. Indeed, with the 1998 Budget not very restrictive, the question arises whether the role of monetary policy in preserving price stability does not need to be reasserted, allowing interest rates to rise until the risk of an unsustainable boom has abated.

Against this backdrop, the present chapter reviews the recent conduct of macroeconomic policies. It starts with a description of the policy framework and its current challenges, followed by a discussion of monetary management and financial market developments over the last twelve months or so. It then examines the fiscal stance and concludes with an assessment of the fiscal policy implications of managing the public petroleum wealth in the long run.

The general policy framework

Due to the increasing importance of the petroleum sector, the production structure of the Norwegian economy has changed dramatically over the past two decades, with the share of the export-oriented and import-competing mainland activities in GDP declining from over one-quarter in the early 1970s to just over one-tenth in the early 1990s.[2] Such ''crowding out'' has materialised mostly through inflation generated by public and private spending impulses in excess of nominal depreciation. Moreover, by accentuating the business cycle, the volatility in oil prices also severely handicapped the development of mainland industry. The combined oil-price and US-dollar hikes in the late 1970s and early 1980s, for example, transformed a nascent recovery into an economic boom while, conversely, the oil price collapse in 1986 exacerbated the subsequent recession. These events help to explain the sharp decline in mainland business sector employment until 1993 – even though unemployment was limited by expanding public employment, income support schemes, active labour market programmes and education enrolments. While not an acute problem as long as petroleum revenues remain substantial, a relatively weak mainland industry is considered in Norway to risk jeopardising economic welfare in the longer run when petroleum revenues will decline.

It is against this background that the previous government, when taking office in 1993, agreed on an economic policy framework with the central labour union organisation (LO) and the employers federation (NHO), aimed at achieving full employment and sustainable non-inflationary economic growth in the medium and long run by arresting the decline of mainland industry. This policy framework – the so-called Solidarity Alternative – is based on a combination of exchange rate stability (in terms of a basket of European currencies), wage moderation, and the use of fiscal policy to maintain full capacity utilisation *via* active demand management. Exchange rate stability was deemed to create an anchor for wage negotiations and international competition, and was therefore considered as fundamental for the success of the overall framework. In fact, the LO views a stable exchange rate as a necessary condition for moderate centrally negotiated wage increases to be accepted by its members, and has occasionally questioned the ability to maintain wage restraint if the currency is allowed to float. Hence, given that the monetary policy regime does not allow interest rates to be used for economic stabilisation, fiscal policy necessarily bears the brunt in this regard.

It is noteworthy that the past combination of wage restraint, fiscal consolidation and a stable exchange rate has indeed secured a broad-based economic recovery and a return to full employment as well as virtual price stability since 1993. It may, however, be difficult to maintain robust non-inflationary economic growth now that the economy is entering conditions of excess demand for labour. In particular, although centrally negotiated wage increases may be expected to remain moderate, wage drift may accelerate as firms and public employers increasingly compete for scarce labour resources. The strong fundamentals of the Norwegian economy have, at times, raised pressure for nominal appreciation. If such pressures were to persist, the current policy framework would require interest rates to be lowered further from already low levels. Hence, monetary conditions might become easier still, risking an exacerbation of the inflationary pressure emerging from the tight labour market. If inflation is allowed to pick up, an associated further reduction in real interest rates, to even negative levels, would spur the asset price inflation already underway, exposing the economy to a growing risk of another boom-bust cycle – akin to that experienced in the 1980s.

Monetary management

The policy formulation

Since the turmoil in European exchange markets in late 1992 forced the Norwegian authorities to let the krone float, the conduct of monetary policy has aimed at maintaining a stable value against European currencies. The government has formalised this orientation by official guidelines in May 1994, stipulating that the ‘‘monetary policy to be conducted by the Bank of Norway should be aimed at maintaining a stable krone exchange rate against European currencies, based on the range of the exchange rate maintained since the krone was floated on 10 December 1992. In the event of significant changes in the exchange rate, monetary policy instruments will be oriented with a view to returning the exchange rate over time to its initial range. No fluctuation margins are established, nor is there a corresponding obligation on the Bank of Norway to intervene in the foreign exchange market’’. Additional guidelines in the 1996 National Budget, moreover, committed the Bank of Norway to purchase foreign currency ‘‘at a scale that over time corresponds to the net allocation of capital to the Petroleum Fund’’ – the fund that was created in 1991 to convert the

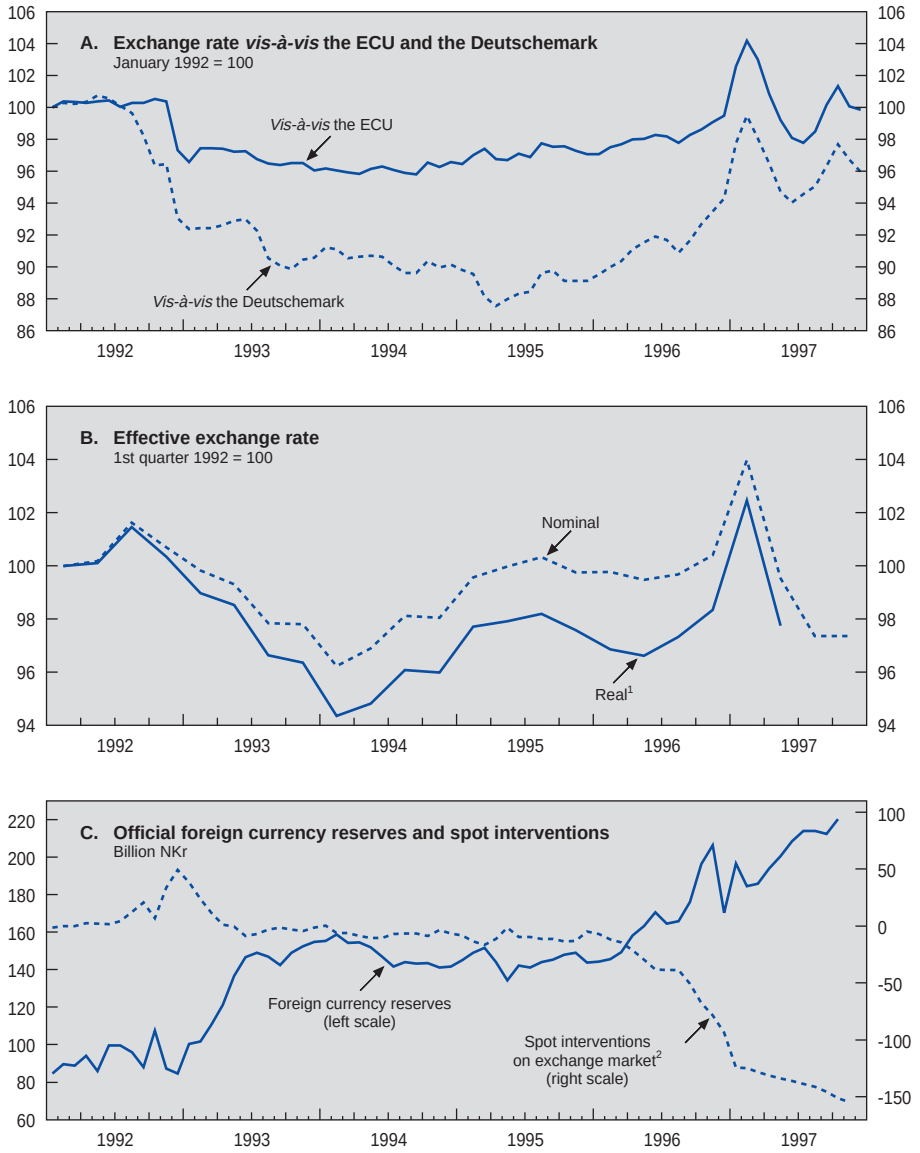
central government's surplus into foreign financial assets, *inter alia* in order to offset upward pressure on the exchange rate from oil and gas exports. The 1996 guidelines stipulated, furthermore, that ''in a situation with a strong krone and a sharp cyclical upturn, it may be appropriate for the Bank of Norway to undertake net purchases of foreign currency exceeding the Petroleum Fund allocations''.

Based on the favourable inflation record since 1992, financial markets have shown confidence in the ability of the monetary authorities to maintain price stability within the current monetary policy regime. This has been reflected in the low level of long-term interest rates, and the fact that exchange rate stability, until a year ago, was sustained without substantial spot market interventions. Since then, however, expectations of currency appreciation have induced speculative capital inflows, forcing the Bank of Norway to engage in massive spot interventions in excess of the required purchases of foreign currency on behalf of the government Petroleum Fund. The value of the krone was, moreover, in early January somewhat exceeding its range. This has required the Bank of Norway to maintain a relatively easy stance of monetary policy despite the emerging signs of overheating in the economy. The Banks' concerns in this regard prompted it, in an official letter to the government on 3 November 1997, to recommend an adjustment in the guidelines to allow more flexibility in the conduct of monetary policy.

Exchange and interest rate developments

The krone exchange rate has, indeed, strengthened considerably since late 1996. Between the autumn of 1996 and February 1997 it appreciated by around 4 per cent against the ECU basket, spurred by the significant (oil-related) revenues reported in the 1997 National Budget (Figure 10, Panel A). The strong upward pressure on the exchange rate in the latter part of 1996 required the Bank of Norway to purchase significant amounts of foreign currency, thereby raising official reserves (excluding Petroleum Fund assets) to a record high of almost NKr 200 billion, more than twice the level prior to the floating in 1992 (Figure 10, Panel C).[3] By suddenly suspending its spot interventions in January 1997, the Bank successfully reduced the liquidity of long krone positions, and thereby discouraged further speculative capital inflows for a time. As a result, the appreciation was largely reversed by July 1997. Since then however,

Figure 10. **EXCHANGE RATE BEHAVIOUR AND OFFICIAL RESERVES**

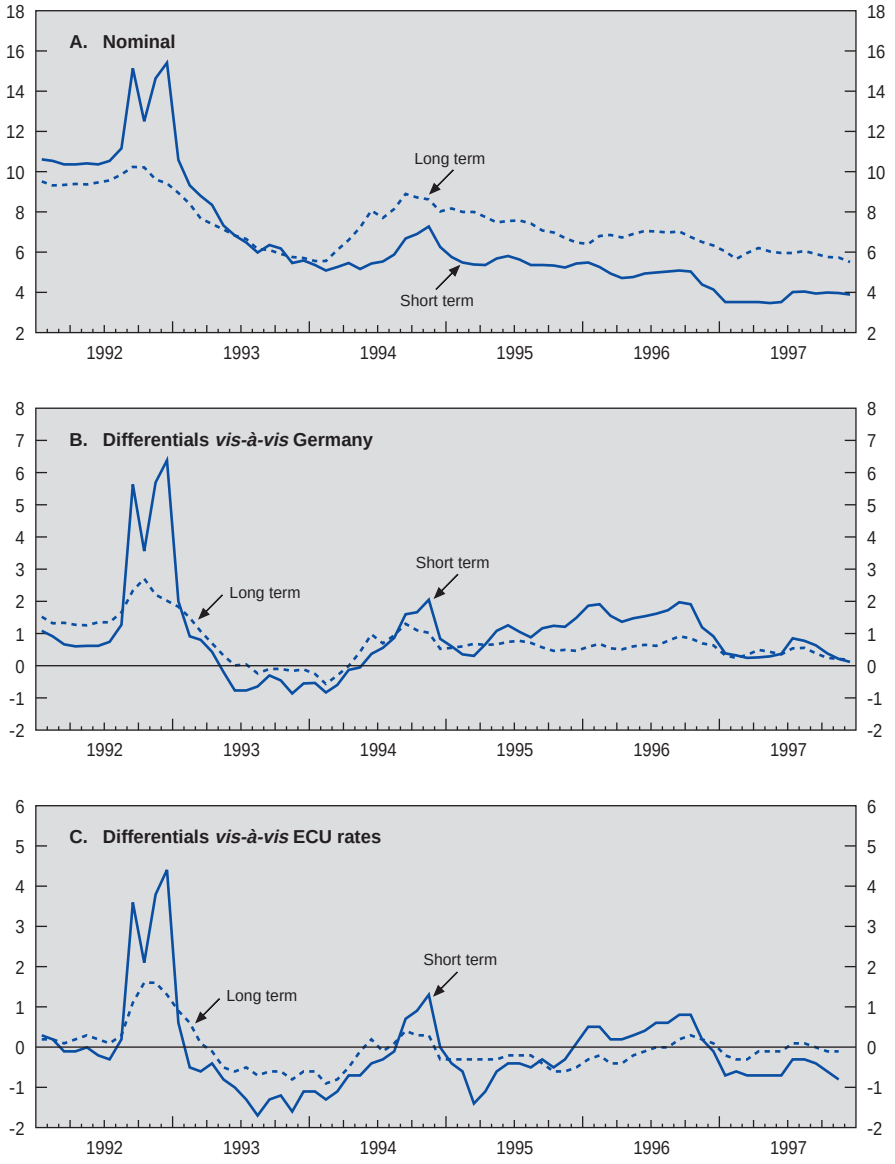


1. Deflated by the consumer price index.
2. Net accumulated sales of currency to banks from January 1992 onwards.

Source: Bank of Norway; OECD, *Main Economic Indicators* and OECD Secretariat.

Figure 11. **INTEREST RATE DEVELOPMENTS**

Per cent

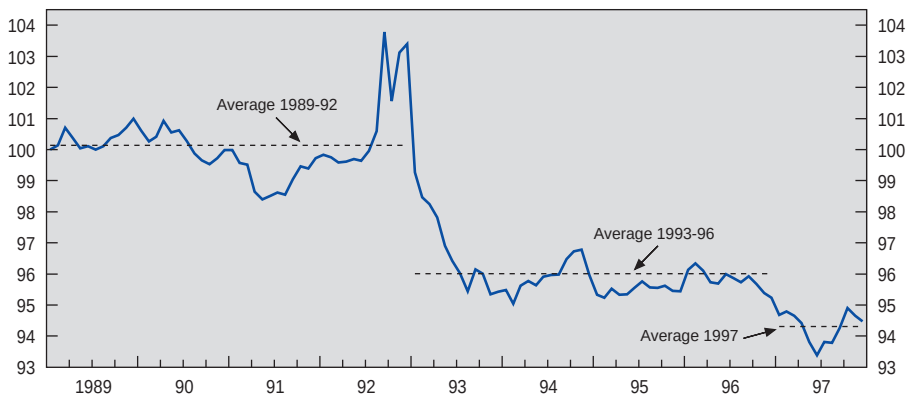


Source: Bank of Norway and OECD, *Main Economic Indicators.*

the krone has rebounded despite a resumption in the official purchases of foreign currency. The fact that, in trade-weighted terms, the krone has portrayed a somewhat less pronounced upward trend (Figure 10, Panel B) is due essentially to the strengthening of the US dollar and Pound Sterling since 1996.

In order to reduce upward pressure on the exchange rate, the stance of monetary policy was significantly eased from late 1996, with the official deposit and overnight lending rates cut by 125 basis points to 3.5 and 5.5 per cent, respectively, by January 1997. With the appreciation pressure subsiding over the summer, official rates were nudged up by 25 basis points in July, reportedly motivated by the authorities' concerns of an upward trend in ''underlying'' inflation (consumer price inflation excluding indirect taxes and electricity charges). Nevertheless, official interest rates are currently 100 basis points below their level of a year ago. The three-month NIBOR, as a result, stood at 3.8 per cent in early November 1997, with the differential *vis-à-vis* corresponding German interest rates at some 40 basis points and those against corresponding ECU rates slightly negative (Figure 11). As a result, the relaxation of monetary conditions in Norway as gauged by the index shown in Figure 12 has been

Figure 12. **INDEX OF MONETARY CONDITIONS**
January 1989 = 100



1. The weights used are 75 per cent for the three-month NIBOR interest rate and 25 per cent for the effective exchange rate, deflated by the consumer price index.

Source: Bank of Norway.

striking when compared with the already easy conditions prevailing in the preceding three years, and even more so relative to longer-term averages of monetary conditions.

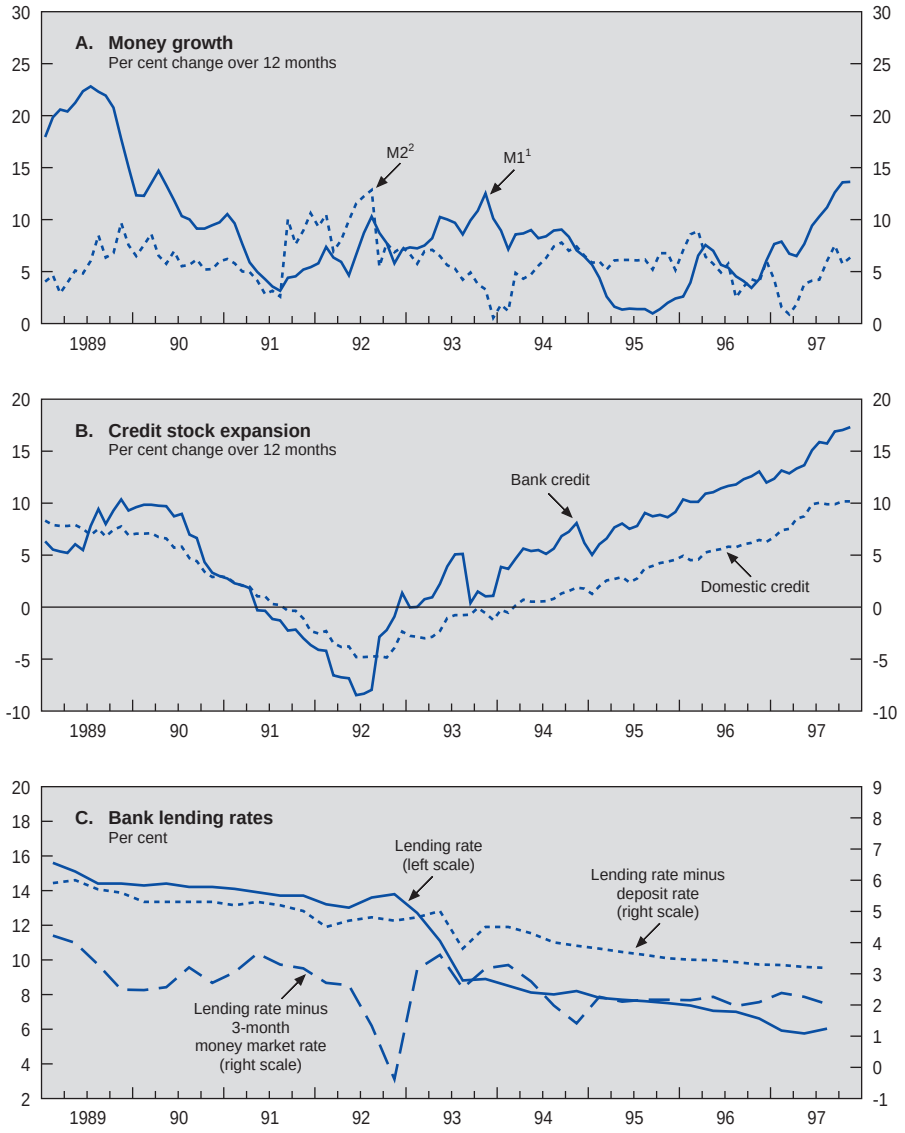
Although less closely linked to exchange rate pressures, long-term interest rates have been on a declining trend as well. In late 1996, the ten-year bond yield fell to a level of 6 per cent and broadly remained there in the first three quarters of 1997. The differential *via-à-vis* equivalent German rates, as a result, has narrowed to less than 50 basis points. In October 1997, Norwegian bond prices were further boosted when a leading international credit rating company upgraded Norway's long-term foreign denominated bonds. The gap between short and long-term interest rates has, nevertheless, been wider in 1997 than in 1996, providing another indication that the stance of monetary policy has tended to ease.

Money and credit growth

The further easing of monetary conditions in 1997 has been reflected in an acceleration of the money supply since the spring (Figure 13, Panel A). The expansion of the narrow money aggregate M1 has been particularly buoyant – accelerating from 4 per cent at the end of 1996 to over 13 per cent by late 1997 – spurred by a progressive conversion of time deposits into sight deposits due to the sharp rise in real estate transactions. Following a dip at the beginning of the year – as robust domestic bank lending was partly offset by temporary reductions in central government lending – the M2 money aggregate (narrow money plus time deposits) has picked up strongly in recent quarters, expanding by close to 7 per cent (year-on-year) in the third quarter.

The expansion of lending by commercial and savings banks has been pronounced, with the stock of outstanding credit by mid-1997 17 per cent above its level a year earlier (Table 8 and Figure 13, Panel B). Lending to corporate clients has been accelerating most, with total corporate debt soaring by 20 per cent – three times the rate of lending to households – and foreign loans gradually being converted into domestic ones. Lending by commercial mortgage institutions, moreover, is sharply rebounding from its declining trend in recent years, prompted by the upturn in the real estate market and low mortgage lending rates, which – adjusted for taxes and inflation – are estimated to have fallen to around 1 per cent in 1997. Although also accelerating in recent months, overall domestic

Figure 13. **MONEY AND CREDIT**



1. Cash, demand deposits and unused credit held by the public; each observation represents a 3-month right adjusted moving average.
2. M1 plus time deposits.

Source: Bank of Norway and OECD, *Main Economic Indicators.*

Table 8. **Money and credit**

Percentage change from previous year

	End-1991 NKr billion	1992	1993	1994	1995	1996	1997[1]
Total money stock (M2)	**500.1**	**7.5**	**0.6**	**6.7**	**5.2**	**6.0**	**4.7**
Percentage point contribution from:							
Foreign assets, at central bank excluding oil taxes	..	–0.5	0.2	–1.9	–5.3	0.3	0.9
Domestic credit, net[2]	..	–4.5	–5.4	2.3	7.1	16.2	11.5
Other domestic sources, net	..	12.5	5.7	6.3	3.4	–10.5	–7.8
Memorandum item:							
Payment of oil taxes	..	5.1	4.9	4.5	4.8	5.4	0.2
Total domestic credit	**836.1**	**–1.4**	**–0.5**	**2.3**	**4.9**	**6.1**	**8.0**
of which:							
Commercial and savings banks	386.3	–1.5	3.3	6.9	9.1	12.0	17.4
State banks	171.7	6.5	–2.4	–2.2	–0.5	–1.9	–2.4
Mortgage institutions	104.1	–20.3	–17.8	–11.8	–1.7	–4.2	28.8
Life insurance companies and pension funds	74.4	8.8	–7.7	–7.3	–26.2	–8.1	–14.4
Bond and certificate market	63.5	–2.7	14.3	4.3	1.0	10.5	7.2
Other credit	27.0	–27.5	–10.9	32.1	96.8	–4.6	14.1

1. First half, annual rates, not seasonally adjusted.
2. Commercial, savings and State banks.
Source: Bank of Norway.

credit has been muted by subdued lending activity by the state lending institutions, as their favourable lending rate differentials relative to commercial and savings banks have been virtually eliminated (see Chapter III). The lending margins (lending rates net of deposit rates) of commercial and savings banks have nevertheless continued on a modestly declining trend, due to increasing foreign competition in the financial industry (Figure 13, Panel C).

The fiscal stance

Budget developments to date

Buoyed by rapidly rising petroleum revenues, the general government financial surplus has increased steadily in recent years, rising from 3.3 per cent of GDP in 1995 to 5.9 per cent in 1996 and an estimated 7.3 per cent in 1997 (Table 9). Such fiscal outcomes are unique in the OECD area and contrast

Table 9. **Fiscal balance: projections and outcomes**

	Outcome			1997		1998	
	1994	1995	1996	Proposed[1]	Estimate[2]	Proposed[1]	Approved[3]
Central government (NKr billion)	**–28.9**	**4.1**	**47.2**	**40.9**	**64.3**	**73.4**	**67.7**
Net proceeds from petroleum activities	25.6	38.5	69.9	65.1	84.5	85.6	87.2
Balance excluding petroleum activities	–54.5	–34.4	–22.7	–24.2	–20.2	–12.2	–19.4
Petroleum Fund (NKr billion)	**0.0**	**2.0**	**44.3**	**43.3**	**67.3**	**78.5**	**72.2**
Transfer from the central government	0.0	2.0	44.2	40.9	64.3	73.4	67.7
Return on financial assets	0.0	0.0	0.1	2.4	3.0	5.1	5.0
General government[4] (per cent of GDP)	**0.3**	**3.3**	**5.9**	**5.1**	**7.3**	**8.3**	**7.9**
Central government	0.0	3.2	6.1	5.5	7.5	8.7	8.3
Local government	0.3	0.1	–0.2	–0.4	–0.2	–0.4	–0.4
Memorandum items:							
Mainland GDP volume growth, per cent	4.3	2.7	3.7	2.5	3.5	3.0	3.2
Real ''underlying'' central government expenditure[5]	–¼	–1	1	¼	2¼	1	2¼
Adjusted central government surplus[5, 6]	2	2	1½	1	½	¾	¼
Oil price (kroner per barrel)	111	108	134	115	135	125	125
Oil and gas production[7]	180	193	222	236	237	267	267

1. October of the preceding year.
2. October 1997.
3. December 1997.
4. Net lending.
5. Change as a per cent of mainland GDP.
6. Corrected for cyclical developments, net interest payments, petroleum revenues and technical adjustments.
7. Million standard cubic meters of oil equivalents.

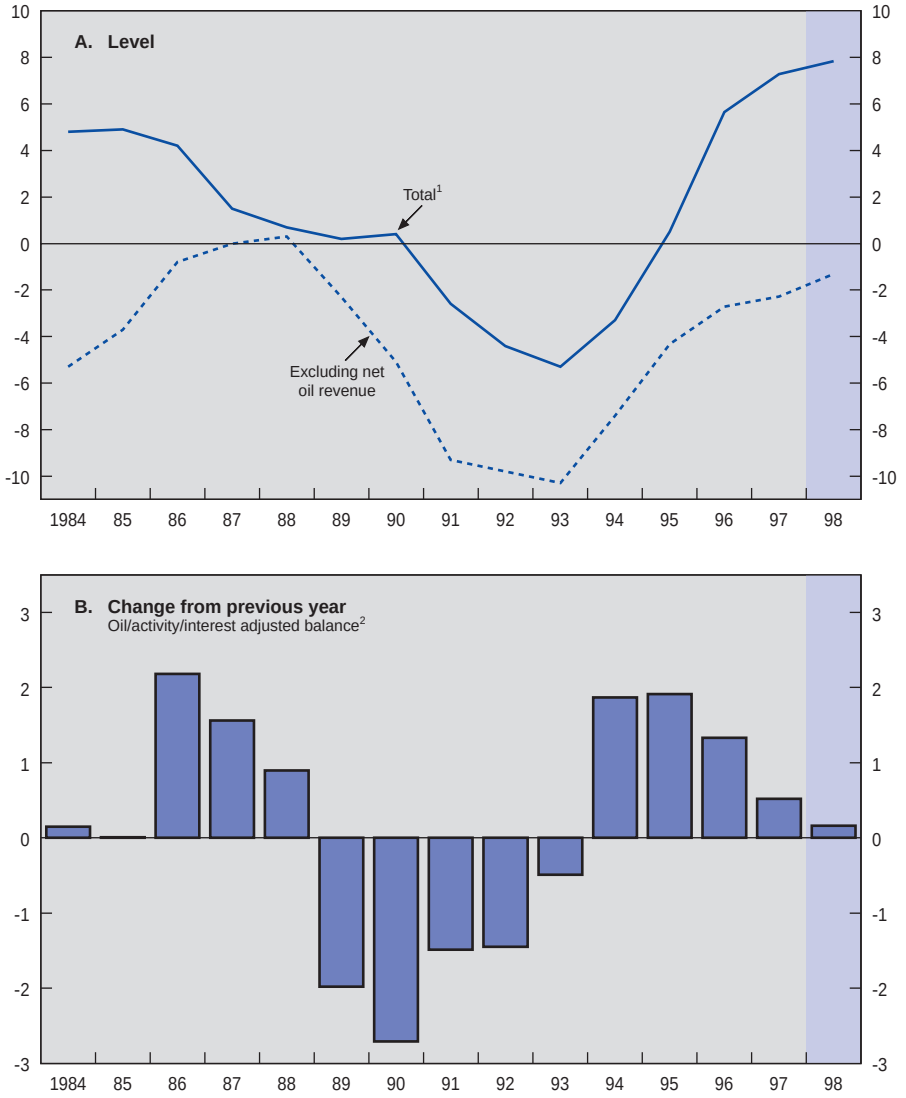
Source: Ministry of Finance.

sharply with the difficulties experienced in many other European countries to keep budget deficits in check. Although not exceptional by Norwegian historical standards, the extent of these surpluses has come largely as a surprise to the Norwegian authorities. Indeed, the general government surplus exceeded initial budget estimates by as much as 4 and 4.5 per cent of GDP in 1995 and 1996, respectively, and by 2.2 per cent in 1997. As shown in Figure 14 (Panel A), the rise in the financial surplus, which has mainly occurred at the central government level, has been brought about by a significant reduction in the ''non-oil'' budget deficit in combination with soaring petroleum revenues.

While part of the improvement of non-oil public finances resulted from the cyclical recovery of the mainland economy, fiscal consolidation played a major role. Since economic activity gained momentum in 1994, the authorities have

Figure 14. **CENTRAL GOVERNMENT BUDGET BALANCE**

As a per cent of mainland GDP



1. As a per cent of total GDP.
2. Adjusted for cyclical developments, petroleum income, foreign interest payments, capital transactions and transfers from the Bank of Norway.

Source: Ministry of Finance.

aimed at limiting real growth in central government ''underlying'' expenditure (excluding unemployment benefits and the impact of changes in accounting methods) to less than 1 per cent per year – an objective which, on average, has been comfortably achieved to date (Table 9). As a result, the stance of fiscal policy has moved markedly toward restriction, as indicated by the central government's cyclically-adjusted non-oil primary deficit (net of debt interest payments) – which is estimated by the authorities to have decreased by a cumulative 6 per cent of mainland GDP in the 1994-97 period (Figure 14, Panel B).

At the same time, the central government's oil and gas revenues have risen by almost 5 percentage points of GDP, from 2.9 per cent (NKr 26 billion) in 1994 to an estimated 7.7 per cent (NKr 85 billion) in 1997, exceeding expectations by considerable margins. As a result, the contribution of oil and gas revenues to the budget virtually returned to the level prevailing prior to the oil-price collapse in 1986 (Figure 14, Panel A). The bulk of these increases is explained by the coming on stream of new production facilities initiated (and directly owned) by the government through its ''State Direct Financial Interest'' (SDFI). The SDFI was created in 1985 to channel a greater part of the oil-related operating surpluses to the budget, with the state-owned company Statoil acting as an operator on the SDFI's behalf. Major recent investment projects of the SDFI are currently becoming operational and, as a result, are boosting the state's petroleum revenues. These effects have been compounded by an overall increase in activity on the continental shelf as a whole (including private operators), by around 30 per cent since 1994, and favourable price developments – with the price of North sea oil having climbed by over 20 per cent in krone terms since 1995. With the profits realised by the operators on the Norwegian continental shelf taxed at a marginal rate of around 80 per cent,[4] such increases in petroleum output and prices have, by themselves, tended to raise the state's oil and gas revenues by substantial amounts.

In response to such favourable fiscal outcomes, the government has begun to transfer considerable sums into the Government Petroleum Fund. The purpose of the Fund, which was formally established in 1991 but initially remained empty due to the recession, is to build up foreign financial assets as a means to preserve the public wealth currently embodied in the petroleum reserves. The Fund, which is managed by the Central Bank, has so far consisted of foreign fixed-income assets (deposits and bonds). However, new guidelines issued by the government

in October 1997 mandated the Bank to invest between 30 and 50 per cent of the Fund's capital in equity instruments (since January 1998 including derivatives), around half of which should be invested in European markets and the remainder in markets in the Americas, Asia and Oceania. In 1996 and 1997 NKr 44 billion and NKr 64 billion, respectively, have been allocated to the Fund, following an initial transfer of NKr 2 billion in 1995. According to current plans, the Fund should contain assets equivalent to NKr 570 billion or over 50 per cent of GDP by the end of the year 2001.[5]

Even though central government budgets have on average been relatively tight since 1994, there has been noticeable expenditure slippage in 1997 (relative to original budget plans), related to discretionary spending increases decided by the Parliament in January 1997 and a boost to public investment associated with the primary school reform.[6] Such spending overruns have been reflected in growth of real underlying expenditure, which exceeded the initially projected ¼ per cent increase by an estimated 2 percentage points in 1997 (Table 9).

Whereas central government expenditures have tended to fall relative to mainland GDP in recent years, a similar decline has not been achieved by local governments (municipalities and counties) – currently representing 40 per cent of general government expenditure, and employing 77 per cent of public and 24 per cent of all workers in Norway (Table 10). Local authorities' spending has been spurred by the mounting income from local taxes, supported by the favourable economic development, with health care and education absorbing the bulk of the additional resources. Efforts by the central government to contain local spending, *e.g.* by cutting local income tax rates (which are fixed at the central level) and partly replacing the lost revenue with block grants, have so far not been successful due to political resistance. This development has been a growing concern, due to the strong impact of local public spending on the demand for labour in market segments which are already tight (*i.e.* construction, health and education).

The 1998 Budget

The budget presented to the Parliament by the outgoing Labour Government on 13 October 1997 projected the general government surplus to increase further to 8.3 per cent of GDP in 1998, based on an assumed oil price of NKr 125 per barrel and a further sharp increase in oil and gas production. Accordingly, the central government account was expected to show a surplus of NKr 73 billion

Table 10. **Public finances by government level**

Per cent of mainland GDP

	Average 1988-92	1993	1994	1995	1996	1997[1]	1998[2]
Expenditure							
General government	57.8	60.5	58.8	56.6	56.5	55.4	54.6
Central government	47.0	49.8	48.3	45.9	45.4	44.5	43.9
of which: Grants	8.7	9.1	8.8	8.5	8.3	8.4	8.6
Local government	19.5	19.9	19.4	19.2	19.3	19.4	19.4
Mainland tax revenue							
General government	46.0	45.0	45.9	46.5	47.8	48.9	49.0
Central government	35.3	34.6	35.8	36.6	37.9	38.9	39.6
Local government	10.7	10.4	10.2	9.9	9.9	9.9	9.4
Other revenue							
General government	13.9	13.9	13.4	14.0	16.0	15.7	16.1
Central government	13.7	13.0	12.4	13.1	15.1	15.0	15.3
of which: Oil related	3.8	6.3	6.4	6.4	9.3	9.7	9.2
Local government	8.9	10.0	9.7	9.4	9.2	9.2	9.4
of which: Grants	8.7	9.1	8.8	8.5	8.3	8.4	8.6
Net lending							
General government	2.1	–1.6	0.4	3.9	7.3	9.2	10.6
Central government	2.0	–2.1	–0.1	3.8	7.6	9.4	11.1
Local government	0.1	0.5	0.5	0.1	–0.2	–0.3	–0.5

1. Estimates.
2. Projections.

Source: Statistics Norway, Ministry of Finance and OECD Secretariat.

(6.4 per cent of GDP), all of which was to be allocated to the Petroleum Fund. With the state's oil revenues contributing NKr 86 billion, the non-oil deficit was projected to further narrow to NKr 12 billion, or around 1 per cent of GDP. The authorities estimated this to correspond to a fiscal tightening of ¾ per cent of mainland GDP, based on an assumed moderate 1 per cent increase in real underlying expenditure and increasing tax revenues associated with real income growth and structural changes in the tax system. In particular, the special income tax regimes for liberal professions and shipping activities were to be abolished and the wealth tax to be modified.[7] A shift in income taxation from the local to the central level was also planned, a measure aimed to help the central authorities gain control over local government expenditure which, nevertheless, was projected to continue on a rising trend, largely due to a recent health care reform (see Chapter IV).

The new minority Centre Coalition Government, which took office only a few days after the release of the 1998 Budget, presented a Revised 1998 Budget in November 1997 which was approved with a few amendments in December. This document embodies a slightly easier fiscal policy stance, with real underlying expenditure of the central government projected to grow by 2¼ per cent and the adjusted fiscal surplus to improve by ¼ per cent of mainland GDP, compared to the 1 and ¾ per cent, respectively, planned by the previous government (Table 9). The main additional spending items are: *i)* an increase in the supplementary retirement allowance for people with low earnings-related pension entitlements; *ii)* the introduction of a special family allowance for one and two-year old children not enrolled in subsidised public day care; and *iii)* an increase in transfers to local governments mainly earmarked for health and elderly care. These spending increases are partly offset by higher taxation compared with the Labour Government's budget, with social security contributions and excise duties raised, and the earlier proposals to revise the wealth and income tax regimes for certain categories of tax payers only partly endorsed. Although the incoming Government also recognises the risk of economic overheating, the new budget is less restrictive than the previous Government's proposal. The risk of expenditure slippage in the process of adopting future budgets, on the other hand, may be reduced, as the parliament endorsed a new budget procedure (Box 2).

A longer-term perspective

As in other OECD countries, fiscal consolidation efforts in Norway have been motivated by concerns about the sustainability of fiscal policy in the long term, in particular the risk of saddling future generations with a disproportionately heavy tax burden. A recent update of Norway's generational accounts – assessing net transfers of wealth between generations through taxes and public expenditure programmes (assuming unchanged individual entitlements to pensions, social transfers and government services such as health care and education) – suggests, however, that inter-generational imbalances have not yet emerged, despite the ageing of the population. The main reason for this is the petroleum wealth, which allows the accumulation of substantial financial assets by the Norwegian government well before public pension expenditure is expected to surge in the second and third decades of the next century.

Box 2. **The 1997 Budget reform**

In the past, the final budget has occasionally reflected significant spending slippages from the initial budget proposal by the government. The budget procedure was also considered inefficient with two rounds of deliberations, the first of which did not result in binding agreements and hence was not very effective. At the same time, while the expenditure slippages were often compensated by higher than expected budget revenues, due to the exceptional performance of the economy, the presidential body of the parliament (Storting) decided that a revision of the budget process was needed and a special parliamentary commission was formed to examine possible pertinent reforms. In June 1997, the commission presented wide-ranging recommendations to parliament, which were largely adopted and entered into force on 1 October 1997.

Thrust of the changes

As shown in the table below (Table 11), the main changes in the budget procedure include: *i)* a simplification of the budget process – essentially adopting a ''fast track'' procedure – and *ii)* an imposition of binding decisions concerning the social security and central government budgets – with 23 separate spending and 2 income ceilings (concerning tax rates and rate of dividend pay-out from state-owned enterprises) – in terms of the overall size of the budget. Once the budget has been debated in the finance committee, the committee's proposals will be presented to the parliament for one vote by 27 November in plenary session. When the budget ceilings are fixed, further proposals to change these cannot be made. The permanent specialised parliamentary committees subsequently discuss and propose alterations to the government's detailed proposal on each budget chapter and item, subject to the binding 23 spending and 2 income ceilings. The committees' proposals are considered in plenary sessions, and final votes on each budget chapter and item are conducted by 15 December. Under this procedure, the overall budget result will not be affected by the give and take of parliamentary debate on individual chapters and items of the budget at the final stages of the process.

The main vehicle used by the government to safeguard petroleum wealth for future generations is the ''Petroleum Fund'', which has been designed also to serve a number of other purposes. In particular, it should act as a buffer against the impact of volatility in oil proceeds on the central government budget, allowing fiscal policy to focus on stabilising the mainland economy. In addition, as the fund invests in foreign financial assets, it should help relieve the upward pressure on the exchange rate associated with the huge petroleum exports, in

Table 11. **Budget procedures: sequencing of events**

	Old procedure	New procedure
Early October	The Cabinet transmits the budget and economic policy documents to the Parliament. The Minister of Finance delivers the Finance speech.	The Cabinet transmits the budget and economic policy documents to the Parliament. The Minister of Finance delivers the Finance speech.
Late October	The Financial Report – the budget proposition of the Finance Committee – is presented to the Parliament.	
Until 10 November		The Cabinet may submit additions to the budget and updated estimates of taxes and duties and rule-determined expenditures.
Early November	The Financial Report is debated in a plenary session – no votes on budget items are conducted.	
By 20 November		The Financial Report is presented with draft decisions on 23 net expenditure ceilings and two income ceilings in terms of a proposal for binding decision on the overall size of the budget.
November	The permanent committees' propositions on each budget chapter and item with alterations to the government's proposals are debated in plenary session, and preliminary votes are conducted.	
By 27 November		The Financial Report is debated in a plenary session and ceilings are adopted, after which proposals to change the amount of individual ceilings cannot be made.
Early December	Proposal for the Final Budget Bill is worked out by the government.	
By 15 December		The permanent committees' budget propositions are considered. Alterations to the government's proposal on each budget chapter and item may be put forward, but within the ceilings decided. The committees' amendments are considered in plenary session and final vote(s) conducted.
December	Final considerations and amendments in Parliament. Debate of the Final Budget Bill and final voting is conducted on each budget chapter and item.	

Source: Ministry of Finance.

order to avoid crowding-out effects on mainland industry. Conversely, when the petroleum revenues start declining, the gradual liquidation of the Fund would serve to reduce downward pressure on the exchange rate and cushion the related losses in international purchasing power. The Fund's emphasis on foreign financial investment aims, moreover, to diversify public wealth away from the risk of a combined decline in oil prices and market values of domestic financial assets.

In June 1997, the previous Government presented a new ''Long-Term Programme'' discussing a number of alternative scenarios covering the first half of the next century, and extending a medium-term projection for the period 1998-2001. One of its major findings is that a move towards a more expansionary stance of fiscal policy in the years ahead, to the detriment of the accumulation of financial assets in the Petroleum Fund, would result in large swings in fiscal balances and economic activity in subsequent decades. Like previous Long-Term Programmes, it draws attention to the risk that the expected decline in oil revenues after the turn of the century would complicate public finances, in particular as the population is ageing. The recent Programme highlights, moreover, the limited room for public employment growth in future as compared to past decades, as the labour force is expected to level off with the ageing population.

According to the baseline scenario of the Programme, the government's oil and gas proceeds will stabilise at around 6 per cent of GDP in the first decade of the next century, and gradually decline to below 2 per cent of GDP in subsequent decades (Table 12). This decline in petroleum revenues is expected to coincide with a rise in public pension expenditure from 7.5 per cent of GDP in 1995 to over 15 per cent from the third decade of the next century, with the ratio of active workers to retired people declining from 2½ to 1¾, and a doubling of the number of people over 80. Assuming that a relatively tight stance of fiscal policy is maintained in the coming decade, the general government surplus is projected to peak at 11 per cent of GDP in 2010, followed by a gradual decline towards budget balance by the year 2050. This is associated with a rise in the assets in the Petroleum Fund to a peak of 130 per cent of projected GDP by the year 2020; followed by a gradual decline to 75 per cent by 2050. It is furthermore assumed that public employment would grow by 0.6 per cent per year in the period 1995-2020, with its share in total employment (in full-time units) stabilising at around 30 per cent thereafter, and most of the increase occurring in the

Table 12. **Baseline scenario in the Long-Term Programme**

Annual averages

	1970-80	1980-95	1995-2010	2010-30	2030-50
	Growth rates				
Demand and output					
Private consumption	3.6	2.0	2.8	2.5	1.5
Public consumption	5.3	2.4	1.5	0.7	0.3
Gross fixed investment					
Mainland	5.3	0.7	2.1	1.5	1.0
Offshore	2.7	1.1	–2.8	–0.6	0.3
Exports of oil and gas	5.4	9.3	1.1	–3.9	–1.4
Net exports of other goods and services	–14.8	0.8	–1.5	–4.0	–0.2
GDP	4.7	2.7	1.9	1.2	1.3
of which: Mainland	3.7	1.9	2.0	1.6	1.3
Labour market					
Employment (full-time units)	0.1	0.1	0.6	0.0	0.0
Public employment as a per cent of total[1]	20.1	26.8	26.7	29.9	30.4
	Per cent of GDP				
Government account[1]					
Pension expenditure	5.6	7.5	9.1	15.0	16.3
Petroleum revenues	7.3	4.1	5.7	2.1	1.2
Other net revenues	2.7	5.3	14.4	17.2	15.1
Net lending	4.4	1.9	11.0	4.3	0.0
Petroleum Fund	0.0	0.0	112.7	123.4	73.4

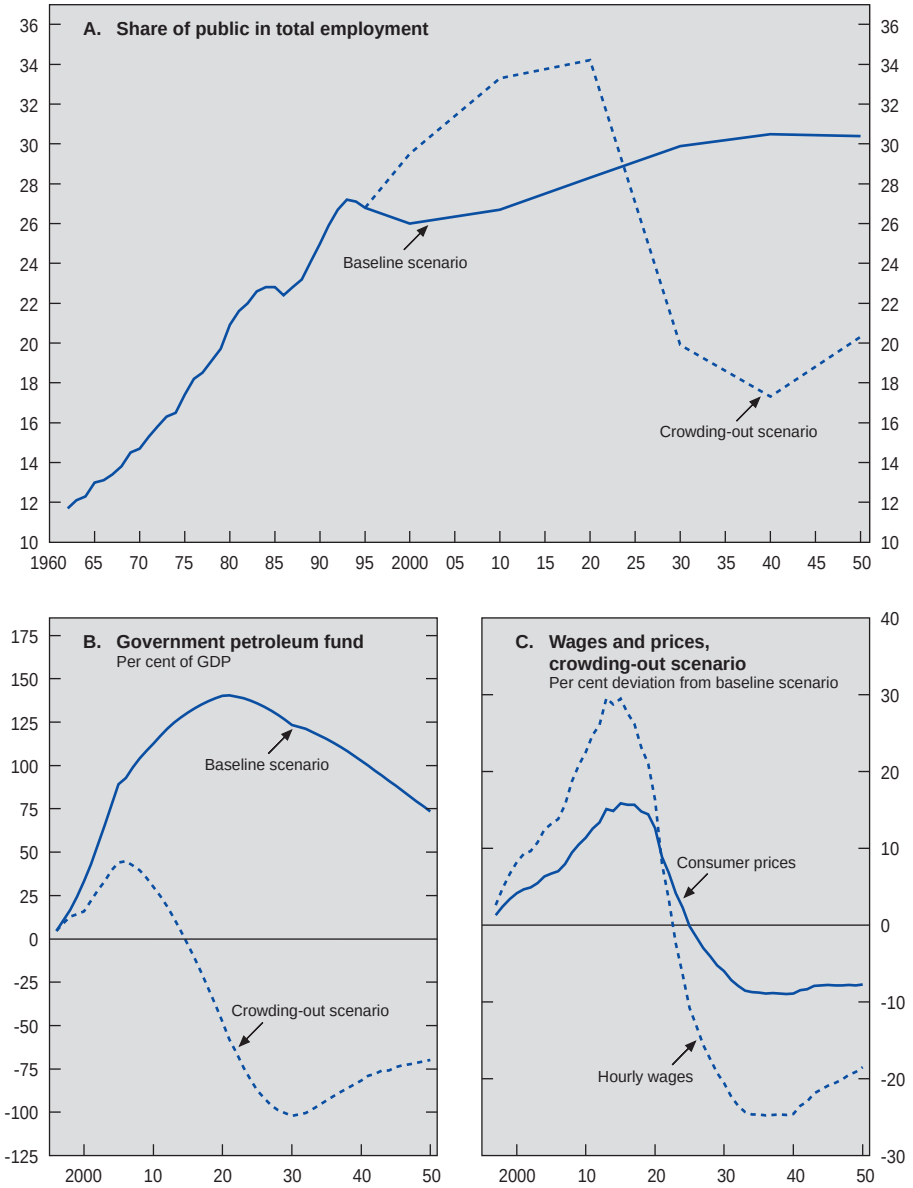
1. End of period.

Source: *The Long Term Programme 1998-2001*, Report to the Storting No. 4 (1996-1997).

health care and social services, reflecting the ageing population. The remainder of the labour force is expected to be sufficient to sustain reasonable private sector output growth, with net traditional exports nevertheless expected to decline due to continued import penetration. Other assumptions underlying the scenario are a fixed nominal exchange rate and wage growth in line with Norway's trading partners.

The alternative scenario described in the Programme illustrates how fiscal slippage might affect the mainland economy in the long run. The main result of the calculations is that an increase in the annual growth rate of public employment, from 0.6 to 1.4 per cent, would lead to a considerable crowding-out of private sector activities. The economic mechanism which produces such

Figure 15. **LONG-RUN SCENARIOS**



Source: Ministry of Finance.

crowding-out is a sharp acceleration in wage inflation associated with private firms competing for scarce labour, rather than an appreciation of the exchange rate – which is assumed to be fixed (Figure 15). The general government balance would rapidly deteriorate as a result, with the Petroleum Fund already depleted by the year 2016, soon after the ageing of the population starts to accelerate. This would in turn require a significant fiscal consolidation in order to safeguard both public finances and the external current account – given that the latter would have been adversely affected by a loss in competitiveness.

These calculations suggest that, even if the nominal exchange rate remains fixed, an insufficiently restrictive fiscal policy would result in a real appreciation of the currency through wage inflation. The stance of fiscal policy in the years ahead is therefore of fundamental importance for the long-run performance of Norway's mainland economy. On the other hand, structural policies, aimed at raising the efficiency of the mainland economy, could help limiting such damaging effects. Recent progress in such reform efforts are examined in the next chapter.

III. Implementing structural reform: a review of progress

Governments in all OECD countries are in the process of implementing structural reforms in order to enhance the long-run growth potential of their economies. In Norway, such reforms have been closely linked to the country's membership in the WTO and the European Economic Area (EEA). In particular, the EEA agreement requires that Norway harmonise its laws with the EU's *aquis communautaire* to ensure the free movement of people, capital, goods and services within the Single European Market, while the WTO agreement has led to a reduction in trade barriers. As a result, foreign competitive pressures have increased significantly in product and financial markets, while structural reform in the labour market has been less bold. This chapter reviews structural initiatives in Norway since the previous *Economic Survey*. Concerning the labour market, the recent progress in implementing the *OECD Jobs Strategy* receives special attention.

The labour market

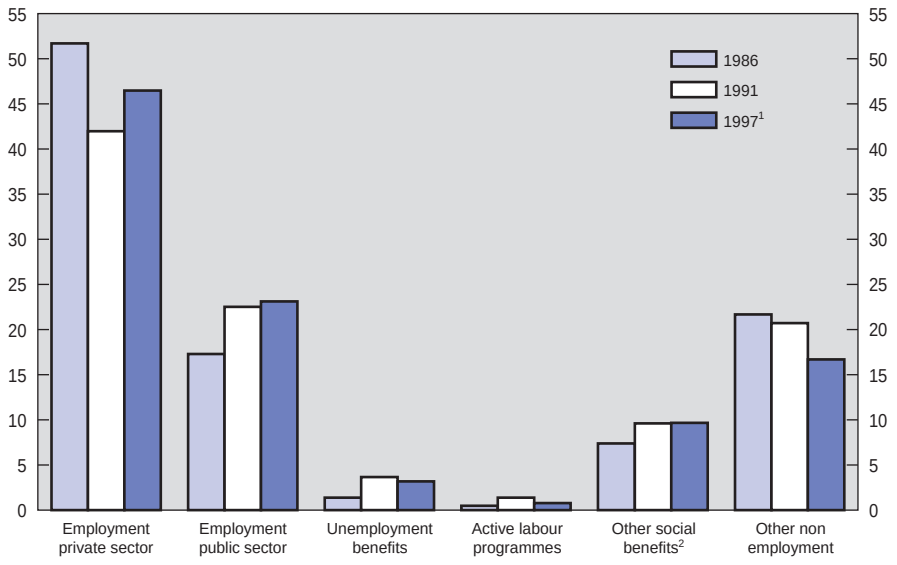
Last year's *Economic Survey* for Norway (OECD, 1997) highlighted the importance of raising active labour market participation, increasing the work incentives for benefit recipients, making relative wages more flexible and focusing the education system on removing skill mismatches. It was noted that, indeed, labour market policies in recent years have been increasingly geared to raising ''active'' labour market participation by restricting access to income support programmes – in particular the disability pension and unemployment insurance schemes – while encouraging inactive workers to enter rehabilitation, training and job programmes. However, despite a significant improvement since 1993, these measures have not succeeded in reducing the number of persons on social

benefits to the levels observed in 1986 (Figure 16). The paragraphs below provide an update of initiatives taken during the last twelve months in light of these developments. A synopsis of the Jobs Strategy recommendations and their implementation is presented in Table 13.

Various income replacement programmes have been modified over the period under review, with time limits being introduced for benefit entitlements. Most prominently, as of 1 January 1997, the unemployment insurance (UI) system has been converted from an indefinite income support scheme into temporary compensation for unemployed persons actively seeking work. The access to UI benefits has been tightened by raising the past minimum earnings entitling an unemployed person to a UI benefit, and limiting the benefit duration to 1½ or 3 years, depending on prior earnings.[8] Whenever those UI recipients who have

Figure 16. **WORKING AGE POPULATION BY LABOUR MARKET STATUS**

Per cent of total



1. Estimate.
2. Includes disability pensions, early retirement and rehabilitation benefits. Some of these beneficiaries are also included in employment.

Source: Statistics Norway and Ministry of Local Government and Labour.

Table 13. **Implementing the OECD Jobs Strategy – an overview**

Jobs Study Proposal	Action taken since the previous *Survey*	Assessment/recommendation
A. Reform unemployment and related benefits		
Consider shorter effective benefit duration	The maximum duration has been limited to three years, with the possibility of extension if participating in ALMPs	Unemployment benefit reform is going in the right direction but need to introduce longer waiting period for unemployed benefits, and to reform part-time unemployed benefits
	Transition Allowance benefit period for single parents in financial need reduced to three years and the benefit level raised	
Limit disincentives arising from benefit and tax system for low-income workers by reducing withdrawal rates and/or by reducing benefit replacement ratios as the benefit period increases	A special cash benefit to be introduced for parents of children one and two years old who do not use subsidised child care facilities	Strengthen enforcement of job search requirements and require more frequent contact of job-seekers with PES
	Accesss to earlier retirement eased to include those of 62 years of age	The new child care benefit and easier entry conditions for early retirement risk reducing labour supply
Tighten eligibility rules for unemployment benefits	Previous earnings requirement for benefit eligibility raised to 125 per cent of basic amount	
Decrease unemployment benefit entitlements for part-time unemployed persons	Increased monitoring by the PES of part-time unemployed	
Lengthen the waiting period for unemployment benefits	Waiting period of three working days replaces three calendar days	
Further limit the inflow of workers into disability pension scheme for reasons which are not strictly medical	No action	Tighter medical screening has contributed to a substantial reduction in inflow compared to the early 1990s
B. Increase employment flexibility		
Consider more liberal employment protection legislation, for *e.g.* fixed-term contracts	Recent legislation for this form of employment has been slightly eased	A further easing of job protection legislation is needed
C. Review active labour market programmes		
Improve targeting for labour market programmes	The number of participants in labour market measures has been reduced due to tight labour market conditions with more emphasis on skill enhancement	Closely monitor labour market developments by occupation and skill level and target training programmes on emerging mismatches
	Enrolment in labour market training will probably fall as this is used as a test on availability for work	

Table 13. **Implementing the OECD Jobs Strategy – an overview** *(cont.)*

Jobs Study Proposal	Action taken since the previous *Survey*	Assessment/recommendation
Evaluate active labour market programmes to better identify those which raise human capital of participants in a cost-effective way	Studies carried out show that ALMPs raise job finding probabilities six months after completion of the programmes by 12 per cent relative to non-participants	
Consider liberalising job placement services, currently monopolised by the Public Employment Service	Private job placement of foreign doctors has been allowed Private job placement and recruitment services will be considered by the government	Open up job brokerage to private services
D. Increase wage and labour cost flexibility		
Wages for youth and low skilled workers should be aligned more closely with their experience and skill level	No action	Review existing wage formation arrangements in order to enhance employability of young and low-skilled workers other than those enrolled in apprenticeships
E. Enhance product market competition		
Remove regulations that restrict competition in sectors dominated by state enterprises	General compliance with EEA and WTO agreements Since 1 January 1998, the telecommunications market has been fully liberalised	Review opportunities for the privatisation of state-owned enterprises, especially if they are in competition with private firms
Reduce direct support for agriculture	The Producer Subsidy Equivalent of public support to the agriculture sector reduced from 72 to 71 per cent of the output value	Significantly reduce the very high support for the agricultural sector
F. Enhance technology diffusion		
Improve research links between the public and private sectors		Review opportunities for further promotion of technology diffusion
Evaluate and rationalise the various technology diffusion programmes	Support for existing programmes for technology diffusion (TEFT, RUSH, FORNY, REGIN and FRAM) is projected to be around NKr 100 million in 1998	
Establish R&D co-operation networks for SMEs		
G. Promote entrepreneurship		
Encourage formation of SME clusters and networks for more effective competition with larger firms and globally	Each year around 300 start-up firms participate in *e.g.* NETWORK programme, managed by SND amounting to NKr 40 million in 1997	Proceed with efforts to strengthen SME sector

Table 13. **Implementing the OECD Jobs Strategy – an overview** *(cont.)*

Jobs Study Proposal	Action taken since the previous *Survey*	Assessment/recommendation
H. Improve labour force skills and competencies		
Promote industry-education co-operation for apprenticeship training	Reform 94 offers all vocational students that have completed basic education two years of in-work training in co-operation with private employers	Ensure that education and training meet evolving needs of labour market
Bolster career planning in secondary schools and above	Follow-up on service in upper-secondary education is introduced	

Source: OECD Secretariat.

worked for three years in the four year period prior to starting the UI benefit period, exhaust their benefit entitlements, they will be offered a place in a labour market training scheme, which will entitle them to a non-taxable daily allowance at roughly the same level as the after-tax UI benefit. In fact, the open-ended continuation of income support after UI entitlements are exhausted will be contingent on participation in such labour market programmes, which acts as a test on the availability for work of the benefit claimant.[9] Recent experience in other OECD countries has shown that this approach can lead to a significant decrease in the abuse of social benefits.

Moreover, as of 1998, the duration of the Transition Allowance (TA) – a special family allowance targeted on single parents in financial need – will be limited to three years, although an extension of two years is possible for those single parents who enrol in education. In order to make it ''economically feasible'' for single parents to enter working life, the TA benefit level will be raised by around NKr 10 000 per year.[10] If the single parent fails to find employment after the allowance expires, he or she will move to the means-tested Social Assistance (SA) programme. While this initiative may help to induce single parents to participate in the labour force, a recent government proposal to introduce a special family allowance for families who do not make use of the public child day care facility would, however, tend to go in the opposite direction.

While the trend decrease in the number of persons in active labour market programmes is expected to continue in the years ahead, the labour market authorities intend to tailor these programmes more to individual needs (Table 14). Efforts, in particular, will be focused on integrating long-term SA beneficiaries (including immigrants) into the work force.[11] Moreover, access to the municipal SA benefits – which ''top-up'' national social security benefits or earnings to ensure a minimum acceptable level of income – is being tightened.[12] In some municipalities, medical doctors are being used on an experimental basis to screen hard-to-place SA recipients for their medical fitness to work. For those found to be physically and mentally fit, it has thus become harder to reject offers for participation in work programmes or regular employment. For young (under 25) SA benefit recipients, moreover, a requirement has been introduced that they participate in four days of ''workfare'' and one day of training per week, at a reduced benefit level. The introduction of this requirement has resulted in a sharp drop in the number of young SA benefit recipients.[13] At the same time, the Youth

Table 14. **Number of persons in active labour market programmes**

Thousand persons, annual average

	1991	1992	1993	1994	1995	1996	1997[1]
Employment in public activity	9 662	10 488	14 533	11 336	8 838	6 687	2 448
Subsidised employment	3 895	4 150	3 852	4 355	3 944	3 425	2 959
Labour market training	31 311	33 845	36 275	33 688	26 010	21 840	14 974
Substitute places	0	540	2 599	3 795	3 329	2 800	1 962
Total	44 962	49 102	57 260	53 174	42 145	34 765	22 343
As a per cent of labour force	2.1	2.3	2.7	2.5	1.9	1.5	1.0
Memorandum items:							
Expenditure as a per cent of GDP							
''Active'' measures	0.94	1.04	1.15	1.34	1.34	1.20	..
''Passive'' measures	1.19	1.43	1.49	1.31	1.10	0.93	..
Total	2.13	2.47	2.64	2.65	2.44	2.13	..

1. January-September average.

Source: Ministry of Local Government and Labour and OECD Secretariat.

Guarantee – which promises any person under 25 a place in a training programme if they have not found a job within six months, and those under 20 a job or training place without any prior job search requirement – has been continued.

In addition, the Public Employment Service (PES) is being mobilised to participate in the delivery of active labour market policies targeted on SA recipients. As a growing share of long-term SA recipients do not qualify for the UI benefit or have exhausted their entitlement, they have limited incentives to register with the PES.[14] In order to involve the PES offices, agreements have been reached with municipalities to co-ordinate efforts targeted on the persons concerned, with PES personnel following individual SA cases more closely. To facilitate this task and to exploit economies of scale, it has been suggested that local government SA benefit administration and PES activities be better co-ordinated. By increasing the proximity of labour market authorities to their ''clients'', this should also lead to the setting of more appropriate benefit levels, better enforcement of job search requirements and a reduction in benefit fraud.

Although the PES formally still has a national monopoly on job broking, some private job placement agencies such as ''head-hunting'' firms, which in other OECD countries have been found to provide efficient job brokerage, have been allowed to operate by the authorities.[15] Similarly, while fixed-term contracts

and other forms of temporary employment are mostly prohibited, exemptions have been granted for certain types of office workers, in particular those in the oil industry, and fixed term contracts are allowed for special groups, such as athletes, researchers and writers. Even though the government has stated that the related prohibitions do not appear to pose a problem for firms, as they do not face significant constraints to laying-off permanent employees' for economic reasons,[16] the employers' organisation (NHO) has indicated that a relaxation of rules regarding hiring of employees on a temporary basis would be desirable. They also indicated that the PES monopoly was too restrictive and that private job placement agencies should be given a legal status, formally opening up this area to private competition.

As discussed in the special chapter on education reform in the previous *Economic Survey*, Norway has achieved practically universal participation in upper secondary education, following the comprehensive Reform 94. As part of this project, the facilities for vocational education and apprenticeship training have clearly been improved, even if some bottlenecks remain. With the financial incentives having been increased significantly for employers to offer apprenticeship contracts, their number is estimated to have increased from below 10 000 in the academic year starting in 1996 to over 11 000 in the current academic year. Furthermore, a White Paper on ''life-long learning'' is expected in the spring of 1998, elaborating on plans to stimulate older people to complete their upper secondary education. All workers would have a right to participate, but the conditions are subject to negotiations in the spring 1998 pay round. As concerns higher education, the student admission capacity has been expanded in pre-school teacher education, and medical and paramedical training in response to the increased employment opportunities in these areas following recent reform initiatives (see Chapter IV). Further expansion is envisaged in the 1998 Budget proposal, involving also transfers of admission capacity from other disciplines.

The government, in view of the prospective ageing of the population, favours an increase in labour force participation, and is exploring ways to extend the active work life to 70 years, by allowing people between 62 and 70 years to work on a part-time basis, while preparing measures to introduce an actuarially adjusted pension benefit. Nevertheless, in the spring 1997 incomes policy agreement, an extension of the full-time *early retirement programme* to people over 62 years was adopted, entailing a potential reduction in the effective retirement

age. This measure was expected to moderate wage demands, despite the long term negative impact on labour supply. Apparently, measures like early retirement and labour market training are positively valued by the labour unions, which in turn moderate their wage demands, due to the perceived net welfare gains of such combined contracts.[17] While the early retirement programme has not been used very much to date, due to the low (by Norwegian standards) replacement rate – around two-thirds of previous salary – this new measure, along with more restricted access to disability pensions, is expected to lead to its increased use. In principle, measures which tend to decrease the effective labour supply may well be welfare augmenting, as long as they increase worker's choice, subject to an appropriate incentive structure. However, even with ''actuarially fair'' pension adjustments this condition may be difficult to fulfil given high taxes and transfers. Moreover, although the unions in their approach to collective wage bargaining appear so far to have been able to neutralise the effect of labour supply reducing measures on wages, this may become increasingly difficult given the emerging labour shortages. Indeed, there may be a risk that individual employers competing for scarce labour will bid up wages with the central labour market organisations unable to prevent it.

While the *OECD Jobs Strategy* recommendations attracted considerable attention from the authorities and were discussed extensively in the Revised 1997 Budget, the above measures do not all go in the recommended direction of raising labour force participation, increasing the work incentives of benefit recipients and enhancing flexibility. Although the trade-off between equity and economic efficiency appears to cause fewer problems in Norway than elsewhere, the *OECD Jobs Strategy* expressed a concern that the distribution of labour resources across sectors and occupations may not be optimal due to the narrow wage dispersion.[18] In particular, it was recommended that relative wage flexibility be improved – allowing wages to more fully reflect demand and supply of workers with different qualifications – in order to encourage the optimal allocation of scarce labour resources and raise the level of potential output. Evidence indicates that the compressed wage distribution is mainly a problem for youth entering the labour market, in particular when they have low skills. The unemployment rates for those under 24 years of age, although lower than in many other countries, is significantly higher than for other age groups. Lower wages could help this group to find jobs more easily. In addition, while active labour market policies can help

to raise the employability of low-skill workers at current pay levels – and in fact attempt to adjust the skill profile of the labour force to the prevailing earnings distribution – they do not remove the incentives for employers to hire high-skill workers for jobs where low-skill workers would perform satisfactorily.[19] As a result, low-skill workers tend to be ''squeezed'' (Larsen, 1994). Flexible wage setting will also make skill acquisition – through experience or education – more lucrative, which over time may tend to counteract a widening of the wage distribution. Moreover, low paid workers may over the longer term move upwards in the earnings scale, perhaps in part reflecting incentives to acquire additional qualifications.[20] Finally, continued efforts to reform the labour market would complement measures to improve the functioning of product and financial markets aimed at enhancing the capacity of the economy to sustain non-inflationary growth in coming years.

Product markets

The state involvement in commercial activities has traditionally been more important in Norway than in most other OECD countries. For example, limited joint stock companies in Norway, in which the government has an ownership stake, represent between 15 and 20 per cent of industrial employment and 20 per cent of the capitalisation on the Oslo stock exchange. The total value of such state-owned companies, including those not listed on the stock exchange, is estimated at over 100 per cent of GDP, of which around three-quarters relate to activities in the oil and gas sector (Statoil and the SDFI – see Chapter II), while the remainder relates to mainland business activities. Many state-owned enterprises are managed as normal joint-stock companies, and in principle (and also in practice) are not bailed out by the government in case of bankruptcy. Moreover, to improve the efficiency of these companies, the government demands a reasonable dividend pay-out based on a target rate of return on capital.

State involvement in industrial activities is likely to remain substantial, motivated by the desire to keep control of domestic industries. The previous government aimed at shifting the emphasis from complete state-ownership to promoting co-operation between state-owned and private companies through the formation of a mixed (private/public) venture capital fund. The new government has, however, abandoned that proposal, including the creation of a venture capital

fund that would amount to around NKr 5 billion, with a state participation of at least 49 per cent.[21] Alternative approaches to raising capital for domestic industries, through investment in shares by the public, has in the past been encouraged through pertinent tax breaks. In the 1998 Budget it was decided to reduce the favourable treatment of share ownership by the wealth tax and make it more similar to that of other investment instruments.[22]

The Norwegian authorities have in recent years offered some forms of support to small and medium-sized enterprises (SMEs), including export guarantees and loans for business development. Recent measures have focused on improving the delivery of such support. In particular, the co-ordination of SME assistance and the allocation of export guarantees has been transferred from the Ministry of Foreign Affairs to the Ministry of Trade and Industry, which also manages the SND (the state's industry and regional development fund). The SND provides credits to SMEs mainly in rural and remote areas, with the outstanding loans currently amounting to around NKr 10 billion (1 per cent of GDP). Net welfare effects of government subsidies to SMEs are difficult to assess, due to the lack of clear evidence to show that the benefits associated with correcting perceived ''market failure'' actually exceed the cost involved in fixing it (or related ''government failure'' in pursuing this task). All such measures should therefore be subjected to rigorous cost-benefit analysis

As discussed in the previous *Economic Survey* (OECD, 1997), the Uruguay Round Agreement has prompted various changes concerning the extensive system of agricultural support in Norway. The state monopoly over cereal imports was abolished, quantitative import restrictions were replaced by tariffs, and remaining import quotas were allocated through auctioning of import licenses so that rents from quota restrictions accrue to the government. While the existing quota system dating back to 1983 has been maintained, a system of tradable milk quotas within each of the nine regions (with administered price limits) was introduced in January 1997 to encourage a more efficient utilisation of the existing production capacity. In July 1997, new regulations were introduced to reform the practice started in 1936 that milk prices should be equalised for different producers (milk, cheese, butter, etc.) and between regions.[23] At the same time, the system of administered prices for agricultural products based on annual Agricultural Agreements between the government and the farmers' organisations will be continued. The producer subsidy equivalent of agricultural support in

Norway is already very high by international standards, entailing a continued heavy burden on consumers and tax payers. As a result, a radical overhaul of the existing system of agricultural support is clearly desirable on efficiency grounds, but faces formidable political difficulties.

Following a crisis of excess production of Norwegian farmed salmon, comprehensive reforms of the regulations and institutional framework guiding the farmed salmon industry were introduced in 1991, including a change in the ownership regulations, previously based on site and production quotas. At the same time, a central organisation was created to improve the international marketing and distribution of farmed salmon products. The reforms attracted many entrepreneurs and investors to the industry, raising the availability of modern production technology and marketing know-how. As a result, production costs of farmed salmon declined considerably, and despite continued reductions in market prices, gross margins turned positive. The resulting changes also gave Norwegian salmon producers a cost advantage in the European market, entailing claims by Scottish producers that Norwegian producers were dumping salmon on the EU market.[24] Although the Norwegian authorities contested these allegations, they agreed to a price floor and ceiling for Norwegian salmon exports to the EU area, as well as setting up a consultation and surveillance procedure with the European Commission. These regulations entered into force on 1 July 1997.

Several measures have been introduced or announced recently to further deregulate markets for power production and distribution, telecommunications and air transport. After power supply in the electricity market was deregulated pursuant to the Energy Act in 1991, only large customers seemed to benefit from the presence of lower cost suppliers, while households had more limited information and fixed costs associated with finding out about suppliers and electricity charges. As of 1 January 1997, better information is being provided to households. At the same time, the system of taxation of electricity producers was reviewed to bring it in line with the 1992 tax reform, with the introduction of: *i)* a profit tax for publicly owned electricity producers; *ii)* a tax on resource rents; *iii)* new rules for property taxation; and *iv)* a limit on the deductibility of interest cost for publicly owned electricity producers. The Water Resources and Energy Administration, on 1 January 1997, adopted new regulation on the operation and use of the electricity grid, allowing network companies who increase their rate of return through productivity increases to keep the additional profits, but only up to

a certain limit, defined in terms of the general level of interest rates. These measures improve the incentive structure and establish a more level playing field between private and public operators.

Most segments of the telecommunications market were already liberalised several years ago, but in addition the EEA agreement requires that the state monopoly embodied in the telecommunications company Telenor be abolished by 1 January 1998, permitting market access for both domestic and foreign competitors. Airlines based in other EEA countries have legal rights of access to the Norwegian market since 1 April 1997. However, the effective access of foreign carriers has been limited due to insufficient airport capacity during peak hours. As the current situation favours carriers already in possession of landing and take-off permits, the deregulation of the airline industry may not result in increased effective competition and lower prices, until capacity has been expanded with the completion of the new international airport at Gardermoen (Oslo). Following the EEA agreement, professional services in Norway may see increased inflows of pertinent manpower from the EEA area (EU countries, Iceland, Liechtenstein, as well as Norway). In fact, medical doctors are already being actively recruited to meet an existing shortage in the more remote regions of the country. The related pharmaceuticals sector, which is very tightly regulated in Norway, is also being considered for liberalisation, in order to increase competition between pharmacy outlets and to reduce retail prices of drugs (see Chapter IV). The EEA Public procurement agreement, finally, seems to have led to stronger competition among suppliers of goods and services to local governments.

The Competition Act, effective since January 1994, provides the Norwegian Competition Authority with a mandate to supervise business practices and to act against anti-competitive activities. The Act is based on two principles: *i)* a prohibition of collaboration concerning prices, market sharing and bid-rigging; *ii)* legal power of the Competition Authority to intervene in individual cases of anti-competitive practices, as well as in cases where the acquisition of enterprises leads to a significant reduction of competition. The Competition Act does not, however, include a mandatory merger notification.[25] The Competition Authority has acted against Telenor, which was found to provide financial support to its subsidiaries in competition with private suppliers. In this case, the Authority has ruled that monopoly and non-monopoly parts of the company need to be clearly

separated. Moreover, municipal-owned power plants were found to behave in a non-competitive manner by not appropriately reacting to price signals from the electricity spot market. A main concern with regard to the functioning of the Competition Authority itself is that it lacks a separate appellate body (*i.e.* a Competition Appeals Board) which would ensure an independent handling of appeals in competition policy matters. In the current set-up, the Authority reports violations to the department responsible for competition policy issues within the Ministry of Labour and Administration. Another concern is that the EFTA Council usually adopts changes in EU regulations with some lag, which leaves Norwegian producers in a temporary legal vacuum.

In sum, while various efforts and some progress have been made in reforming product markets, notably in the deregulation of public utilities and transport companies, several important reforms should be undertaken to further improve efficiency. First, the rationale underlying widespread government control of certain industries ''in the national interest'' should be made transparent and the implications for efficiency should be carefully analysed. Opportunities for privatising state-owned companies should be reviewed, especially if these companies are in competition with private firms. Second, government subsidies which cannot be clearly justified on general welfare principles should be phased out. Third, the very high support to the agricultural sector should be reviewed with a view to reducing agricultural prices and public taxes. Fourth, in order to ensure that competition laws fully apply to state-owned companies competing with private firms, an independent appellate body should be formed to resolve litigation initiated by the Competition Authority.

Financial services

Since the banking crisis of the early 1990s, much progress has been made in restoring the banking sector to financial soundness, while the operating environment of banks has become more competitive. Competition is strengthened by the steady rise in the number of foreign bank branches and non-bank financial firms. At the same time, mergers of Norwegian financial institutions are likely to reduce costs through the elimination of overlapping branch networks. Banks' operating environment has benefited from more effective bank supervision, as well as the adoption of a new deposit guarantee scheme and changes in reserve requirements.

Concerning bank supervision, the mandates of *Kredittilsynet* – the Norwegian banking, insurance and securities commission which was created in 1986 to supervise banks[26] – were strengthened by new legislation introduced in 1992, which was fully implemented in 1996. This legislation stipulates that the Kredittilsynet should ensure that institutions operating under its supervision do so in an ''appropriate and proper manner''. Moreover, in addition to its supervisory and monitoring role, the Kredittilsynet is responsible for contributing its expert advice on legislative proposals aimed at ensuring a well functioning financial sector. Given that the Norwegian financial sector continues to undergo significant structural change, successful execution of these functions remains especially important.

With the opening up of the Norwegian financial industry following the EEA agreement, competition from foreign banks and non-bank financial firms in the domestic lending market has gradually intensified, as reflected in a decline in bank's operating cost ratios and net interest income (Table 15). The number of foreign banks with establishments in Norway increased from three in 1996 to seven in 1997, of which six are branches and one is a subsidiary.[27] In addition, the Dutch *ABN-AMRO Bank* has established a unit for money market and securities operations, while Norwegian insurers are entering the banking market as well. Foreign institutions have been able to triple their market share from 4 per cent in 1993 to 12 per cent in 1997. Foreign banks are mainly active in the foreign exchange and securities markets as well as the lending market for large corporate borrowers, but find it more difficult to penetrate the SME lending market due to a lack of appropriate infrastructure and informational disadvantages linked to their less well-established local presence.

In recent years, the integration of the Nordic financial market has accelerated with mergers of large Swedish, Finnish and Danish financial institutions. Norwegian financial institutions have not participated in this process directly, and concentration in this sector has declined slightly in the 1990s.[28] Nevertheless, about 65 per cent of the assets of Norwegian commercial banks are currently in the hands of *Den norske Bank* (DnB), *Kreditkassen* and the fully state-owned *Postbank*, which together manage one-third of all mutual funds (Table 16). After an acquisition of *Vital* by DnB last summer, commercial banks account for almost 60 per cent of the life insurance market. As Norwegian legislation shields savings banks from acquisition by non-savings banks,[29] a further integration of

Table 15. **Banks' operating results**

Per cent of average total assets

	1991	1992	1993	1994	1995	1996	1997[1]
Commercial banks							
Net interest revenue	2.5	2.8	3.1	2.9	2.4	2.2	1.9
Other operating revenues	0.9	1.1	1.5	1.0	1.2	1.2	1.2
Operating costs[2]	0.0	0.0	0.0	0.0	0.0	2.4	2.1
Operating results before losses	3.3	3.9	4.6	3.8	3.6	1.0	1.0
Loan losses	4.3	2.3	1.4	0.1	–0.3	–0.2	–0.1
Operating results after loan losses	–1.0	1.6	3.2	1.2	1.4	1.3	1.1
Memorandum item:							
Capital adequacy ratio[3]	7.1	8.6	12.0	12.4	11.9	11.6	10.7
Savings banks							
Net interest revenue	3.8	4.3	4.7	4.1	3.6	3.2	2.9
Other operating revenues	0.6	0.8	1.5	0.5	1.1	1.1	1.1
Operating costs[2]	0.0	0.0	0.0	0.0	0.0	2.9	2.6
Operating results before losses	4.4	5.2	6.2	4.6	1.8	1.4	1.4
Loan losses	2.1	1.8	1.2	0.4	0.1	0.1	0.0
Operating results after loan losses	2.3	3.3	5.0	4.2	1.6	1.4	1.3
Memorandum item:							
Capital adequacy ratio[3]	7.8	10.6	14.4	14.9	14.2	13.9	13.1

1. First half.
2. Including write-downs and losses on sales of fixed assets.
3. BIS standards.

Source: Bank of Norway.

Table 16. **Features of Norwegian banks**

1996

	Per cent shares			*Memorandum items*		
	Listed capital	Assets	Pre-tax profits	Return on assets	BIS capital ratio	State share of capital
Commercial banks						
Den norske Bank	33.0	29.7	33.5	1.44	10.90	52
Kredit kassen	23.5	25.3	26.7	1.34	10.60	51
Union Bank of Norway	15.6	17.9	14.4	1.02	13.30	0
Postbank	9.3	10.0	5.8	0.74	15.88	100
Fokus Bank	4.9	5.4	5.7	1.34	10.76	0
Regional savings banks						
Nord Norge	3.8	3.5	4.5	1.64	12.21	0
Rogaland	3.5	3.5	3.0	1.09	12.77	0
Midt-Norge	3.3	2.9	3.9	1.70	12.31	0
Hedmark	3.1	1.6	2.4	1.86	16.20	0
Total	100	100	100	..	..	..

Source: *The Banker*, July 1997.

the commercial and regional savings banking sectors is unlikely to take place. Moreover, the ability of the major Norwegian commercial banks to take advantage of opportunities presented by integration in the Nordic financial market has been limited by the still significant participation of the state in the banking industry. Although the outgoing government recently announced that the state's share in DnB and Kreditkassen would be reduced from slightly above 50 to 33 per cent, the government aims to retain a ''blocking minority''. Similarly, the ownership rules for financial institutions in Norway, stipulating that no one can own more than 10 per cent of the share capital, may restrict take-overs in this sector. Indeed, in order for a take-over bid to succeed, acceptance must be gained from shareholders representing at least 90 per cent of the share capital.

Concerning the activities of the traditional state banks (the Norwegian Regional and Development Fund (SND), the Norwegian State Housing Bank, the State Educational Loan Fund and the Norwegian Municipalities Bank), various initiatives have been taken in response to complaints by the commercial banks to address the issue of subsidised lending activities and distortions of credit markets. With effect from 1997, the Norwegian Regional and Development Fund's primary loan activity will be re-focused on high-risk financing and rural development. Indeed, market based systems for borrowing and lending are in place for all the state banks except the State Educational Loan Fund. All the state banks, except the Norwegian Municipalities Bank, borrow from the state to finance their lending activities. The state bank's borrowing rates are now based on market interest rates with a mark-up of half a percentage point. A similar system for interest rate setting is to be adopted on 1 January 1999 for the funding of government guaranteed student loans by the State Educational Loan Fund, with the borrowing rate one percentage point above the bond rate. Mortgage loans by the Housing Bank are only provided if the borrower meets certain criteria (size of the property, price of land and price of property). A recent complaint from the Bankers Association that the state-owned Housing Bank competes on an unfair basis with the commercial banks was filed with the EFTA Surveillance Authority which, however, ruled in favour of the existing practice. Nevertheless, although some recent changes have reduced the competitive advantages of the Housing Bank, it seems to enjoy an advantage at the long end of the market, implied by an informal state guarantee on its loans. If subsidised credit is considered a useful instrument in achieving equity goals, its delivery should ensure a level playing

field, while also enhancing the efficiency of the domestic capital market. In this regard, it would be advisable either to restrict the role of the Housing Bank to the provision of targeted financial support for disadvantaged groups, or to abolish the Housing Bank altogether and distribute mortgage subsidy vouchers, redeemable at any commercial bank.

While the Norwegian banking industry has been strengthened by increased foreign competition and improvements in the banks' operating environment (a new deposit guarantee scheme, changes in reserve requirements and more effective bank supervision), there remains significant scope for further reform of this sector. In particular, the government's direct involvement in the banking sector, necessitated by the banking crisis, should now be brought to a close, combined with a revision of the ownership regulations concerning both commercial and savings banks. The perceived market failure being corrected by the government's financial institutions (*e.g.* SND, Housing Bank, etc.) may well be better dealt with through a full privatisation and further liberalisation of the financial industry. Such reform would also enable the Norwegian financial industry to fully share in the benefits of the ongoing integration of the Nordic financial market.

IV. The health care system

A key feature of the Norwegian health care system is the predominance of tax-financed public provision, akin to health systems in the rest of the Nordic area and the United Kingdom. This approach contrasts with the dominant model in many OECD countries, whereby privately provided health services are being funded by a mix of social and private insurance. The Norwegian health care system has succeeded in securing universal coverage and high quality service while, at around 8 per cent of GDP, absorbing resources around the international average (Figure 17). Nevertheless, the system faces several challenges, most prominently:

i) acute capacity shortages suggested by long waiting lists for hospital admission and the lack of physicians and other medical staff;

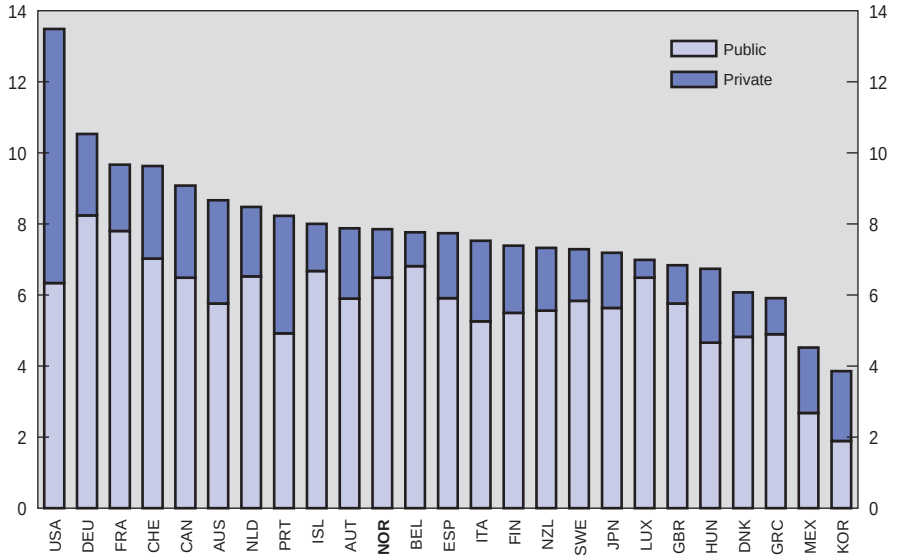
ii) the need to strike a balance between the requirements of a cost-efficient health care system on the one hand and the ambition to maintain a full-fledged health service in even the remotest parts of the country on the other; and

iii) the risk of major expenditure increases in the future.

This chapter first presents an overview of the system, focusing on the role of the public sector, the funding arrangements and the performance and cost, followed by a discussion of the main problems associated with the system. The chapter concludes with a discussion of recent reform initiatives and some suggestions for further change.

Figure 17. **HEALTH EXPENDITURE IN OECD COUNTRIES**

As a per cent of GDP, 1996[1]



1. Total expenditure. Data for 1995 for Japan, Korea, Luxembourg and Switzerland.
Source: OECD Health Data 97.

Main features of the system

Service provision

Norway's health care system provides a wide range of services not only in the major urban areas which are concentrated in the southern part of the country, but also in the most thinly settled parts. Apart from socio-cultural and political considerations, this is a reason why, in Norway, the provision of health services has traditionally been in the hands of the public sector. Except for a few specialised private hospitals in the main urban areas, voluntary health agencies such as the Red Cross, or with a regional focus, are fully embedded in the system. By contrast, a significant private provision of ambulatory health care (physicians, dentists and physiotherapists in private practice) has co-existed with the public system.

While the planning of the Norwegian health system in principle is relatively centralised, most provision tasks were transferred during the 1970s and early 1980s from the central to the county and municipal administrative levels, and it is the latter two administrative layers that currently account for the bulk of health care expenditure (Table 17). Nevertheless, both the regulation and supervision of health care activities have remained the responsibility of the national authorities (Table 18). Their mandate is to ensure that the plans submitted by the county and municipal authorities are consistent with national objectives and targets, and to achieve a reasonable task sharing between the various administrative levels (national authorities, counties and municipalities) as well as an efficient allocation of resources overall. The central supervisory authority, the Norwegian Board of Health, receives instructions from the Ministry of Health and Social Affairs and is assisted by medical officers (*fylkeslegen*) who are stationed in the counties. The central health authorities have retained some delivery mandates as well, including the control of several national councils, research institutions, the National Hospital of Norway (Rikshospitalet), the National Cancer Hospital (Radiumhospitalet) and a few other highly specialised hospitals.

Since the adoption of the 1969 Hospital Act, each of Norway's 19 counties has assumed the responsibility for the planning and operating of the local hospital sector (including both general and psychiatric institutions) as well as other specialised medical services, such as laboratory, radiographic and ambulance services, special care for alcohol and drug addicts and dental care for adults. Each county council, which is directly elected for a four year term, organises the

Table 17. **Health care expenditure by government level**

Per cent of GDP

	1980	1985	1990	1991	1992	1993	1994	1995	1996
Consumption	**6.1**	**6.0**	**6.9**	**6.9**	**7.3**	**7.3**	**7.1**	**7.0**	**6.9**
State	1.4	1.1	1.7	1.8	1.9	2.2	2.0	2.1	2.1
Municipalities	1.3	1.7	2.6	2.8	3.1	3.0	2.9	2.8	2.8
Counties	3.4	3.2	2.6	2.2	2.2	2.2	2.2	2.1	2.0
Investment	**0.5**	**0.3**	**0.3**	**0.4**	**0.4**	**0.3**	**0.4**	**0.5**	**0.4**
Total	**6.6**	**6.3**	**7.3**	**7.3**	**7.6**	**7.6**	**7.4**	**7.5**	**7.3**

Source: Ministry of Health and Social Affairs.

Table 18. **Health care provision by government level**

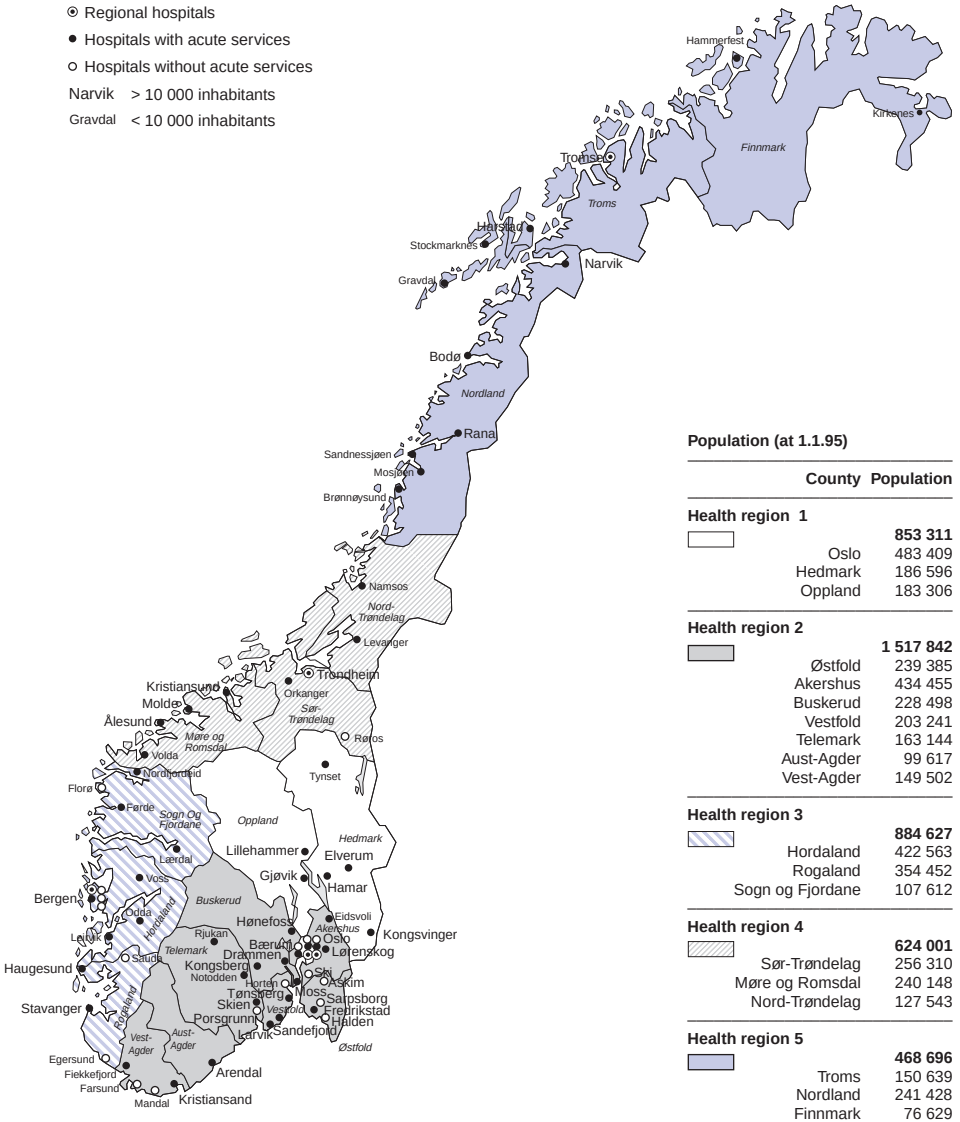
Government level	Political decision making body	Executive body	Responsibilities
National authorities	Parliament	Ministry of Health and Social Affairs	– Preparing legislation – Approving capacity expansion – Budgeting and planning – Information management – Policy design
Counties (19)	County councils	County Administration Authority	– Hospitals (somatic and psychiatric) – Specialist health services – Institutions for the treatment of drug and alcohol abuse – Dental services
Municipalities (435)	Municipal councils	Local administration	– Municipal health and social services plan
	Municipal executive boards	Municipal executive boards	– Primary health care – Social services/social security administration
	Mayors, Sector committees for health and social affairs	Health and social services	– Nursing homes – Care of mentally handicapped persons

Source: Ministry of Health and Social Affairs.

hospital services within its territory according to its own priorities within the overall national objectives. Thus, the counties are legally obliged to submit plans for their health services on a regular basis for approval to the Ministry of Health and Social Affairs. The construction or substantial expansion of hospitals also requires an authorisation by the central authorities. The county councils may ask for assistance by the state-appointed medical officer, who is also a member of the county hospital boards.

Since 1974, the 19 counties have been grouped into five so-called health regions, headed by regional health committees which co-ordinate hospital planning on the basis of consensus between county representatives (Figure 18). There are currently 84 general and 14 psychiatric hospitals, whose average size is small by international standards. In each region one regional hospital, which is owned by the county in which it is located (except for one case where the regional hospital is owned by the central government), provides the most specialised

Figure 18. **HOSPITALS AND HEALTH REGIONS**



Population (at 1.1.95)

County	Population
Health region 1	
	853 311
Oslo	483 409
Hedmark	186 596
Oppland	183 306
Health region 2	
	1 517 842
Østfold	239 385
Akershus	434 455
Buskerud	228 498
Vestfold	203 241
Telemark	163 144
Aust-Agder	99 617
Vest-Agder	149 502
Health region 3	
	884 627
Hordaland	422 563
Rogaland	354 452
Sogn og Fjordane	107 612
Health region 4	
	624 001
Sør-Trøndelag	256 310
Møre og Romsdal	240 148
Nord-Trøndelag	127 543
Health region 5	
	468 696
Troms	150 639
Nordland	241 428
Finnmark	76 629
Svalbard og Jan Mayen	–
Total	**4 348 476**

Source: St meld nr 24 (1996-97), Tilgjengelighet og faglighet.

services as well as university level teaching facilities, while the other county hospitals offer less specialised services (Table 19). With the improvement of communication and transportation facilities (including ambulance helicopter bases covering the whole country), the structure of the hospital sector is likely to be changed. In particular, the number of general hospitals may be reduced, although it is more likely that the emphasis will be on a re-allocation of hospital functions across existing institutions.

Table 19. **Structure of hospital services**

1994

	Number of establishments	Inpatient stays		Outpatient consultations	
		Number of patients	Per cent share	Number of patients	Per cent share
Regional hospitals	**5**	**156 500**	**24.9**	**848 200**	**29.1**
County hospitals	**80**	**471 200**	**75.1**	**2 062 700**	**70.9**
Central county hospitals	12	201 400	32.1	890 500	30.6
County hospitals with central departments	11	106 000	16.9	505 700	17.4
Local hospitals	22	86 000	13.8	363 200	12.5
County hospitals with central departments with reduced services	14	45 500	7.2	203 700	7.0
Specialised hospitals	21	31 800	5.1	99 600	3.4
Total	**85**	**627 800**	**100.0**	**2 910 900**	**100.0**

Source: NOU 1997:2, *Pasienten først*.

In addition to the public hospital sector, there is a small private hospital sector consisting of five very small private hospitals with outpatient clinics in Oslo – representing less than 1 per cent of the total number of hospital beds and 5 per cent of the outpatient services provided in Norway. These private clinics have specialised in open heart surgery, hip surgery and minor surgery such as arthroscopy, inguinal hernia, cataracts, sterilisation and varicose vein operations, in response to long waiting lists for such care at public hospitals. Norwegian law imposes tight restrictions on establishing such private hospitals. Some medical laboratories and x-ray institutes are also private. Moreover, specialists can engage in private practice (with their fees partly reimbursed by the social insurance system – see below), part-time or full-time, although the hospitals still employ the vast majority of specialists.

Since 1984 primary health care has been the responsibility of the municipalities (unlike Sweden, where primary care is the counties' responsibility). Although municipal populations vary widely in Norway, from just over 200 to almost 500 000 inhabitants per municipality, each municipality must (by law) offer services for disease prevention and health promotion, diagnosis and treatment of illness, rehabilitation, and long-term care. Many of such medical services are supplied by municipal ''health centres'', often including physicians in group practice, although a system of private practice for physicians, physiotherapists, dentists and midwives has co-existed with the public service throughout the post war period. Dental care for children and adolescents up to age 18, as well as for disabled persons and patients in nursing homes or receiving home care, however, is provided free of charge by specialised services owned by the counties. Since 1988 the task of running nursing homes was shifted from the counties to the municipalities and this measure was followed in 1991 with the transfer of the care of mentally retarded from the counties to municipalities.

Although there are no legislated minimum requirements for physician-patient ratios, all municipalities must employ a physician who carries out both administrative and clinical functions. Since the adoption of the Municipal Health Act of 1984, the municipality may also contract general practitioners (GPs) in private practice on a fee-for-service basis – a system which, as discussed below, will be reformed. In fact, 50 to 60 per cent of GPs are in private medical practice. Although Norwegians are free to choose their physician, in many municipalities with a small population there is only limited choice. The establishment of new positions for both GPs and hospital specialists is centrally regulated, in order to promote a geographically balanced distribution of doctors. Approval of a municipal request for a new position is the responsibility of a commission whose members include *inter alia* the central government and the Norwegian Medical Association (NMA) – which represents the vast majority of Norwegian physicians.

Funding

As noted, the Norwegian health care system is mostly publicly funded. The central government provides grants to the counties who, in turn, finance the bulk of the hospital sector. The municipalities also receive grants from the central authorities, and largely fund the primary health care system. Finally, the state-run

National Insurance Scheme (NIS), created in 1967, offers public insurance against individual medical expenses (fees for service) for ambulatory care provided by hospitals and private practitioners.

Hospital financing

The funding of the county hospital system (including university hospitals and hospitals owned by non-profit organisations) is three-tiered, with:

- the county councils providing the bulk of hospital financing which, in turn, is funded by local tax proceeds and block grants received from the central government;
- contributions from the NIS and the education authorities for, respectively, ambulatory (outpatient) care and teaching services; and
- earmarked grants provided by the central government through the county budgets targeted on specific activities to reflect national policy objectives (for example to reduce waiting lists) or to remove unacceptable differences in service levels between counties.

In addition, hospitals derive some income from patient co-payments for ambulatory care and transfers from other counties to cover the cost of the treatment of non-resident ''guest'' patients (Table 20). Private commercial hospitals are financed only by patient co-payments, NIS reimbursements and contract-based grants from the counties.

Since 1980, the block grants from the central government to the county council for hospital financing have been fixed annually according to a set of criteria such as per capita income in the county, the age composition of its

Table 20. **Financing of hospital services**

	1994		1995		Per cent volume change
	NKr million	Per cent	NKr million	Per cent	
County councils	14 098	72.9	14 140	68.7	–1.9
NIS refunds for ambulatory care	1 675	8.7	1 804	8.8	5.4
Other state refunds	2 222	11.5	3 347	16.3	47.4
Other	1 335	6.9	1 285	6.2	–5.8
Total	19 330	100.0	20 575	100.0	4.1

Source: Sintef, NIS.

population and its population density (previously funding levels were set according to historical cost of the hospitals). The counties, in turn, provide their hospitals with an annual budget, from which most of the specialist physicians and other staff are paid salaries according to a national pay scale, while major capital spending is budgeted separately on an *ad hoc* basis. As of 1 July 1997 the grant system has been modified, however, with 30 per cent (45 per cent as of 1 January 1998) of the central government grants to the counties henceforth based on the actual number of patients treated, their diagnosed medical conditions and a national standardised cost per treatment. This so-called Diagnostic Related Groups (DRG) approach, which was first introduced in the United States in 1983 and has since been considered or implemented for funding purposes in some other OECD countries, comes closest to being output-based and is hence expected to strengthen providers' incentives to increase efficiency and productivity (OECD, 1995). It should be noted that the legislated split between DRG-based funding and block grants only applies to the financial flows from the central government to the counties: the counties are not obliged to adopt the same split, as they are free to (re-)allocate hospital resources according to local priorities.

Financing of primary care

The municipal health service is financed through a combination of grants from the local government, retrospective reimbursement by the NIS for services supplied and out-of-pocket payments by the patients. The municipalities, in turn, receive block grants from the central government based on criteria comparable to those applied for county financing, which complement local revenues from taxes and charges.[30] Patients pay NKr 92 out of pocket per consultation for a GP (and NKr 185 per consultation for a specialist in private practice or in an outpatient department), while additional fees may be charged for x-rays, after hours consultations and home visits. However, total out-of-pocket payments can never exceed NKr 1 290 per patient per year. This upper limit includes the cost of transportation to the site of medical care and the co-payments of ''blue tickets'' for pharmaceuticals, with the latter also limited to NKr 330 per prescription. Subsequent fees and drug charges are fully reimbursed for the year in which the co-payment ceiling has been reached. No out-of-pocket payments at all are required for children below seven years of age, and the elderly are entitled to a reduction.

GPs and other local staff employed by the municipality receive a fixed salary which is centrally negotiated (municipalities employ 40 per cent of the GPs in Norway). Conversely, GPs who run a private practice under contract with

the municipality (50 per cent of GPs) receive an annual grant from the municipality which, on aggregate, constitutes around 35 per cent of doctors' income. The remainder of their income is based on (standardised) fees for service, with full discretion of doctors over the level and mix of services, referrals and other treatment options. Of these fees on average three-quarters is paid directly by the NIS and one-quarter is out of pocket. However, some private practitioners (10 per cent) have no contract with the municipalities and therefore receive no grants, but may be entitled to refunding from the NIS at standard rates. As a result, a much larger share of their income consists of out-of-pocket payments. The funding arrangements for GPs in private practice will change as of 1 January 2000, with the NIS reimbursement of fees for service to GPs becoming conditional on the GP having signed a contract with the municipality. The aim of this measure is to discourage private practice without a contract, which is most widespread in the prosperous urban areas, in order to free up human medical resources for the remote areas.

The role of the National Insurance Scheme

The NIS fully reimburses all individual expenses for childbirth, treatment of children under seven years of age and treatment of industrial injury. It partly reimburses patients' expenses for consultations, prescribed drugs and orthodontic treatment of people below 19 years of age, as well as dental treatment of people above 19 years of age. Membership in the NIS is mandatory and universal, and it is financed by compulsory contributions from employees, employers and self-employed. The NIS, which is managed by the Ministry of Health and Social Affairs, also administers the public pension system and other income transfer programmes, such as sickness, disability, unemployment and rehabilitation benefits. Its health insurance functions are carried out through a network of 445 local offices throughout the country. Private health insurance covering specific categories of individuals or groups, and setting premia on the basis of their risk characteristics, is virtually non-existent in Norway.

Performance and cost

The Norwegian health care system is characterised by extensive coverage, high quality and proven medical competence. In a recent official opinion poll (NOU 1997:2), about 95 per cent of the respondents expressed satisfaction with

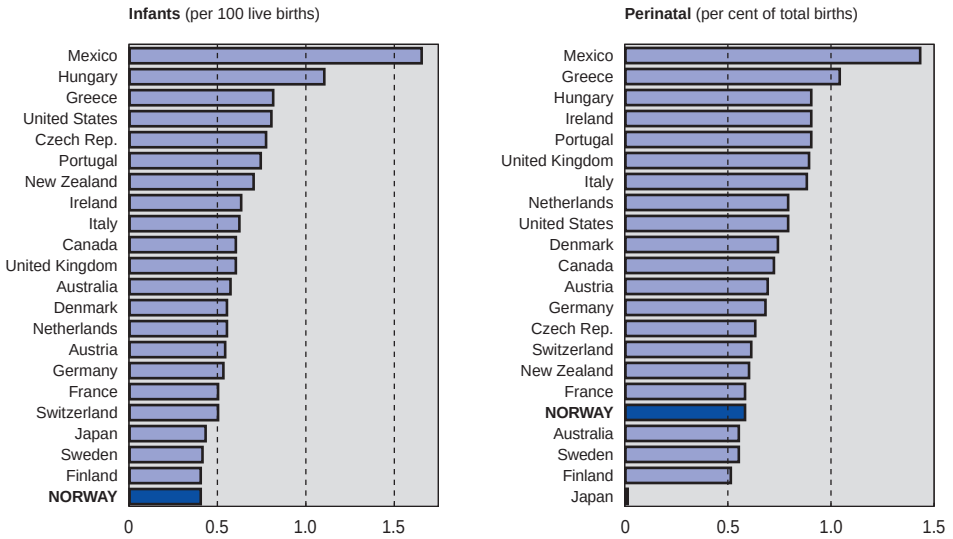
the professional skills of their physicians and 80 per cent gave a positive appraisal of the results of treatment and the service attitude of medical staff. Not surprisingly, the overall health status of the Norwegian population is excellent. The life expectancy at birth, at 74.2 years for men and 80.3 years for women, ranks among the highest in OECD countries and is still on an increasing trend. Moreover, the differential in life expectancy between males and females has been narrowing since the mid-1980s, due to a reversal of the declining trend in life expectancy of middle-aged men. Infant mortality is the second lowest in the OECD area, after Finland, while perinatal mortality – as in other Nordic countries – is also very low by international standards (Figure 19). The number of avoidable years of life lost under age 70 per 1 000 at around 5 for males and 3 for females, is among the lowest in the OECD area, with a slightly better performance found only in Japan, Austria, Sweden, the Netherlands (for males) and Switzerland (for females).

Over the past fifteen years, health care expenditure as a ratio of trend GDP in Norway has grown by a moderate 1 percentage point, which is below the (unweighted) OECD average and considerably less than in the United States, France, Canada, Spain and Switzerland (Figure 20). Moreover, at around US$2 000 (measured at purchasing power parity) per capita, health expenditure in Norway is close to the (unweighted) OECD average (Figure 21). Such relatively moderate cost levels have been achieved despite an above-average level of real per capita income and a more advanced ageing of the population than in most OECD countries (Figure 22), both factors which are potentially conducive to high levels of health expenditure.[31]

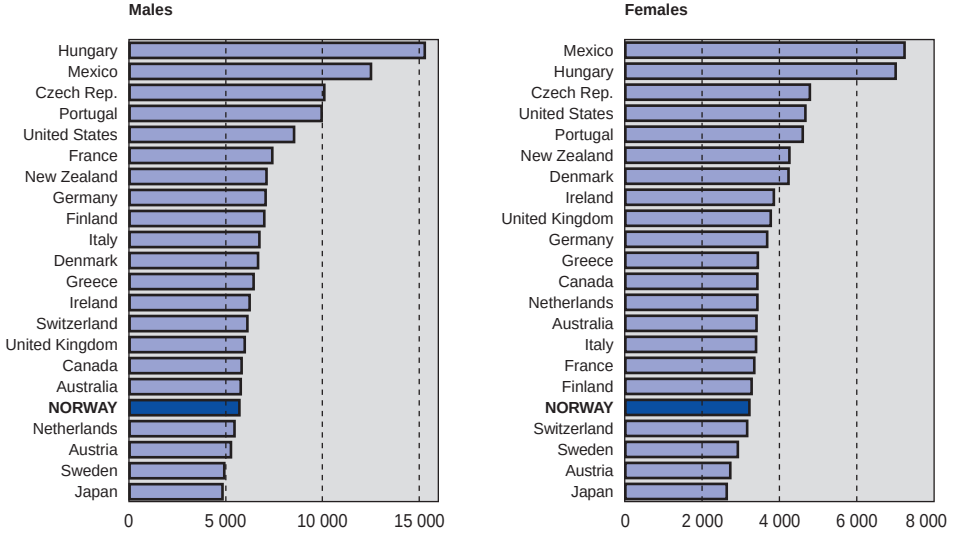
As in most OECD countries which have achieved moderate expenditure growth, the expenditure share of hospital care in Norway has been on a declining trend, partly offset by a rising share of ambulatory, pharmaceutical and other components (Figure 20). This suggests a substitution towards these less costly components of health care, possibly in response to spending constraints imposed on hospitals and technological developments. Indeed, in line with tendencies in other OECD countries, average length of stay in hospitals has been reduced (now ranging from 6 days in surgical disciplines to 56 days in psychiatric wards) while there has also been a shift toward more outpatient treatment. As a result, the number of beds in general hospitals and in psychiatric hospital wards is on a declining trend. Nevertheless, total hospital employment in Norway (relative to

Figure 19. **INTERNATIONAL COMPARISON OF HEALTH OUTCOMES**

A. Child mortality rates, 1995 or latest year available

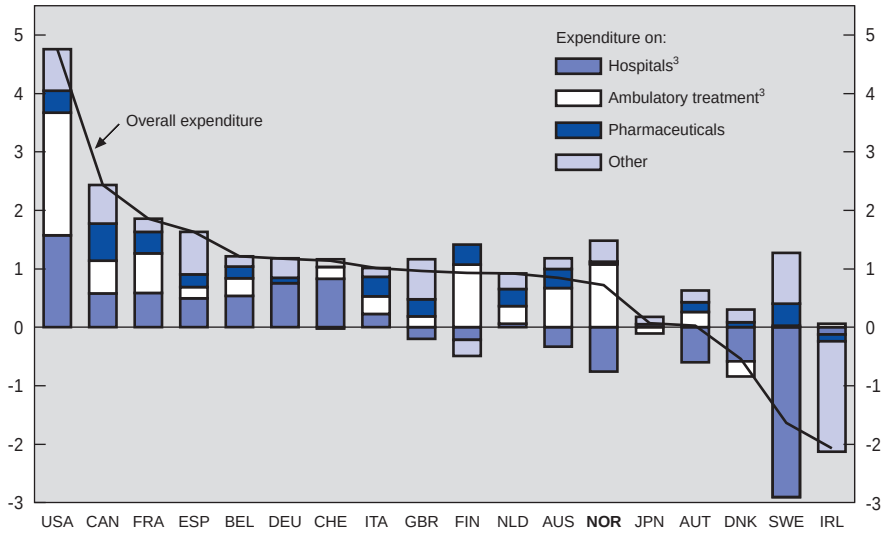


B. Potential years of lives lost, 1992 (per 100 000 persons aged under 70)



Source: OECD Health Data 97.

Figure 20. **GROWTH IN HEALTH SPENDING BY CATEGORY**[1]
Change in ratio to trend GDP (percentage points), 1980-95[2]



1. Current expenditure.
2. Or closest year available.
3. Public expenditure for Ireland, Sweden and the United Kingdom.

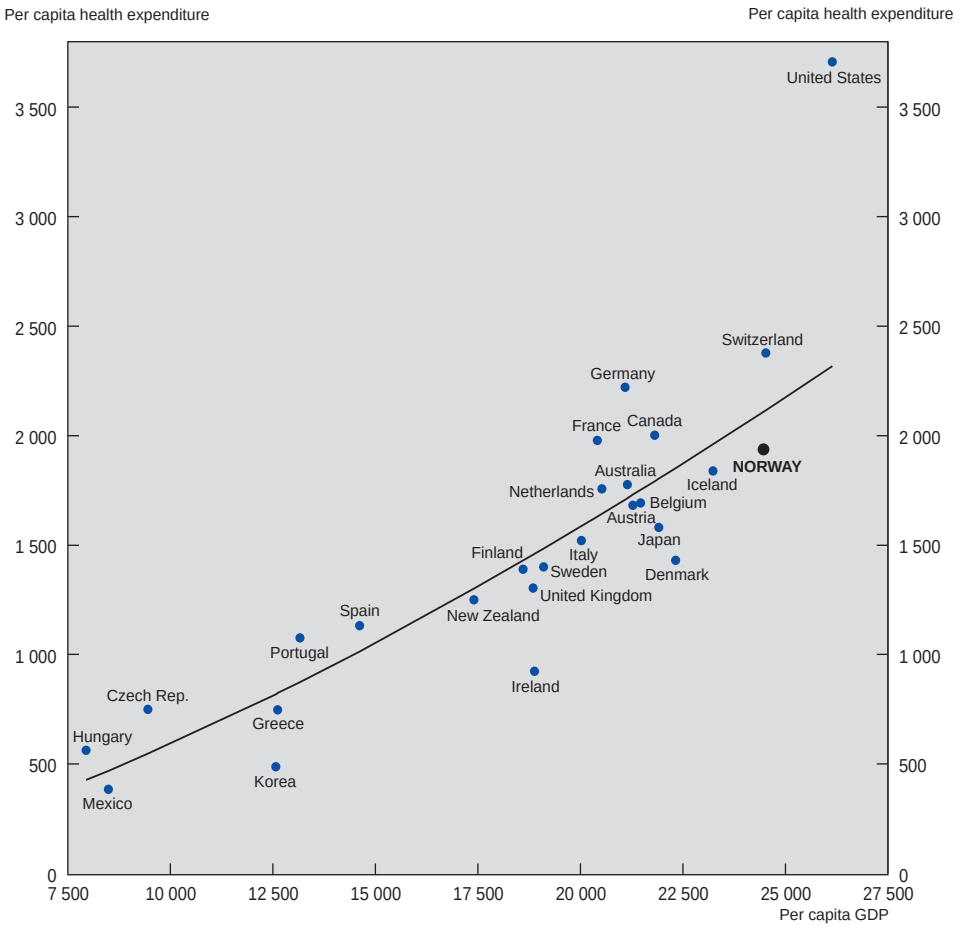
Source: OECD Health Data 97.

population size) remains substantial by international standards, even if the number of doctors (specialists and consultants) per inhabitant is not unusually high (Figure 23).

Problems with the system

Overall, the performance of the Norwegian health care system thus appears to be satisfactory by international standards. However, as will be discussed in more detail below, a number of problems need to be addressed. First of all, the health service in Norway appears to be unable to always ensure speedy access to hospital care, and there is also scope for improved efficiency through a better

Figure 21. **HEALTH EXPENDITURE AND GDP PER CAPITA**[1]

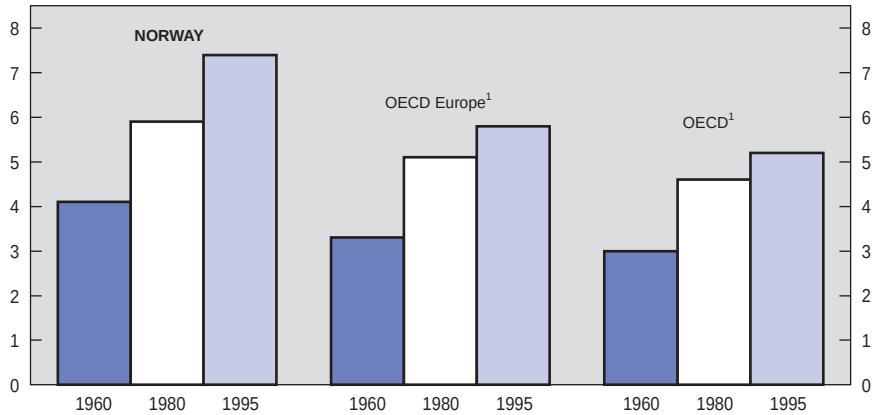


1. In 1995 or 1996. Total expenditure on health care and GDP in purchasing power parity exchange rates.
The equation of the regression line is the following:
LN (Health expenditure per capita) = -6.70 + 1.42 * LN (GDP per capita)
R squared = 0.82 T : (-4.97) (10.32)

Source: OECD Health Data 97.

regional co-ordination and planning of health care services. Moreover, there is increasing pressure to raise public health care spending, in part motivated by these shortcomings.

Figure 22. **POPULATION AGED 75 AND OVER**
As a per cent of total population



1. Unweighted average.
Source: OECD Health Data 97.

Bottlenecks in the hospital sector

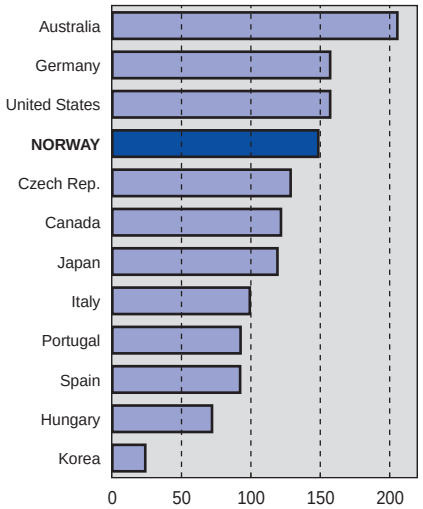
The most urgent problem facing the Norwegian health care system is the insufficient ability of both general and psychiatric hospitals to absorb patient inflows. According to recent opinion polls, long waiting lists and reduced freedom of choice of hospitals by patients is widely considered to be unacceptable (Figure 24). As a result, there seems to be a general impression that the hospital system is in a crisis, which is reinforced by official reports suggesting that the reallocation of health care resources from lower to higher priority areas has proved difficult to implement.[32] As this problem is deemed to undermine the popular support for maintaining a fully public health care system, *e.g.* by inducing private insurers to create specialised centres for non-emergency treatment, it figures high on the political agenda.

The persistence of long waiting lists already prompted the authorities to introduce national standards for admission priorities in the late 1980s. This measure was supplemented in 1990 with the introduction of a legal ‘‘waiting time

Figure 23. **LABOUR RESOURCES IN HEALTH CARE**

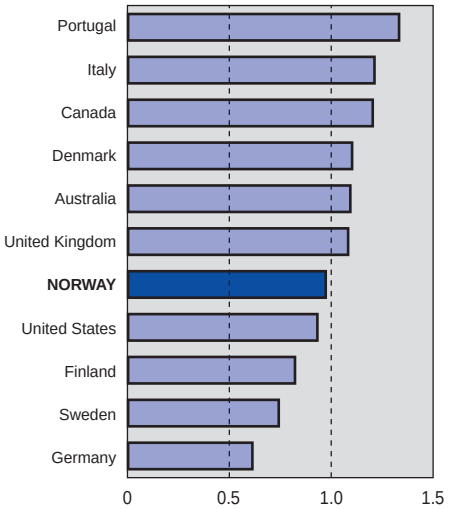
Per 10 000 population, 1995[1]

A. Hospital employment

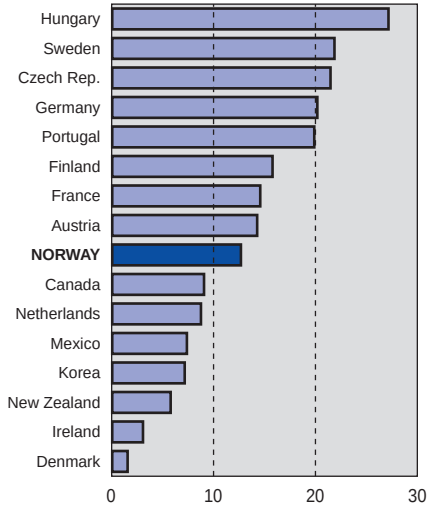


B. Compensation per health employee

Relative to average compensation, 1990[1]



C. Specialists or consultants

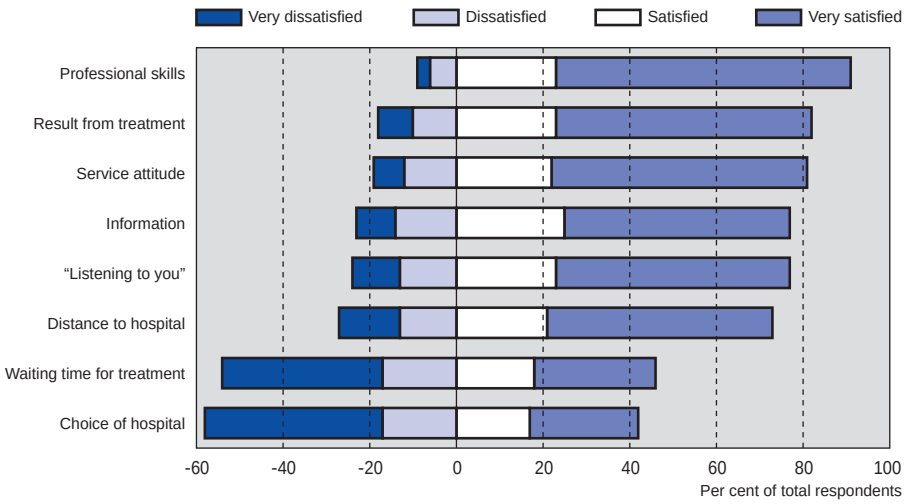


D. General practitioners

1. Or latest year available.

Source: OECD Health Data 97.

Figure 24. **PATIENTS' EVALUATION OF HOSPITAL TREATMENT**
1995



Source: NOU 1997:2.

guarantee'', stipulating a maximum waiting period of six months for non-emergency patients who suffer from ''damage to health that requires intervention to avoid serious consequences in the long run''. According to this legislation, the county council should assume full responsibility for offering treatment to patients, who have been given a waiting-time guarantee, within six months, making use of available capacity in other counties if needed. Moreover, the counties are legally required to report hospital waiting times three times a year.

Since the introduction of these measures, the number of patients on waiting lists has, however, increased further (with surgical treatment such as orthopaedic surgery, urology and otolaryngology reportedly experiencing most delays). This suggests that the situation has continued to deteriorate, as reflected also in a sharply increasing number of ''violations'' of waiting-time guarantees.[33] Moreover, several studies show that the proportion of patients granted a waiting-time guarantee varies both between and within counties, pointing to differences in interpretations of the criteria for giving a guarantee. As a result, the current legislation may not have improved the perceived ''equity of access'' to hospitals

from the patients' perspective. It is also clear that the introduction of waiting-time guarantees is less suitable for psychiatric patients. In fact, many psychiatric institutions completely abandoned the idea of waiting time guarantees.

There is reason to believe that the reported increase in waiting time and non-fulfilment of the guarantee in part reflects better registration practices. Moreover, waiting lists are difficult to avoid in any health care system as patient co-payments are typically not used as the key rationing device. In theory, GPs and consultants play a role as ''gate keepers'', but in Norway this does not work satisfactorily, possibly due to a lack of pertinent incentives – the more so since patients are allowed, under certain conditions, to contact a specialist without a referral from a GP. There are also reasons to believe that the reported waiting times are used strategically by the health care suppliers to obtain more public resources, whereas there are no financial incentives that would motivate the hospitals to shorten the waiting lists or to meet the waiting-time guarantees.[34] Nevertheless, whatever the cause, the waiting times have become a major issue in the health policy debate in Norway and are widely seen as unacceptable by the public.

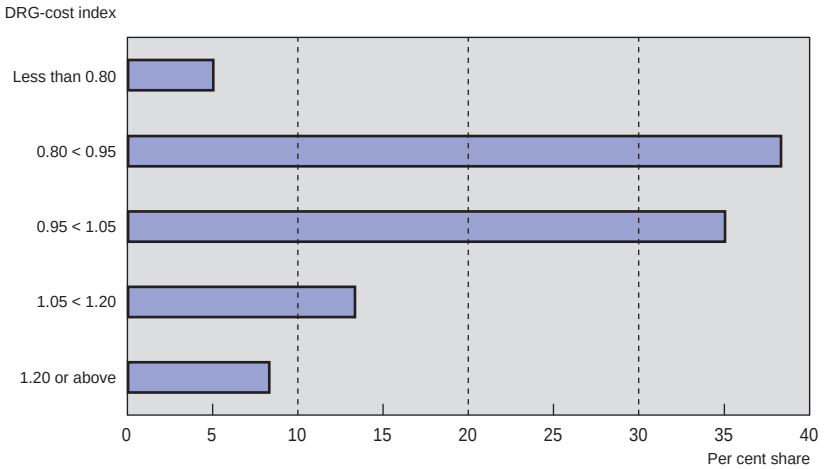
Scope for better allocation of health care resources

Another problem which has received much attention in the Norwegian health policy debate in recent years is the apparent need for an improved allocation of health care resources across regions, both in order to relieve existing capacity constraints and to enhance the accessibility, quality and cost-efficiency of services. Such issues are most pressing with regard to somatic hospital care, but are relevant for primary care, psychiatric care and pharmaceutical distribution as well.

Somatic hospital care

There appears to be a significant regional variation in somatic hospital spending per capita, which is difficult to justify by regional differences in health status and demography (Hagen and Sørensen, 1995). This suggests that differences in efficiency levels play a key role. Indeed, as shown in Figure 25, almost one-quarter of hospitals have reported standardised cost levels more than 5 per cent above the national average. The potential gains in efficiency may be considerable, perhaps as large as 10 per cent or more (Hagen, 1997; Magnussen, 1994).

Figure 25. **SHARE OF HOSPITALS AT DIFFERENT COST-EFFICIENCY LEVELS**
1996

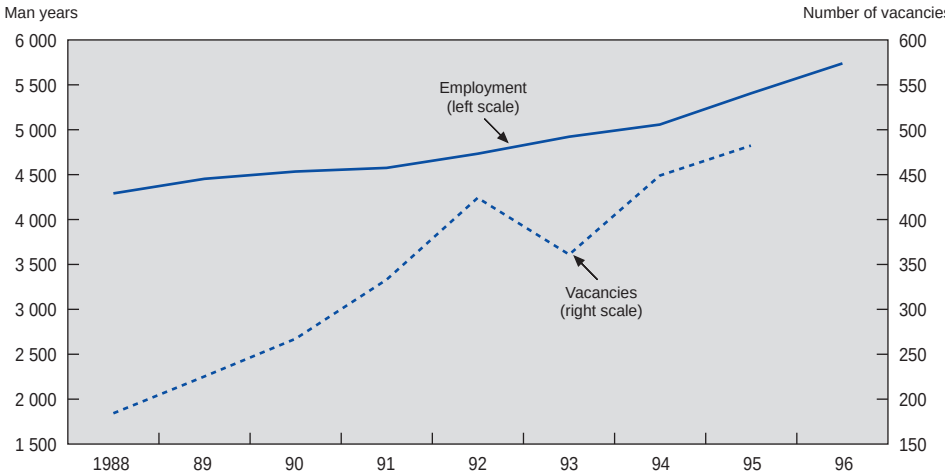


Source: SINTEF, NIS.

There are also large differences across institutions with respect to bed occupation rates, which tend to be highest in the large central hospitals, due to their progressive specialisation and good reputation, while smaller local hospitals in rural areas are liable to have low occupation rates. This is, in part, explained by a lack of specialists in small hospitals, with vacancy rates in the range of 25-40 per cent compared with a national average of around 10 per cent (Figure 26).

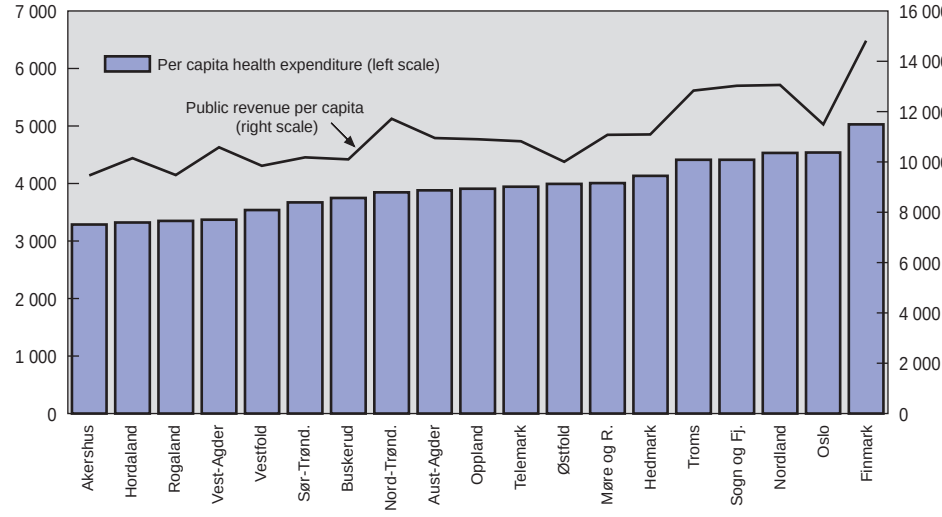
The policy approach employed in the past, whereby hospital funding was occasionally raised through ‘‘earmarked grants’’ in order to encourage productivity increases, does not seem to be achieving the intended goals. Econometric analysis suggests that an increase in block grants by 1 per cent would, in fact, lead on average to a decline in productivity by approximately 0.3-0.4 per cent (Hagen, 1997), as hospitals tend to spend part of these extra funds in ways which raise the cost of treatment per patient (Hagen and Iversen, 1996). This indicates that hospital management may be susceptible to ‘‘moral hazard’’ – *i.e.* easy finance leads to high expenditure. As Figure 27 shows, the regional variation in hospital spending per capita is, indeed, to a high degree explained by variations

Figure 26. **EMPLOYMENT AND VACANCIES OF PHYSICIANS IN GENERAL HOSPITALS**



Source: Statistics Norway and the Norwegian Board of Health.

Figure 27. **PUBLIC REVENUES[1] AND SOMATIC HEALTH CARE EXPENDITURE BY COUNTY**
NKr, 1996



1. Tax and general grants.
Source: Statistics Norway and SINTEF, NIS.

in county resources. The highest hospital spending levels are found in northern Norway and in the counties of Sogn og Fjordane and Oslo (Figure 18), where per capita county revenues are also the highest. As concerns northern Norway and Sogn og Fjordane, this phenomenon indeed reflects the high level of state grants – motivated by regional policy considerations – whereas in Oslo the substantial local tax proceeds are the main explanatory factor.[35] Other indicators of hospital inputs, such as man-years per capita (Rønningen, 1997) and inpatient stays per capita (Kalseth and Karstensen, 1997), show similar regional discrepancies.

A change in the current hospital organisation towards a more efficient division of labour between institutions would probably contribute to reduce cost levels, by exploiting the potential for economies of scale and scope. However, although the need for a better co-ordination between the hospital authorities (within a county and between counties) is widely agreed upon, it is still difficult to achieve. There is great resistance against restructuring the local hospital sector, due to the concerns over the accompanying job loss. Moreover, the proximity of full-fledged hospital services, including emergency and specialised elective functions, is seen as an acquired right by large segments of the population regardless of location. As noted, when the five health regions were established in the mid-1970s, each region appointed a health committee with representatives from the counties. These committees are currently designing plans to improve the distribution of emergency and elective functions among the hospitals, based on reports prepared by groups of medical professionals.

Psychiatric inpatient care

In psychiatric inpatient care the regional variation in expenditure per capita is even larger than for somatic hospital care. The Oslo county, in particular, stands out by its high cost level, which reflects the specific circumstances in Norway's main urban area, with many single person households (a major risk category for psychiatric help) and where supply factors, such as the presence of the various schools in psychiatric medicine, are conducive to higher expenditure levels. In Norway, as in many other Western countries, there is a trend of switching from inpatient psychiatric care in main psychiatric institutions to polyclinic and day care, with the municipal authorities being given responsibility for psychiatric care outside the institutions. However, Norwegian municipalities have had some difficulties to assume fully such responsibility. A recent official

report (St meld nr 25, 1996-97) concluded that the supply of preventive care in municipalities is lower than it should be, while the quality of treatment is often poor due to time-consuming disputes among professionals and lack of qualified staff.

Primary care

The number of GPs per inhabitant varies significantly across municipalities, with the per capita supply of GPs in rural areas being the largest due to the legal obligation for even the smallest municipalities to employ a GP. Hence, although the number of consultations per capita does not vary much across regions, including the thinly settled ones where travel time could be a constraining factor (Grytten, Rongen and Sørensen, 1994), the number of consultations per doctor tends to be very low in rural areas. However, while rural areas depend to a large extent on publicly employed GPs, many municipalities in these areas face difficulties attracting GPs in public service due to their weaker earnings perspectives relative to contract GPs in urban areas, who have a possibility of increased earnings from fees for service. As a result, positions for public GPs in remote areas remain vacant for extended periods and the turnover of doctors, who are often foreign and temporarily employed, tends to be high, implying that the continuity of care is not easily guaranteed. Moreover, despite such different conditions facing rural and urban areas, patients uniformly complain about long waiting times and a lack of personal contact with doctors, as reflected in short consultations and long waiting times before the consultation takes place (Johnsen and Holtedahl, 1997).

Pharmaceuticals

The main problem concerning the distribution of pharmaceuticals in Norway is the inadequacy of the retail network, the virtual absence of competition on service and opening hours and the associated high retail margins. This situation is a reflection of the strict regulation of the retail market, implying high entry barriers for pharmacies, including a requirement that the owner needs to be a pharmacist and rules concerning the maximum number of outlets per capita and per municipality. At the wholesale level, in contrast, competition increased after the implementation of the EEA agreement, when the state-owned wholesaler *Norsk Medisinaldepot* lost its legal monopoly (with two competitors entering the market) and pharmacies and hospitals were allowed to import drugs with a

European license directly from other EEA countries. In 1995, in order to reap the benefits of increased competition, 17 counties set up a tender system for pharmaceuticals serving 76 hospitals (the *Legemiddel Innkjøp Samarbeid*, LIS) – an initiative which indeed contributed to lower expenditure on pharmaceuticals in the hospitals that participate. However, in 1996, the Norwegian pharmaceutics branch organisation filed a complaint with the EFTA Surveillance Authority (ESA) for alleged ''monopsony''. While the claim has been formally contested by the counties involved, a ruling by the ESA is still awaited.

Risks to cost control

Notwithstanding the above shortcomings, the cost of health care in Norway has broadly been kept in check. This outcome has been facilitated by the block grant system for hospital financing which, due to the limited tax discretion of the counties, has forced county politicians to remain within a given budget constraint. Nevertheless, the county authorities and their regional hospitals have occasionally lobbied – with success – for supplementary grants from the central government (Carlsen, 1995). Apparently, hospitals and counties have used their advantage over the central authorities in terms of information and have not hesitated to point to the waiting lists and non-respect of waiting-time guarantee as arguments for additional funding.

Moreover, for counties whose main hospital is also a university hospital (combining medical care delivery with medical training and research), budget constraints imposed by the grant system are generally weaker than for other counties. The counties with a university hospital usually receive an ''earmarked'' grant from the state to encourage education and research. However, there are concerns that such grants ''leak'' into other regular somatic hospital activities (Hagen, 1996). This problem has been acknowledged by the Ministry of Health and Social Affairs in a recent White Paper (St meld nr 24, 1996-97), suggesting that such earmarked grants should be transferred directly to the academic hospitals concerned, and administered separately to prevent further ''leakages''.

Another risk on spending outcomes in hospitals is related to the current upward pressure on pay levels of hospital physicians, motivated by the desire to draw physicians with a part-time private practice into full-time employment in hospitals.[36] The wage scale for hospital physicians is set in national negotiations between the Association of Municipalities (which negotiates on behalf of the

counties) and the Norwegian Medical Association.[37] The Association of Municipalities is thus bargaining from a position where it is not fully accountable for the results, these being reflected in cost developments at the county (and state) level rather than the municipal level. With mounting pressure on hospitals to attract physicians, wages for hospital physicians increased sharply in 1996, which has been reflected in a rise of 6 per cent in real terms in the cost per patient (Solstad, 1997). There is a risk that these increases will continue in further wage rounds.

Reforming the system

Recent initiatives

Several reforms of the health care system have recently been implemented or are being planned. Most of these have been prompted by the problems discussed above, while others have different origins. The main areas where reforms have been introduced or are being considered are:

- the funding system;
- hospital management and co-operation;
- admission priorities for hospitals;
- the formalisation of patients' rights; and
- the liberalisation of the drugs market.

It should be noted that since most reforms are recent, evidence of their impact is limited, and the final effects are largely unknown.

Activity-based funding

A major change in the state funding of somatic hospitals was implemented on 1 July 1997: a portion of the block grants from the central government to the counties became related to hospital activity. The activity-related grant corresponds to 30 per cent of the average DRG-based costs per inpatient treated (to be raised to 45 per cent on 1 January 1998). This reform is expected to strengthen the incentives for counties to stimulate hospital activity, which is hoped to contribute to shorter hospital waiting lists and to raise hospitals' productivity. Indeed, the immediate effect of the reform is likely to be a noticeable increase in the number of hospital inpatient treatments: the counties are expected to achieve a 6.5 per cent rise in inpatient activity in 1998 relative to 1995. Those failing to

achieve this goal may have ‘‘earmarked’’ central government grants temporarily withheld. Other activities such as teaching and research activities may decline, however, as hospitals attempt to free up resources for inpatient care. Another concern is that the new system, by weakening the budget constraint facing counties, could lead to an excessive increase in hospital expenditure (Hagen and Iversen, 1996). In 1997, 13 out of 19 counties had provisionally adopted the activity-related grant system to fund their hospitals – which implied that they simply passed on the received activity-based grants to their hospitals.[38] The remaining six counties continued to finance their hospitals solely through fixed block grants. It should be noted, however, that these dispositions were temporary and that in the future counties will retain full discretion concerning the choice of funding arrangement with their hospitals.

In the area of primary health care, the existing system of activity-based funding through fees for services covered by the NIS and out-of-pocket payments will be continued. However, the government is considering the replacement of the fixed block grant per doctor in private practice by a capitation payment based on the number of listed patients and their age composition, aimed to induce private GPs to admit more patients in order to free up GPs for the public service where, as noted, vacancies are difficult to fill. According to the current plans, municipalities would have a legal obligation to maintain a system of listed patients, with patients signing up for one (contract) physician of their own choice, both in order to allow the introduction of capitation funding and to strengthen doctors’ gate-keepers role by establishing durable contacts with patients. When the reform is implemented, 30 to 40 per cent of private GPs’ income would consist of capitation payments from the municipality and the remainder of fees for service.

Experience gained from a pilot project, launched in four municipalities with a total of 250 000 inhabitants and 150 GPs in the early-1990s, suggests that the new list-patient system improves the patients’ appraisal of general practice.[39] According to an official opinion poll, 84 per cent of the responding patients hoped the list system would be maintained while 21 per cent felt more confident with their GP than before. Hence, even if 69 per cent of the respondents were of the opinion that the change had made no difference, the results look, on balance, positive from the point of view of the patients. The waiting time for ordinary (non acute) consultations had indeed declined, although the result was somewhat

less clear when the full spectrum of consultations was considered. The GPs also became more involved in emergency care, resulting in lower demand for hospital emergency care.

Hospital management and co-operation

As regards hospital management and efficiency, an official commission of enquiry unanimously concluded that certified management competence should be a normal requirement for staff leading hospital departments (NOU 1997:2). The commission also stressed that the county councils, as hospital owners, should maintain a transparent relationship with the management of their hospitals, giving clear instructions concerning their objectives, but abstaining from attempts to ''micro-manage''. Concerning co-operation between hospitals, another official inquiry commission, set up in 1995, did not reach agreement on the question of hospital ownership and, more specifically, on whether hospital ownership should be transferred from the counties to the central government or to a new regional authority. This prompted Parliament to leave the ownership situation unchanged but it, nevertheless, took action to strengthen the regional integration of hospital services by asking the regional health committees to prepare regional health plans.

Principles for setting priority

In 1997 a royal commission of enquiry has made proposals to re-define the criteria for priority in hospital admissions to improve the rationing of the available capacity (NOU 1997:18). A main objective of the new criteria is to enhance the fairness and uniformity of decision making and, thereby, to improve the legitimacy and acceptance of the waiting-list system. The commission proposed four priority levels: ''fundamental'', ''complementary'', ''lower priority'' and ''not to be provided by the public sector''. The ranking of patients according to this priority scale should be based on the seriousness of the conditions to be treated, the expected improvement in health from the treatment, and the costs of treatment relative to the expected improvement. The suggested system seems to be more rational than the current one, with a new feature being the explicit trade-off between the costs and benefits of treatment. However, since the actual decision making will remain in the hands of the individual physician or hospital, the proposed system still leaves much room for discretion and, given the double role of hospitals in providing care and classifying patients, may entail conflicts of

interest. It also remains to be seen whether it will be suitable for the sectors the commission wishes to favour, *e.g.* psychiatric care, rehabilitation, comprehensive nursing and orthopaedic surgery where, in many cases, the outcomes are particularly difficult to evaluate *ex ante*.

In anticipation of the adoption of the new rules for priority setting, the waiting list system itself has been modified recently as well. In particular, the maximum waiting time for treatment of patients facing serious illness has been reduced from six to three months from 1 July 1997. Moreover, if such patients have been on a waiting list for three months, the county of residence is obliged to arrange treatment elsewhere – abroad if needed. As of 1 January 1998, finally, patients should receive an assessment of their request for hospital admission within 30 working days.

Legislation of patients' rights

A draft law proposal on patients' rights, circulated for public comments at the end of August 1997, is expected to be submitted to the parliament in June 1998. The draft law is comprehensive by international standards and might be regarded as a significant step towards improving the relationship between patients and the health care system. Two legal rights identified in the draft proposal may affect the system's performance, and therefore deserve to be considered in more detail: the ''right to treatment'' and the ''right to choice of hospital''.

Concerning the legal ''right to treatment'', the draft proposes two possible formulations. Alternative 1 distinguishes a right to urgent care, a right to necessary primary care, and a right to secondary care. It also entails that the county authorities should organise and fund hospital treatment abroad if equivalent treatment cannot be provided domestically within a certain time limit (in practice corresponding to the maximum waiting time guarantee, which, as noted, is reduced from six to three months for urgent care). Alternative 2 simply offers a general right to health care if the patient's health status so requires, including diagnostics and rehabilitation. Both alternatives would involve judgements by local hospital doctors of the seriousness of the patient's suffering, the effectiveness of treatment and the costs and benefits of treatment, in line with the priority setting rules discussed above. Moreover, both alternatives include the right to appeal and ''second opinion'', with the regional medical officer (*fylkeslegen*)

who may instruct hospitals and other health institutions to provide treatment. However, unlike the second alternative, the first alternative explicitly allows patients always to exercise their rights in the case of violation of the waiting time guarantee. Alternative 1 may therefore jeopardise cost control and lead to a shift in health care resources from psychiatric care towards somatic hospital activities.

The introduction of a ''right to choice of hospital'' has been proposed both on its own merits and as an additional instrument for raising hospital capacity utilisation and reducing waiting times. According to the draft law, the GPs should offer patients the possibility to choose from a list of public hospitals in the health region and neighbouring counties. However, since specialised central and regional hospitals also serve as local hospitals and therefore will normally figure on the list, patients may be inclined to choose a central or regional hospital even if specialised treatment is not needed. This may therefore exacerbate the existing situation where highly specialised staff in central and regional hospitals treat patients with routine ailments. A careful monitoring of the impact of the reform is hence needed.

Liberalisation of the drugs market

A number of proposals for reform of the drugs market are currently being considered by the government (NOU 1997:6 and NOU 1997:7). These proposals include a plan to liberalise the retail market, allowing free establishment of new pharmacies and ownership of pharmacies by non-pharmacists in order to increase the number of outlets. Furthermore, reforms are being considered to strengthen the incentives facing doctors to prescribe the cheapest drug available. A central electronic database for pharmaceuticals has been proposed, which would allow doctors/pharmacies to obtain information on cheaper alternatives. Moreover, a better interaction between the pharmaceutical industry and doctors, with more clarity about drugs' test results and expertise for best use practices, will be facilitated by providing physicians with training in interpreting test results. Permitting doctors in remote areas to order medicines electronically could also help to reduce cost, although this would make it more difficult for pharmacies to survive in those areas. According to current official proposals, finally, the pharmacy should provide the cheapest brand or a parallel imported version of the prescribed brand unless prescriptions explicitly mention that ''generic substitution is not allowed'' or that ''parallel imported products of the brand indicated

are not allowed''. Such a reform could usefully complement the reference price system for reimbursement of drug charges introduced in 1993, which uses the price of the cheapest brand available on the market as the basis for reimbursement. This reference price system will, as of March 1998, be extended to include drugs that are subject to patent protection but which may be parallel imported or manufactured under licence at a lower price.

Further challenges

The wide-ranging reform proposals discussed above are likely to improve the functioning of the health care system in Norway, as they introduce new incentives for increased and more efficient service provision – which appears to be urgent in view of the current bottlenecks in the system. Nevertheless, a number of potential problems associated with the reforms remain. Concerning primary care, while the proposed list system and the combination of capitation funding and fees for service should raise the quality and quantity of care and encourage GPs to reassert their role as gate keepers, the new system may lead to unexpected changes in the allocation of resources and funding arrangements. First, as the municipal contribution to doctors' incomes is based on the number of patients rather than on the number of doctors, the marginal cost for a municipality of contracting a GP will be practically zero. By prompting municipalities to attract additional GPs, this may imply a decline in the average number of patients and hence income from capitation payments per GP. Incumbent GPs are likely to respond to such a fall in capitation payments by increasing their income from fees for service, which would result in cost shifting from the municipalities to the central government (including the NIS). Second, with expenditure on GPs becoming a function of demographic factors (*i.e.* the number and age composition of listed patients) rather than the number of contracted GPs, municipalities which now have many patients per doctor (*e.g.* in urban areas) and hence low cost per patient are likely to experience an increase in expenditure, while the opposite may occur in (mostly rural) municipalities where there are relatively few. This change, in turn, risks prompting the municipalities in urban regions to demand compensation from the central government – thereby potentially raising the overall expenditure level in primary care. Third, the capitation fee may not take full account of a patient's health profile and service needs, which could induce adverse selection by GPs.

While the legislation of individual patient rights aims both to improve access and to make it clearer what patients can expect from the public health care system, the practical application of the legislation – *i.e.* the assignment of priority levels and the associated waiting time guarantees – will be based on judgements by the individual physician. With the introduction of activity-based financing of hospital treatment, the incentive for the hospital of assigning high priority to a patient is likely to be stronger than under the block-grant system, as it will receive financial compensation per admission. As a result, the number of urgent cases may increase and, while the number of admissions may also increase, this may not lead to a shortening of hospital waiting lists. More generally, the introduction of activity-based financing in hospitals could lead to treatment ‘‘inflation’’ as this will increase revenues. This heightens the risk of expenditure over-runs in the somatic hospital sector, possibly to the detriment of psychiatric and preventive care, rehabilitation and comprehensive nursing, all of which are considered to be national priority areas. Regional integration of the somatic hospital system, as it proceeds, could offset some of the cost pressure, but may also tend to reduce competition between hospitals. This makes it all the more important that the block-grant component of hospital care also be founded on national standards (normalised for scale), rather than on historical costs. Such a refinement of the funding system would further encourage the most efficient hospitals – *i.e.* those whose fixed costs are lower than the national standard – to expand. Growth in such ‘‘best-practice’’ hospitals could be further stimulated by strengthening competition pressure through providing patients with more freedom of choice between hospitals inside and outside their own county or health region.

Notes

1. The value of commercial property must be also on an upward trend, with office rental prices fast approaching earlier peak levels in nominal terms.
2. See the special chapter on ''Petroleum wealth and public finance in the long run'' in the 1995 *OECD Economic Survey* for Norway.
3. The subsequent decline in official reserves, to around NKr 160 billion in early January 1997, was due to a transfer of NKr 44 billion of foreign securities to the government Petroleum Fund (foreign assets in the Fund are not considered to be part of the official reserves).
4. Consisting of the 28 per cent standard corporate tax rate, a 50 per cent surtax and an 8 to 16 per cent royalty (the royalty applies to fields developed before 1986 only and is tax deductible).
5. Including capital gains and accumulated dividends and interest yields. The evaluation of the Fund as reported by the Bank of Norway may be lower, as the Bank applies the lowest value principle (historic costs or market value, whichever is the lower).
6. See the special chapter on education and training policies in the 1997 *OECD Economic Survey* of Norway.
7. In 1992 the government adopted a major tax reform aimed at achieving a simpler and more neutral tax system. In recent years, however, several modifications have been introduced in the system, granting special exemptions to – or conversely introducing a less favourable treatment for – specific groups of tax payers, the economic rationale for which was not always clear.
8. Previous earnings exceeding NKr 85 000 result in a maximum benefit period of 156 weeks (3 years), while earnings below that and not less than NKr 53 125 give a benefit period of 78 weeks (1½ years).
9. Should UI benefit ''exhaustees'' refuse to enter the active measure, which is in principle of an unlimited duration, they simply drop out of the UI programme. Should the ''exhaustees'' wish to re-enter UI benefits, they would be treated as new labour market entrants, who need to qualify by having earned from work at least NKr 53 125 in the preceding calendar year or NKr 42 500 on average in the three preceding years.
10. When supplemented by a reimbursement of 70 per cent of child care costs and other special allowances, the total benefit level may reach around NKr 10 000 per month.
11. Immigrants, especially those recently arrived, who are largely concentrated in the Oslo area, are being offered extensive language, social and computer training in a programme funded by the Oslo municipal government and a matching grant from the central government (before this policy was adopted, new immigrants were assigned to different local governments, and if

they refused to live in the assigned region, they could become ineligible for further assistance). If this policy is successful in integrating immigrants, it is expected to reduce future SA outlays by the Oslo municipal government.

12. The municipalities are given discretion to determine what the minimum acceptable level of benefits should be for each case and benefit applicants are subject to a wealth test, which requires them to convert certain assets into income before receiving the benefit.
13. The reform has resulted in reducing the average duration of young persons receiving SA to one month, well below the 5 month average for the entire SA case load.
14. In 1995, the breakdown of those depending on SA for their main income was: unemployed persons (40.6 per cent) – who had either exhausted their entitlements or did not qualify for the UI benefit – young people (19.7 per cent), single parent families (15 per cent) – although for only 18.2 per cent the SA was the main source of support, with the remainder securing a basic income from other sources, including the TA – and immigrants (16 per cent). For a two adult family with children on SA – for whom child benefits are an important source of income – there is no loss of income in moving from the UI to the SA benefit, while a single parent family and a young person (on the so-called ''waiting benefit'') experience a 7-15 per cent and 50 per cent decline respectively, when making the switch.
15. The government is considering a proposal to fully liberalise job placement activities.
16. According to the Ministry of Labour, the focus of workplace regulation in Norway is on safety and other workplace conditions rather than on firing restrictions. This would imply that firing restrictions in Norway, which were found to be among the most restrictive in the OECD area during the early 1990s, have been eased considerably (OECD, 1997).
17. The operation of such trade-offs under the centralised and co-ordinated wage formation system in Norway is documented in a recent study. Although aggregate real wages in Norway have been found to be responsive to total unemployment, active labour market policies in the 1984-91 period were found not to have generated additional real wage pressure. This, the authors argue, may be related to the wage demand behaviour of labour unions. As active measures are perceived to reduce welfare loss associated with inactivity, unions apparently moderated their wage demands when active measures were used (Wulfsberg and Raaum, 1997).
18. It has been suggested that the compressed structure of earnings reflects an unusually narrow dispersion of human capital endowments in Norway. While human capital endowments may have had a tendency to adjust to the wage structure, the dominant cause of the very narrow wage spectrum is likely to have been the pursuit of equity objectives, a defining element in the Norwegian wage formation system for decades.
19. Indeed, the unemployment rate for Norwegians with low educational attainment has, since the early 1980s, risen far above the overall unemployment rate and the ratio between the two is currently among the highest in the OECD countries.
20. Reflecting the generous income replacement programmes and high taxes, income mobility – the ability of persons to move up the income ladder – in Norway was surprisingly limited in the 1980-90 period, including for single mothers (Aaberg *et al.*, 1996). Reflecting the same factors, income inequality was not much affected by changes in unemployment, as measured by the Gini coefficient adjusted for these factors, which was found to rise from 0.215 in 1986 at the trough of unemployment to only 0.238 at its 1993 peak (Aaberg *et al.*, 1997).

21. *White Paper 61* on State ownership.

22. Under the new rule, the assessed value of share holdings for tax purposes is 65 per cent of the book value for unlisted joint-stock companies (previously 30 per cent) and 100 per cent of the market value for listed companies (previously 75 per cent), whereas bank deposits are taxed at face value. Simultaneously the top marginal wealth tax rate was reduced from 1.5 to 1.1 per cent.

23. The reform, which entails a transfer from more efficient to less efficient producers, replaces the more cumbersome and regionally restrictive system of pooling both the milk for distribution and revenues for re-distribution based on calculations of average prices.

24. The European Commission, after carrying out anti-dumping and anti-subsidy investigations against Norwegian salmon exporters, decided to abstain from a punitive import tariff.

25. Moreover, if market shares are below 25 per cent, there will be no intervention against ''refusal to deal''.

26. In addition to banks, Kredittilsynet also supervises finance companies, mortgage institutions, insurance companies, securities trading, estate agents, debt collection and accounting and auditing activities.

27. According to the EEA agreement, any bank with a license in an EU country can open a branch in Norway.

28. The Herfindahl-index and the market share of the three largest banks declined in terms of lending to individuals and businesses, as well for deposits between 1990 and 1996 (Johansen and Husbø, 1997).

29. If a commercial (non-savings) bank decides to merge with a savings bank, it is by law required to become a savings bank.

30. With grants, local taxes and charges constituting 45, 40 and 12 per cent, respectively, of total municipal resources.

31. As a rule of thumb, people aged over 65 consume, on average in the OECD area, roughly four times as much medical services as those below that age.

32. A Norwegian Commission of Inquiry (NOU 1987: 23) concluded that more resources should be allocated to psychiatric patients, rehabilitation, patients with serious chronic diseases and patients with permanent nursing needs. In a follow-up report published recently (NOU 1997:18), the Commission concluded that these goals had not been achieved.

33. From 1993 to 1996 the number of violations increased from 3 000 to 19 500 while the number of patients on waiting lists rose from 227 000 to 301 000.

34. A proposal to introduce a penalty for hospitals that break the waiting time regulations was turned down by parliament.

35. The cost of hospital treatment in the Oslo county has been reduced in recent years, however, after the municipal and county administrations of the Oslo metropolitan area decided to encourage a greater amount of deferrals to nursing homes in order to shorten hospital stays. Pay scales of doctors in Oslo have also been brought in line with those in the rest of the country, and a few small hospitals have been closed.

36. An inquiry made by the Oslo municipal auditor in 1995 showed that 31 per cent of senior physicians (*overordnede leger*) at Ullevål hospital, the country's largest, had a private practice during 1992 and 1993. On average, these physicians received reimbursements from the state and patients' fees that added up to NKr 150 000 to their yearly income, which represents about 50 per cent of senior physicians' income from ordinary hospital work in this period.
37. Except for physicians in national hospitals, whose pay negotiations take place between the Ministry of Labour and Administration and the Norwegian Medical Association.
38. However, the Oslo county reimburses 60 per cent of the DRG-based cost per treatment through activity-related grants.
39. The experiment was not entirely comparable to the implemented regulation, as the capitation payments in the trial did not take account of a person's need for services because of disease-specific or social factors. For a GP this created an incentive not to attract patients with a high need. Those GPs who care well for chronically ill patients are punished economically compared to their colleagues. It is very difficult to set up an organisation and a payment system that does not introduce perverse incentives with respect to patient selection.

Glossary of acronyms

DnB	Den norske Bank
DRG	Diagnostic Related Groups
EEA	European Economic Area
EFTA	European Free Trade Association
ESA	EFTA Surveillance Authority
GP	General practitioner
LIS	Legemiddel Innkjøp Samarbeid (a tender system for pharmaceuticals)
LO	Central labour union organisation
NHO	Employers federation
NIS	National Insurance Scheme
NMA	Norwegian Medical Association
PES	Public Employment Service
R&D	Research and development
SA	Social Assistance programme
SDFI	State Direct Financial Interest
SME	Small and medium-sized enterprises
SND	State industry and regional development fund
TA	Transition Allowance
UI	Unemployment insurance
WTO	World Trade Organisation

Bibliography

Aaberg, R., A. Björklund, M. Jäntti, M. Palme, P.J. Pedersen, N. Smith and T. Wennemo (1996), ''Income inequality and income mobility in the Scandinavian countries compared to the United States'', *Statistics Norway Research Department Discussion Paper*, No. 160.

Aaberg, R., A. Björklund, M. Jäntti, P.J. Pedersen, N. Smith and T. Wennemo (1997), ''Unemployment shocks and income distribution: How did the Nordic countries fare during the crisis?'', *Statistics Norway Discussion Paper*, No. 201.

Grytten, J., G. Rongen and R.J. Sørensen (1994), ''Can a Public Health Care System Achieve Equality? The Norwegian Experience'', *Medical Care* 33:1-13.

Hagen, T.P. (1996), ''Effekter av øremerkede tilskudd til fylkeskommunen'', NIBR-notat 1996:112, Norwegian Institute for Urban and Regional Research, Oslo.

Hagen, T.P. (1997), ''Agenda-setting Power and Moral Hazard in Principal-Agent Relations: Evidence from Hospital Budgeting in Norway'', *European Journal of Political Research*, 31: 287-314.

Hagen, T.P and T. Iversen (1996), ''Modeller for finansiering av sykehustjenester'', *Sosialøkonomen*, 10:32-39.

Hagen, T.P. and R.J. Sørensen (1995), ''Somatiske sykehustjenester. Prioritering av somatiske sykehustje-nester i fylkeskommunene 1980-1992'', *Samarbeidsrapport NIBR/BI*, Norwegian Institute for Urban and Regional Research, Oslo.

Iversen, T. (1993), ''A theory of hospital waiting lists'', *Journal of Health Economics*, 12: 55-71.

Johansen, H. and T.A. Husebøj (1997), ''Det fremtidige konkurranseniljøet i banknorigen'', *Penger og Kreditt*, 1997/1, Norges Bank.

Johnsen, R. and K.A. Holtedahl (1997), ''Arbeidstid og produksjon av kurative tjenester i allmennpraksis i 1993'', *Tidsskrift for Den norske lægeforening*, 117:1489-1492.

Kalseth, B. and A. Karstensen (1997), ''Bruk av sykehustjenester for innlagte pasienter''. *Samdata sykehus. Rapport 6/97*, SINTEF Unimed Norsk Institutt for sykehusforskning, Trondheim.

Larsen, K.A. (1994), ''Komunenes arbeidskraft- og kompetansebehov 1992-2007'', *ECON rapport 109/94*, Oslo.

Magnussen, J. (1994), ''*Hospital Efficiency in Norway: A Nonparametric Approach*'', Dissertation in Economics, No. 6, University of Bergen, Bergen.

NOU 1987: 23, *Retningslinjer for prioriteringer innen norsk helsetjeneste*.

NOU 1996: 5, *Hvem skal eie sykehusene?*

NOU 1997: 2, *Pasienten først! Ledelse og organisering i sykehus*.

NOU 1997: 6, *Rammevilkår for omsetning av legemidler*.

NOU 1997: 7, *Piller, prioritering og politikk*.

NOU 1997: 18, *Prioritering på ny*.

OECD (1995), *New directions in health care policy*, Health Policy Studies No.7, Paris.

OECD (1996), *Main Science and Technology Indicators 1996-2*, Paris.

OECD (1997), *OECD Economic Surveys, Norway 1997*, Paris.

Rønningen, L. (1997), ''Personellinnsatsen ved de somatiske sykehusene'', *Samdata sykehus. Rapport 6/97*, SINTEF Unimed Norsk Institutt for sykehusforskning, Trondheim.

Solstad, K. (1997), ''Aktivitet og kostnader korrigert for pasientsammensetningen – DRG-sykehus'', *Samdata sykehus. Rapport 6/97*, SINTEF Unimed Norsk Institutt for sykehus-forskning, Trondheim.

Sørensen, R.J., G. Rongen and J. Grytten (1997), ''Does Public Provision of Primary Care Physicians Services Secure Equity in Access? The Norwegian Experience'', *International Journal of Health Services* (in print).

Symeonidis, G. (1996), ''Innovation, firms size and market structure'', *OECD Economic Studies*, No. 27, 1996/II, Paris.

Wulfsberg, F. and O. Raaum (1997), ''Unemployment, labour market programmes and wages in Norway'', *Arbeidsnotat*, 1997/11, Bank of Norway.

Annex

Calendar of main economic events

1996

January

Allocations in the 15th licensing round for the Norwegian Continental Shelf are announced by the Ministry of Industry and Energy, with the Norwegian companies Statoil, Norsk Hydro and Saga Petroleum being offered operator responsibility for 8 out of a total of 18 joint licenses granted.

March

Norway and the EU reach an agreement on the tariff rates to be applied to processed agricultural products.

The Bank of Norway cuts its official deposit and overnight lending rates by 0.25 per cent to 4.5 and 6.5 per cent, respectively.

April

The central government accounts for 1995 show a surplus of NKr 4.1 billion, of which NKr 2.1 billion is transferred to the Government Petroleum Fund.

A breakdown of wage negotiations is followed by a strike in the hotel and restaurant industry.

May

The Revised 1996 Budget is presented to Parliament. Based upon an assumed oil price of NKr 115 per barrel, the State Budget surplus is expected to reach NKr 24.9 billion in 1996, compared with a projected NKr 12.6 billion in the December Budget Bill. The entire surplus is to be transferred to the Government Petroleum Fund.

The annual pay increase for public sector workers is fixed at 4 per cent. An agreement in the engineering industry, following industrial actions, entails a reduction in the retirement age to 62 and a pay increase of NKr 1.5 per hour. In the textile industry a pay increase of NKr 3 per hour is agreed.

June

A strike organised by the Norwegian Oil and Petrochemical Trade Union affects exploration activity and production drilling on the Norwegian Continental Shelf. The National Union of Electricians and Power Station Workers calls a strike on demands for paid leave for further education.

Iceland, Russia and Norway break off negotiations on uncontrolled fishing in the ‘‘loophole’’ area.

July

The Bank of Norway introduces a repurchase arrangement for government bonds and Treasury bills to supply liquidity to the money market.

The Gas Negotiation Committee and Ruhrgas sign a contract for natural gas deliveries for the 2000-25 period.

August

In a special meeting with the European Commission, the Norwegian government declines allegations by Scottish salmon farmers of subsidised dumping of farmed salmon.

October

The government presents the draft National Budget for 1997. Based upon an oil price assumption of NKr 115 per barrel, the State budget deficit for 1996 is projected at NKr 40.9 billion; excluding oil-related revenues and expenditures the deficit is expected to reach NKr 24.2 billion. The State surplus is to be transferred to the Government Petroleum Fund.

November

The central bank cuts its deposit rate and overnight lending rates by ½ percentage point to 4 and 6 per cent, respectively, to reduce appreciation pressure on the Norwegian krone.

The parliament approves the conversion of the Post Office and the Norwegian State Railways from public corporations to state-owned companies.

December

The National Budget for 1997 is adopted. Based upon an oil price of NKr 125 per barrel, the state budget surplus is expected to be NKr 54.6 billion, all of which is to be transferred to the Government Petroleum Fund.

1997

January

The central bank cuts its deposit and overnight lending rates in two steps by ¾ percentage point to 3¼ and 5¼ per cent, respectively, to reduce appreciation pressure on the Norwegian krone. At the same time, it announces that it is temporarily ceasing its intervention in the currency market, after purchasing the equivalent of NKr 31 billion in currency reserves by 10 January.

February

Reflecting the NKr 55.4 billion government budget surplus, the Bank of Norway resumes its foreign currency purchases for the Government's Petroleum Fund to meet an estimated shortfall of NKr 24.4 billion.

The Petroleum Directorate presents estimates showing that Norway has in early 1997 extracted one third of its recoverable oil resources and less than one tenth of its recoverable gas resources.

March

The Norwegian Confederation of Trade (LO) and the Confederation of Vocational Unions (YS) reach an agreement with the Confederation of Norwegian Business and Industry (NHO) concerning wage settlement for the private sector. All employees receive an hourly wage increase of 80 øre, and up to one krone extra is granted for some collective agreements. Local negotiations will be conducted on the basis of the various wage agreements so that any increases are based on each company's financial situation. The current agreement stipulates that pension for early retirement is expanded to include those aged 63 from 1 October 1997 and 62 from 1 March 1998.

The Labour Party government launched its Long Term Programme 1998-2001, focusing on challenges facing the Norwegian economy in maintaining medium term stability and preparing for declining oil revenues, rising pension expenditures and potentially stronger environmental constraints over the longer term.

A Commission to study Budget Reform, headed by Mr. Gudmund Restad, proposed to end the practice of using extra dividends from state-owned companies to finance the parliament's additional allocations in the final spurt of budgetary deliberations.

May

The Revised 1997 Budget is presented to Parliament. Based upon an assumed oil price of NKr 125 per barrel, the State Budget surplus is expected to reach 59.7 billion for 1997, compared with a projected NKr 55.4 billion in the December Budget Bill. The entire surplus is to be transferred to the Government Petroleum Fund.

The Norwegian Farmers' Union and the central government reach agreement on the income settlement, including an increase of 3.5 per cent, or NKr 928 million for the 1997-98 period, equivalent to NKr 4 200 per man-year.

A new wage agreement is concluded for central and local government employees. The agreement includes an annual pay increase of NKr 2 500 for all employees, while selected groups receive an additional NKr 900. State employees will have local negotiations concerning an additional NKr 1 billion, while local government employees have an additional NKr 380 million to negotiate. The early retirement system is expanded to include persons aged 63 from 1 October 1997 and persons aged 62 from 1 March 1998, similar to the scheme for private sector workers.

June

Following dumping and subsidy complaints by the organisations representing the salmon farming industry in Scotland and Shetland in 1996, Norway reached an agreement with the European Commission to limit salmon exports to the EU area. The agreement allows Norway to avoid a 14 per cent punitive import tariff, as well as anti-dumping measures and subsidy complaints for the next 5 years. It was agreed that the price of Norwegian salmon should average NKr 26.35 per kilo in the EU area and only as an exception be allowed to fall below NKr 22.40. Moreover, Norwegian salmon exports may increase by 11 per cent in 1997 and 10 per cent for the next four years. Finally, Norway will raise its export levy on salmon from 0.75 to 3 per cent.

July

The Bank of Norway raised its deposit and overnight lending rates by ¼ percentage point to 3½ and 5½ per cent respectively. The Governor of the bank affirms that the operational target of monetary and exchange rate policy is a stable exchange rate against European currencies. The decision is taken in response to recent developments in money and exchange markets.

August

After several months of calm in foreign exchange trading, the Bank of Norway resumed buying krone, to stem a considerable depreciation of the krone against European currencies.

September

Parliamentary elections resulted in the following votes: Labour 35.0 per cent, Socialist Left 6.0, Red Electoral Alliance 1.7, Centre 7.9, Christian Democrat 13.7, Liberal 4.5, Conservative 14.3, Progress 15.3, others 1.6. After the vote, Prime Minister Thorbjorn Jagland declared his minority Labour Party government would step down after presenting its budget to the parliament in October.

October

The Ministry of Finance issued new guidelines for the management of the Norwegian Government Petroleum Fund to enter into force on 1 January 1998. Between 30 and 50 per cent of the fund will be invested in foreign equity markets, and the remaining part will mainly be invested in bonds. The fund's investments in equities will be limited to portfolio investments. Investments in individual companies have been capped at 1 per cent. The fund shall be invested in accordance with the following regional distribution: The Americas (USA and Canada): 20-40 per cent; Europe (Austria, Belgium, Denmark, Finland, France, Germany, Ireland, Italy, Netherlands, Portugal, Spain, Sweden, Switzerland and United Kingdom): 40-60 per cent; Asia and Oceania (Australia, Hong Kong, Japan, New Zealand and Singapore): 10-30 per cent.

The outgoing Labour Party government presented the draft National Budget for 1998. Based upon an oil price assumption of NKr 125 per barrel, the State budget balance for 1998 is projected to reach a surplus of NKr 73.4 billion; excluding oil-related revenues and expenditures, a deficit of NKr 12.2 billion is projected. The State surplus is to be transferred to the Government Petroleum Fund.

After accepting the resignation of the Labour Party minority government on 13 October, the King appointed Kjell Magne Bondevik as the Prime Minister of a minority coalition government representing the Christian Democratic, the Centre and the Liberal Parties.

November

The new Norwegian government presented its amended budget proposal, showing a surplus of NKr 69.3 billion for 1998, and a non-oil deficit of NKr 17.2 billion, based upon an oil price assumption of NKr 125 per barrel. The surplus is to be allocated to the Petroleum Fund. The change from the budget presented by the Labour Party government reflects mainly increased welfare expenditure. On monetary policy, the new government affirmed the regulation on the stable exchange rate.

The Ministry of Finance presented a proposition to the parliament concerning authorisations for domestic and international borrowing in 1998. The government's gross borrowing requirement for 1998 of NKr 26.2 billion will be covered partly by domestic borrowing and partly by a reduction of the State's cash balances.

December

The National Budget for 1998 is adopted unchanged based on the budget proposal of the new Government.

STATISTICAL ANNEX AND STRUCTURAL INDICATORS

Table A. **Selected background statistics**

	Average 1987-96	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
A. Percentage changes[1]											
Private consumption	1.4	–0.8	–2.0	–0.6	0.7	1.5	2.2	2.2	4.0	2.7	4.7
Government consumption	2.9	4.6	–0.1	1.9	4.9	4.3	5.3	2.2	1.4	1.0	3.3
Gross fixed capital formation	–0.7	0.3	–1.8	–6.9	–10.8	–0.4	–3.1	4.3	4.5	3.7	4.8
Residential	–4.7	3.2	–6.9	–12.5	–17.8	–21.7	–10.6	–3.7	24.6	13.0	–6.0
Oil sector	–2.4	–10.5	–20.5	2.5	3.1	13.7	12.6	10.8	–13.7	–9.9	–5.8
Ships and pipelines	–7.8	–63.1	–462.0	50.8	–59.9	–41.6	–119.9	408.5	–18.0	–32.6	68.9
Other private business sector	–0.2	–5.7	–14.1	–22.2	0.6	1.9	–3.5	15.8	11.6	6.6	14.6
Public	2.7	12.1	5.3	4.1	–4.7	11.3	4.3	–9.6	–0.2	1.7	4.8
Total domestic demand	1.1	–0.8	–3.1	–2.0	–0.3	0.8	1.7	3.2	4.0	4.3	3.6
Exports of goods and services	6.3	1.1	6.4	11.0	8.6	6.1	5.2	3.2	8.7	3.6	10.0
Imports of goods and services	1.7	–6.5	–2.4	2.2	2.5	0.2	0.7	4.4	4.9	5.5	6.5
GDP	2.8	2.0	–0.1	0.9	2.0	3.1	3.3	2.7	5.5	3.6	5.3
Mainland GDP	1.7	1.7	–1.0	–1.7	1.0	1.4	2.2	2.8	4.1	3.1	3.7
GDP price deflator	3.3	6.9	5.0	5.7	3.9	2.4	–0.4	2.1	–0.2	3.4	4.1
Industrial production	1.3	0.8	–2.3	0.7	0.4	–1.6	1.2	2.7	5.6	2.8	2.6
Manufacturing	1.3	0.8	–2.0	0.4	0.4	–1.7	1.4	2.5	5.8	3.1	2.8
Employment	0.2	1.9	–0.6	–3.0	–0.9	–1.0	–0.3	0.0	1.5	2.2	2.5
Compensation of employees (current prices)	5.2	12.5	6.3	1.2	3.6	4.6	3.9	1.8	5.1	5.8	7.6
Productivity (real GDP/employment)	2.6	0.1	0.5	4.1	2.9	4.2	3.6	2.7	3.9	1.3	2.7
Unit labour costs (compensation/real GDP)	2.3	10.3	6.5	0.2	1.6	1.5	0.6	–0.9	–0.4	2.1	2.2
B. Percentage ratios											
Gross fixed capital formation as a per cent of GDP[1]	22.0	27.2	26.8	24.7	21.6	20.9	19.6	19.9	19.7	19.7	19.6
Stockbuilding as a per cent of GDP[1]	1.6	2.4	0.8	0.6	1.6	0.8	0.7	1.2	1.6	3.2	2.5
Foreign balance as a per cent of GDP[1]	7.4	–1.7	1.2	4.3	6.6	8.7	10.3	9.9	11.4	10.8	12.4
Compensation of employees as a per cent of GDP	49.2	52.3	53.0	50.3	49.2	48.8	49.3	47.8	47.7	47.1	46.3
Direct taxes as a per cent of household income	15.8	15.2	16.5	16.5	16.2	15.8	14.8	15.2	15.6	15.9	16.0
Household saving as a per cent of disposable income	3.2	–4.6	–1.0	1.1	2.2	4.1	5.8	6.8	6.0	5.6	6.1
Unemployment rate	4.8	2.1	3.2	4.9	5.2	5.5	5.9	6.0	5.4	4.9	4.9
C. Other indicator											
Current balance (billion dollars)	2.7	–4.0	–4.0	–0.1	2.9	4.0	4.7	3.6	3.8	4.7	11.2
Excluding shipping and oil platforms	3.0	–4.8	–2.7	2.8	4.0	3.6	3.7	3.9	3.6	4.1	11.3

1. At constant prices.
Source: Statistics Norway and OECD Secretariat.

Table B. **Supply and use of resources**

Kr million, current prices

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Private consumption	312 894	325 183	338 777	357 090	376 261	394 937	411 626	433 082	457 524	484 264
Government consumption	124 217	130 754	139 016	150 099	161 966	173 583	179 940	186 576	195 840	201 223
Gross fixed investment	170 935	181 459	175 075	156 209	157 430	156 332	168 186	179 358	192 826	206 904
Stockbuilding	15 445	5 638	4 345	11 889	6 008	5 762	9 623	14 477	26 949	32 713
Total domestic demand	623 491	643 033	657 213	675 286	701 665	730 614	769 375	813 493	873 139	925 105
Exports	199 777	213 783	262 546	293 740	308 106	300 112	315 962	333 212	353 211	412 627
Imports	213 239	217 228	237 442	246 359	246 367	245 804	261 652	279 172	297 459	319 982
GDP at market prices	610 029	639 588	682 317	722 667	763 405	784 922	823 685	867 532	928 891	1 017 750
Indirect taxes	107 934	106 704	107 049	110 849	116 724	122 212	130 332	141 231	150 321	161 231
Subsidies	26 063	28 035	30 001	32 565	34 176	34 914	36 322	36 202	34 181	34 598
GDP at factor cost	528 158	560 919	605 269	644 383	680 857	697 624	729 675	762 503	812 751	891 117

Source: Norwegian National Accounts.

Table C. **Gross domestic product by origin, current prices**

Kr million

	1988	1989	1990	1991	1992	1993	1994	1995	1996
Agriculture, forestry and fishing	20 950	21 055	22 846	22 229	20 386	21 545	22 207	22 852	22 459
Crude petroleum and natural gas production	42 424	68 854	87 117	90 386	90 416	95 759	99 231	103 750	147 301
Pipeline transport	6 254	7 112	7 924	10 020	10 939	11 017	12 244	13 998	16 627
Mining and quarrying	1 568	1 822	1 788	1 707	1 839	1 505	1 840	1 812	1 827
Manufacturing	85 891	85 750	84 196	85 838	88 328	94 667	100 297	113 230	117 688
Electricity, gas and water supply	18 488	20 016	21 381	22 741	22 079	21 642	20 277	24 132	21 683
Construction	36 666	33 018	29 362	27 501	27 971	25 763	28 224	32 309	36 735
Wholesale and retail trade	69 635	68 837	71 194	75 602	78 309	78 267	83 422	88 444	92 870
Hotels and restaurants	9 531	9 407	9 684	10 420	10 270	10 407	11 064	11 062	11 776
Water transport	11 484	16 409	18 567	23 404	17 815	21 053	19 032	16 998	17 762
Other transport and communications	..	..	..	..	16 609	33 452	34 174	36 466	37 723
Finance and insurance	34 854	35 755	36 080	35 574	36 905	38 640	38 557	37 932	35 627
Business services	37 052	36 526	35 580	37 417	39 275	43 159	46 356	48 360	53 583
Dwelling services	37 793	45 643	50 667	55 878	58 960	61 604	61 555	62 557	64 142
Other private services	31 854	32 803	35 047	38 205	40 771	41 908	44 060	47 568	51 067
Producers of government services	100 189	106 425	112 861	121 273	128 836	133 450	139 386	147 651	157 910
GDP at market prices	639 592	682 347	722 070	762 775	784 296	823 704	867 563	929 006	1 017 795

Source: Norwegian National Accounts.

Table D. **Gross domestic product by origin, constant prices**

1993 = 100

	1988	1989	1990	1991	1992	1993	1994	1995	1996
Agriculture, forestry and fishing	83.0	86.1	90.1	92.7	86.8	100.0	100.1	109.7	110.7
Crude petroleum and natural gas production	55.4	71.2	75.5	86.2	96.3	100.0	114.2	122.5	140.0
Pipeline transport	70.3	77.7	82.7	91.8	103.4	100.0	117.1	126.2	149.1
Mining and quarrying	106.0	116.3	113.2	114.1	118.6	100.0	124.1	127.1	128.8
Manufacturing	102.5	98.6	97.5	95.6	97.4	100.0	103.9	107.0	110.0
Electricity, gas and water supply	88.9	92.6	93.6	92.4	97.7	100.0	95.3	103.7	88.1
Construction	118.8	115.8	112.5	107.4	107.7	100.0	104.5	112.0	114.7
Wholesale and retail trade	95.9	92.2	93.8	97.5	100.6	100.0	110.9	112.4	119.5
Hotels and restaurants	131.2	119.4	116.8	120.1	107.5	100.0	107.5	106.9	111.1
Water transport	72.1	87.5	102.7	106.5	101.1	100.0	104.2	100.3	102.5
Other transport and communications	78.7	78.2	83.4	88.1	90.1	100.0	106.0	113.4	124.0
Finance and insurance	124.6	115.6	110.0	104.8	102.6	100.0	93.8	92.0	91.3
Business services	97.7	95.1	89.2	90.6	93.3	100.0	104.3	106.1	113.0
Dwelling services	82.4	91.2	93.8	97.8	98.9	100.0	99.8	100.7	101.6
Other private services	100.9	97.8	96.6	98.6	99.9	100.0	101.8	104.6	107.6
Producers of government services	87.6	89.1	92.1	94.9	98.5	100.0	101.7	103.6	106.3
Statistical discrepancy	89.0	80.9	84.9	85.0	90.8	100.0	113.7	120.4	131.0
GDP at market prices	88.8	89.6	91.4	94.3	97.3	100.0	105.5	109.3	115.0

Source: Norwegian National Accounts.

Table E. **General government income and expenditure**

Kr million

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Current receipts	318 929	333 490	347 680	377 545	387 073	394 263	408 211	436 505	472 685	521 102
Indirect taxes	107 934	106 704	107 048	110 849	116 724	122 212	130 332	141 354	150 347	162 166
Social security contributions	79 836	79 770	76 418	79 772	83 339	87 335	83 134	87 238	91 455	97 628
Direct taxes	86 143	94 245	105 071	116 256	117 637	117 359	125 149	137 401	151 419	170 297
Capital income	42 703	45 956	49 513	53 162	55 211	54 895	53 204	49 065	51 179	51 636
Other current receipts	2 313	6 815	9 630	17 506	14 162	12 462	16 392	21 447	28 284	39 375
Current expenditure	275 732	298 876	317 541	342 894	367 121	388 043	403 617	415 520	425 243	445 795
Expenditure on goods and services	124 262	130 766	139 037	150 134	162 019	173 618	179 965	186 621	195 830	208 976
Subsidies	26 063	28 035	30 001	32 565	34 176	34 914	36 322	36 771	34 181	34 845
Property income paid	24 061	22 684	24 711	25 812	24 840	25 653	27 845	27 065	26 857	26 724
Current transfers	20 924	24 682	18 711	19 124	21 121	19 971	20 030	23 110	21 605	20 867
Transfers to households	80 422	92 709	105 081	115 259	124 965	133 887	139 455	141 953	146 770	154 384
Net saving	43 197	34 614	30 139	34 651	19 952	6 220	4 594	20 985	47 442	75 307
Consumption of fixed capital	9 339	10 152	10 925	11 671	12 228	12 913	12 847	13 690	15 704	16 702
Gross saving	52 536	44 766	41 064	46 322	32 180	19 133	17 441	34 675	63 146	92 009
Gross fixed capital formation	23 169	26 145	27 164	25 729	28 883	29 998	27 369	27 828	29 368	30 918
Net lending	27 939	17 031	12 420	18 705	1 027	–13 603	–11 825	3 300	30 521	60 336
Memorandum items:										
Net revenue from oil sector	11 479	4 410	18 501	33 075	33 926	31 454	34 226	36 289	39 627	65 923
Petroleum taxes and excises	15 275	10 283	18 377	27 852	28 301	27 522	26 155	27 342	29 051	39 148
Net transfers	–3 796	–5 873	124	5 223	5 625	3 932	8 071	8 947	10 576	26 775

Source: Norwegian National Accounts.

Table F. **Labour market**

Thousand persons

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Civilian employment	2 090	2 079	2 014	1 992	1 973	1 970	1 970	2 003	2 047	. .
Agriculture, forestry and fishing	139	134	132	129	116	110	111	107	106	. .
Oil production and mining	24	24	23	22	21	25	25	24	23	. .
Manufacturing	352	337	318	310	294	295	292	303	308	. .
Electricity, gas and water	23	21	22	23	21	20	22	22	22	. .
Construction	166	166	147	139	130	122	116	119	126	. .
Wholesale and retail trade	375	376	369	358	354	353	349	348	357	. .
Transport and communications	178	175	167	162	162	157	158	165	170	. .
Banking, insurance and real estate	155	166	154	150	153	153	153	160	160	. .
Community, social and personal services	673	674	675	696	716	729	741	752	771	. .
Registered unemployment	32.4	49.3	82.9	92.7	100.7	114.4	118.2	110.3	102.2	90.9
Unfilled vacancies	12.4	8.7	6.9	6.6	6.5	6.4	7.4	7.7	8.8	10.0
Unemployment rate (as a per cent of labour force)	2.1	3.2	4.9	5.2	5.5	5.9	6.0	5.4	4.9	4.9

Source: OECD, *Labour Force Statistics* and *Main Economic Indicators*.

Table G. **Balance of payments**

Million US$

	1987	1988	1989	1990	1991	1992[1]	1993	1994	1995	1996
Current account	–4 055	–3 880	237	3 824	5 086	4 471	3 522	3 580	4 843	11 231
Trade balance	–720	–186	3 782	7 597	8 654	8 285	6 858	7 431	8 823	13 898
Merchandise exports	21 179	23 053	27 174	34 072	34 086	35 398	32 185	34 877	42 264	49 881
Merchandise imports	21 899	23 239	23 392	26 475	25 432	27 113	25 327	27 446	33 441	35 983
Non-factor services, net	–1 071	–552	144	404	615	451	794	67	–14	457
Credit	8 530	9 733	10 777	12 735	13 342	12 441	11 557	12 066	13 353	13 897
Debit	9 602	10 285	10 633	12 332	12 727	12 891	12 351	11 999	13 367	13 440
Factor income, net	–1 289	–2 001	–2 560	–2 730	–2 651	–2 812	–2 787	–2 185	–1 923	–1 638
Credit	3 034	3 257	3 429	3 896	3 519	2 689	2 380	3 422	4 539	4 672
Debit	4 323	5 257	5 989	6 625	6 170	5 501	5 167	5 608	6 462	6 311
Transfers, net	–975	–1 142	–1 129	–1 448	–1 531	–1 453	–1 343	–1 733	–2 043	–1 486
Official	–784	–966	–905	–1 180	–1 176	–1 095	–930	–1 047	–1 252	–1 299
Private	–191	–176	–224	–268	–355	–358	–413	–686	–791	–187
Capital account	–3	8	2	31	18	–172	–31	–21	–174	–157
Financial account	5 313	4 934	1 115	–1 050	–4 959	–313	–1 647	–1 604	–149	–5 450
Norwegian investment abroad	–3 039	–487	–3 114	–4 437	–1 877	2 085	–3 911	–1 324	–5 026	–19 942
Direct	–890	–968	–1 352	–1 478	–1 804	120	–718	–2 172	–2 855	–5 878
Portfolio	–1 025	–365	–557	–989	–2 486	865	–1 175	974	–3 532	–9 479
Other	–1 208	621	–302	–1 614	–353	369	6 197	164	905	2 129
International reserves	84	225	–903	–356	2 766	731	–8 215	–290	456	–6 714
Foreign investment in Norway	8 353	5 422	4 229	3 387	–3 082	–2 399	2 264	–280	4 878	14 492
Direct	184	285	1 511	1 004	–338	–668	991	2 777	2 408	3 951
Portfolio	3 371	4 550	3 617	1 502	–601	–1 972	2 088	–518	729	134
Other	4 798	587	–899	881	–2 143	242	–816	–2 539	1 741	10 407
Errors and omissions, net	–1 256	–1 062	–1 354	–2 805	–145	–3 986	–1 844	–1 954	–4 520	–5 623

1. Pre 1992 data are IMF estimates (BPM5 classification).

Source: Statistics Norway, IMF and OECD Secretariat.

Table H. **Foreign trade by area**

Million US$

	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995
Imports, total	20 298	22 578	23 221	23 677	27 228	25 536	26 075	24 021	27 406	32 974
OECD (29)	19 033	20 690	19 856	18 833	22 968	21 961	23 284	21 362	24 017	29 014
EU (15)	14 985	16 815	15 992	14 855	17 879	17 330	17 979	16 132	18 818	23 421
of which:										
Belgium-Luxembourg	596	650	585	618	634	612	623	584	696	947
Finland	811	981	808	711	843	804	922	786	996	1 291
France	824	832	770	773	1 013	975	1 059	1 027	1 104	1 447
Germany	3 556	3 615	3 282	3 111	3 856	3 613	3 762	3 255	3 801	4 558
Netherlands	775	868	909	786	1 073	1 341	1 028	984	1 158	1 458
United Kingdom	1 783	2 020	1 801	1 757	2 420	2 223	2 420	2 197	2 836	3 203
Sweden	3 644	4 265	4 079	3 595	4 243	3 939	4 024	3 398	4 098	5 074
United States	1 393	1 452	1 537	1 757	2 395	1 988	2 225	1 938	2 010	2 187
Non-OECD countries	1 265	1 888	3 364	4 843	4 259	3 574	2 790	2 659	3 390	3 960
CEEC	134	179	227	183	222	179	239	211	287	438
OPEC	100	88	128	133	175	173	112	113	101	119
Other	1 031	1 621	3 009	4 527	3 862	3 222	2 439	2 335	3 001	3 403
Exports, total	18 230	21 449	22 437	27 108	34 043	34 048	35 149	31 904	34 752	41 984
OECD (29)	15 828	19 051	20 773	25 327	31 543	31 333	32 190	29 284	32 181	38 589
EU (15)	14 099	16 769	17 872	21 755	27 041	27 228	27 681	24 970	26 915	32 404
of which:										
Belgium-Luxembourg	215	288	564	681	730	824	1 008	732	1 006	1 340
Finland	317	421	510	579	934	1 026	898	812	1 049	1 153
France	627	1 086	1 616	2 403	2 625	2 554	2 704	2 520	2 744	3 266
Germany	3 498	3 219	2 802	3 067	3 794	3 766	4 623	4 149	4 197	5 312
Netherlands	1 086	1 562	1 517	1 799	2 661	2 697	2 510	2 706	3 295	3 817
United Kingdom	5 060	5 711	5 853	7 257	8 913	9 014	8 510	7 843	7 193	8 295
Sweden	1 805	2 387	2 648	3 354	3 954	3 521	3 293	2 778	3 293	4 131
United States	988	1 222	1 359	1 791	2 152	1 588	1 781	1 898	2 253	2 511
Non-OECD countries	2 401	2 398	1 664	1 782	2 501	2 715	2 959	2 620	2 571	3 394
CEEC	69	104	133	115	209	317	413	365	429	520
OPEC	151	134	148	167	476	190	263	216	205	287
Other	2 181	2 160	1 383	1 499	1 815	2 209	2 283	2 039	1 937	2 587

Source: OECD, *Foreign Trade Statistics*, Series C.

Table I. **Prices and wages**

1990 = 100

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Consumer prices										
Total	86.1	91.9	96.0	100.0	103.4	105.8	108.2	109.8	112.5	113.9
Food	88.6	94.3	96.9	100.0	101.7	103.1	102.1	103.5	105.0	106.8
Rent, heating and light	81.9	88.6	94.0	100.0	104.5	107.0	110.0	111.0	114.1	116.8
Wholesale prices										
Total	86.8	91.4	96.5	100.0	102.5	102.6	102.5	104.0	106.0	107.6
Consumer goods	86.9	91.9	95.7	100.0	103.7	105.6	105.7	107.1	108.7	110.3
Investment goods	90.5	94.6	97.9	100.0	102.1	103.0	106.2	108.2	110.8	111.6
Petroleum products	81.2	72.7	84.4	100.0	100.2	91.4	93.2	91.0	89.1	102.8
Hourly earnings[1]	85.1	89.8	94.4	100.0	105.3	108.6	111.6	114.8	118.8	123.7

1. Employees in manufacturing.

Source: OECD, *Main Economic Indicators* and Statistics Norway, *Monthly Bulletin of Statistics.*

Table J. **Money and credit**

Kr million

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Changes in money supply										
Domestic liquidity supply	90 343	21 658	18 743	30 043	64 017	39 800	1 700	46 200	60 800	35 200
Central authorities[1]	16 784	16 568	34 836	46 465	60 308	82 400	37 500	39 700	19 500	–42 900
Commercial and saving banks[2]	83 298	11 290	1 303	1 076	12 520	–33 400	–26 300	20 900	47 100	59 800
Unspecified and statistical errors	–9 739	–6 200	–17 396	–17 498	–8 811	–9 200	–9 500	–14 400	–5 800	18 300
Foreign transactions	–40 252	300	11 794	–4 147	–15 101	–2 400	1 300	–10 400	–30 700	1 700
Change in broad money (M2)	50 091	21 958	30 537	25 896	48 916	37 400	3 000	35 800	30 100	36 900
Domestic lending by financial institutions										
Total[3]	692 160	765 431	823 750	843 424	823 842	808 863	797 121	804 929	845 789	899 670
Commercial banks	217 871	229 780	256 034	261 184	244 981	251 237	249 566	256 826	284 693	318 354
Saving banks	159 072	173 158	184 100	191 950	191 652	192 312	202 474	216 931	236 350	266 150
State banks	137 446	145 777	154 725	163 044	174 949	185 586	180 794	176 625	175 391	172 127
Insurance companies	55 597	59 414	59 313	61 199	70 091	78 302	70 888	66 452	55 987	52 728
Mortgage credit institutions	99 870	126 488	142 782	144 659	121 606	83 132	73 144	63 219	62 289	59 520
Private finance institutions	21 898	30 347	25 963	20 742	19 986	17 636	18 981	24 264	30 487	30 266
Postal saving banks	6 047	7 101	8 394	10 196	13 089	15 246	20 873	25 623	..	..

1. Government income surplus, loan transactions, central and State banks. Excluding oil taxes.
2. Including tax-free allocations to funds and saving with tax deductions.
3. Breakdown does not add up to total.

Source: Bank of Norway, *Economic Bulletin* and Statistics Norway, *Monthly Bulletin of Statistics.*

Table K. **Production and employment structures**

As a per cent of total

	GDP at factor cost (current prices)					Employment				
	1978	1985	1990	1995	1996	1978	1985	1990	1995	1996
Agriculture, forestry and fishing	4.4	3.0	3.2	2.5	2.2	8.7	7.2	6.1	4.9	4.7
Mining, crude petroleum and natural gas	6.3	17.7	12.6	11.6	14.9	0.8	1.2	1.2	1.2	1.2
Manufacturing	16.0	12.4	11.7	12.2	11.6	20.4	16.6	14.3	14.3	14.2
of which:										
Food, beverages and tobacco	2.1	1.8	1.8	1.7	1.7	3.2	2.8	2.5	2.6	2.5
Textiles, clothing, leather	0.6	0.3	0.3	0.2	0.2	1.2	0.8	0.5	0.5	0.4
Wood and wood products	1.8	1.2	1.0	0.9	0.8	2.5	1.9	1.5	1.4	1.4
Paper and paper products, printing and publishing	2.0	1.8	2.0	2.1	1.9	2.8	2.5	2.4	2.4	2.4
Chemicals and products of petroleum, coal, rubber, etc.	2.4	1.9	1.9	2.0	1.8	2.3	1.9	1.7	1.5	1.6
Fabricated metal products, machinery and equipment	5.9	4.2	3.8	4.0	4.0	7.2	5.8	4.9	5.1	5.1
Metal production	1.2	1.2	0.9	1.3	1.1	1.2	1.0	0.8	0.8	0.8
Electricity, gas and water	2.6	2.9	3.0	2.6	2.1	0.9	0.9	1.0	0.9	0.9
Construction	5.9	4.2	4.1	3.5	3.6	6.7	6.4	6.1	4.9	4.9
Services	64.9	59.7	65.6	67.7	65.5	62.7	67.7	71.3	73.7	74.0
of which:										
Wholesale and retail trade, restaurants and hotels	13.3	11.2	11.2	10.7	10.3	17.0	17.2	16.9	16.8	17.1
Transport, storage and communication	9.4	7.6	9.8	9.4	9.1	9.3	8.9	9.2	8.9	8.8
Finance, insurance, real estate and business services	13.4	13.8	16.9	16.0	15.1	5.8	8.1	8.4	8.4	8.5
Other private services	4.8	4.2	4.8	5.1	5.0	7.9	7.9	8.6	8.8	8.8
Producers of government services	14.8	13.6	15.7	15.9	15.5	22.7	25.5	28.2	30.8	30.8
Statistical discrepancy	9.2	9.1	7.1	10.6	10.6	..	..	..	..	..

Source: Norwegian National Accounts and OECD, *National Accounts*.

Table L. **Productivity and investment structure**

Per cent

	Productivity growth (GDP/employment)					Share of total investment (current prices)				
	1978-84	1985-89	1990-94	1995	1996	1978	1985	1990	1995	1996
Agriculture, forestry and fishing	3.9	0.7	7.7	11.6	2.8	7.3	4.6	3.8	3.2	3.1
Mining, crude petroleum and natural gas	3.4	9.2	8.4	8.9	11.0	10.1	24.6	21.2	21.9	19.7
Manufacturing	2.8	1.3	1.8	0.2	0.7	10.4	8.1	8.4	8.3	8.6
of which:										
Food, beverages and tobacco	–0.9	0.4	–1.4	0.9	–0.3	1.8	1.4	1.5	1.7	1.6
Textiles, clothing, leather	3.6	1.9	5.9	–2.6	2.2	0.3	0.1	0.0	0.1	0.1
Wood and wood products	1.0	0.8	–0.8	–1.5	1.3	0.8	0.6	0.7	0.7	0.9
Paper and paper products, printing and publishing	3.5	0.2	1.4	1.8	–0.6	1.6	1.0	1.2	1.4	1.2
Chemicals and products of petroleum, coal, rubber, etc.	7.1	1.2	4.7	–0.5	–0.5	2.7	1.8	2.6	2.1	2.0
Fabricated metal products, machinery and equipment	2.1	1.4	1.7	0.2	2.0	2.3	1.8	1.5	1.5	1.5
Metal production	6.2	4.4	5.9	–2.5	1.3	0.9	1.4	0.9	0.7	1.4
Electricity, gas and water	1.3	–1.2	1.1	7.1	–15.0	7.0	5.6	3.8	2.6	2.3
Construction	–0.6	1.8	4.5	0.3	0.0	1.2	0.9	0.6	0.5	0.5
Services	0.6	0.1	2.1	0.3	2.0	64.1	56.2	62.1	63.6	65.9
of which:										
Wholesale and retail trade, restaurants and hotels	2.2	0.8	4.0	–2.6	1.4	10.2	10.9	7.9	10.5	11.2
Transport, storage and communication	3.2	2.0	5.9	4.2	8.1	11.0	6.2	13.7	15.3	17.4
Finance, insurance, real estate and business services	–2.2	–0.2	0.7	–2.1	–1.9	25.0	25.5	21.0	19.3	18.8
Other private services	–0.2	–0.5	–0.2	1.1	0.4	2.2	2.2	3.0	3.3	3.3
Producers of government services	0.2	0.0	0.1	0.2	0.2	15.7	11.5	16.5	15.2	15.2

Source: Norwegian National Accounts and OECD, *National Accounts*.

Table M. **Labour market indicators**

	Per cent				
	1980	1985	1990	1995	1996
A. Labour market performance					
Standardised unemployment rate	1.6	2.6	5.2	4.9	4.9
Unemployment rate	1.7	2.7	5.2	4.9	4.8
Male	1.3	2.2	5.6	5.1	4.8
Female	2.1	3.2	4.8	4.6	4.8
Youth[1]	4.7	6.5	11.8	11.9	12.3
Share of long-term unemployment in total[2]	3.3	10.2	19.4	24.1	14.0
B. Structural or institutional characteristics					
Participation rate[3]	76.7	80.0	79.8	78.9	80.8
Male	88.7	89.7	86.8	84.2	86.1
Female	64.2	70.1	72.6	73.5	75.3
Employment/population ratio (16-64 years)	75.4	77.9	75.7	75.0	76.9
Non-wage labour costs[4] (as a per cent of total compensation)	16.5	16.5	16.9	16.0	16.2
Unemployment insurance replacement ratio[5]	35.8	33.3	34.7	39.6	..
	Average annual percentage growth				
	1980-84	1985-89	1990-94	1995	1996
Labour force	1.2	1.0	0.1	1.6	2.7
Employment	0.8	0.4	0.1	2.2	2.8
Industry	–1.0	–1.4	–1.3	2.4	..
Services	2.1	1.4	1.0	2.4	..

1. People between 16 and 24 years of age as a percentage of the labour force of the same age group.
2. Persons seeking a job for 12 months and over as a percentage of total unemployed.
3. Labour force as a percentage of relevant population group, aged between 16 and 64 years.
4. Employers' contributions to social security and pension funds.
5. Unemployment benefits per unemployed as a percentage of compensation per employee.

Source: OECD, *Labour Force Statistics* and *Main Economic Indicators.*

Table N. **Public sector**
General government income and expenditure structures

As a percentage of GDP

	1970	1975	1980	1985	1990	1995	1996
Current receipts	40.0	44.3	49.4	51.4	52.2	50.9	51.2
Indirect taxes	16.6	16.2	15.9	16.9	15.3	16.2	15.9
Social security contributions	8.6	11.9	10.9	10.5	11.0	9.8	9.6
Direct taxes	11.6	14.0	19.3	18.2	16.1	16.3	16.7
Capital income	2.9	1.9	3.0	4.9	7.4	5.5	5.1
Other current receipts	0.3	0.4	0.3	0.8	2.4	3.0	3.9
Current expenditure	32.0	36.6	40.9	39.8	47.4	45.8	43.8
Expenditure on goods and services	16.4	18.7	18.8	18.2	20.8	21.1	20.5
Defence	3.1	2.8	2.6	2.6	3.1	..	..
Education	4.3	4.8	4.6	4.4	4.9	..	..
Health	2.1	3.2	3.7	3.9	4.3	..	..
Social security and welfare	0.8	1.3	1.5	1.5	1.9	..	..
Economic services	2.2	2.3	2.1	2.0	2.0	..	..
Other	3.9	4.3	4.3	3.8	4.6	..	..
Subsidies	3.8	4.6	5.2	4.2	4.5	3.7	3.4
Property income paid	1.6	1.5	3.1	3.2	3.6	2.9	2.6
Current transfers	1.2	1.8	2.6	2.4	2.6	2.3	2.1
Transfers to households	9.0	10.0	11.3	11.8	15.9	15.8	15.2
Net saving	8.0	7.7	8.4	11.6	4.8	5.1	7.4
Consumption of fixed capital	1.4	1.5	1.6	1.4	1.6	1.7	1.6
Gross saving	9.4	9.2	10.0	13.0	6.4	6.8	9.0
Gross fixed capital formation	4.4	4.7	3.9	2.8	3.6	3.2	3.0
Net lending	5.1	4.6	5.4	9.9	2.6	3.3	5.9
Memorandum item:							
Net revenue from oil sector	..	..	7.3	9.3	4.6	4.3	6.5

Source: Norwegian National Accounts and OECD, *National Accounts*.

BASIC STATISTICS:

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Czech Republic	Denmark	Finland	France	Germany	Greece
Population												
Total	Thousands	1995	18 054	8 047	10 137	29 606	10 331	5 228	5 108	58 141	81 662	10 459
Inhabitants per sq. km	Number	1995	2	96	332	3	131	121	15	106	229	79
Net average annual increase over previous 10 years	%	1995	1.4	0.6	0.3	1.3	0	0.2	0.4	0.5	3	0.5
Employment												
Total civilian employment (TCE)[2]	Thousands	1994	7 943	3 737	3 692 (93)	13 292	4 932	2 508	2 015	21 744	35 894	3 790
of which: Agriculture	% of TCE	1994	5.1	7.2	2.6 (92)	4.1	7	5.1	8.3	5.1 (93)	3.3	20.8
Industry	% of TCE	1994	23.5	33.2	27.7 (92)	22.6	42.9	26.8	26.8	27.8 (93)	37.6	23.6
Services	% of TCE	1994	71.4	59.6	69.7 (92)	73.3	50.1	68.1	64.9	67.3 (93)	59.1	55.5
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1995	360.3	233.3	269.2	560	45.7	173.3	125	1 537.6	2 412.5	77.8 (94)
Per capita	US$	1995	19 957	28 997	26 556	18 915	4 420	33 144	24 467	26 445	29 542	7 458 (94)
At current prices using current PPP's[3]	Bill. US$	1995	349.4	167.2	210.8	622.6	..	112.6	90.9	1 159.3	1 673.8	127.3
Per capita	US$	1995	19 354	20 773	20 792	21 031	..	21 529	17 787	19 939	20 497	12 174
Average annual volume growth over previous 5 years	%	1995	3.3	2	1.2	1.5	..	2	–0.7	1.1	1.7	0.8 (94)
Gross fixed capital formation (GFCF)	% of GDP	1995	20.1	24.7	17.6	17.5	32.2	16	15.1	18	21.7	16.9 (94)
of which: Machinery and equipment	% of GDP	1995	10.5 (94)	9 (94)	7.4 (94)	6.5	..	7.2 (94)	5.9 (94)	8.1	7.6	7.9 (94)
Residential construction	% of GDP	1995	5.6 (94)	6.4 (94)	4.5 (94)	4.9	..	3 (94)	3.6 (94)	4.5	7.6	3.4 (94)
Average annual volume growth over previous 5 years	%	1995	3	3	–1.1	0.3	..	–0.5	–10.4	–1.3	2.5	1.2 (94)
Gross saving ratio[4]	% of GDP	1995	16.9	24.9	22.6	17.1	..	17.8	19.8	19.7	21.3	15.7 (94)
General government												
Current expenditure on goods and services	% of GDP	1995	17.2	18.9	14.8	19.6	..	25.1	21.8	19.3	19.5	18.5 (94)
Current disbursements[5]	% of GDP	1994	36.2	47.8	54.1	46.7	..	61.1	57.7	50.9	46.1	52.7
Current receipts	% of GDP	1994	34.2	47.3	50.6	42.4	..	59.1	53	46.4	46.4	44.2
Net official development assistance	% of GNP	1994	0.33	0.33	0.32	0.42	..	0.99	0.3	0.64	0.33	..
Indicators of living standards												
Private consumption per capita using current PPP's[3]	US$	1995	12 090	11 477	12 960	12 551	10 259	11 531	9 643	11 996	11 707	9 071
Passenger cars, per 1 000 inhabitants	Number	1993	438	418	402	455 (92)	164	312	367	419	533[8]	187
Telephones, per 1 000 inhabitants	Number	1992	482	451	437	592	190	589	544	536	457[8]	457
Television sets, per 1 000 inhabitants	Number	1992	482	480	453	640	..	537	505	408	558	201
Doctors, per 1 000 inhabitants	Number	1994	2.2 (91)	2.4	3.7	2.2	3.2	2.8 (93)	2.7	2.9	3.2 (92)	3.9 (93)
Infant mortality per 1 000 live births	Number	1994	5.9	6.3	7.6	6.8 (93)	..	5.4 (93)	4.6	6.1	5.8 (93)	7.9
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1995	2	5	2.8	2.7	..	3.3	4.2	3	4.8	13.4
Consumer prices	%	1995	2.5	3.2	2.4	2.2	20.3	2	2.3	2.2	3.5	13.9
Foreign trade												
Exports of goods, fob*	Mill. US$	1995	53 092	57 200	170 230[7]	192 502	21 654	49 045	39 995	286 762	523 000	11 761
As % of GDP	%	1995	14.7	24.5	63.2	34.4	47.4	28.3	32	18.7	21.7	12.2 (94)
Average annual increase over previous 5 years	%	1995	6	6.9	7.6	8.6	..	7	8.6	5.8	5	8
Imports of goods, cif*	Mill. US$	1995	57 406	65 293	155 449[7]	164 443	26 523	43 728	28 928	267 059	463 472	27 718
As % of GDP	%	1995	15.9	28	57.7	29.4	58	25.2	23.1	17.4	19.2	28.3 (94)
Average annual increase over previous 5 years	%	1995	8.1	5.9	5.3	7.1	..	6.7	1.4	3.5	6.1	6.9
Total official reserves[6]	Mill. SDRs	1995	8 003	12 600	10 883[7]	10 124	9 312	7 411	6 753	18 065	57 185	9 943
As ratio of average monthly imports of goods	Ratio	1995	1.7	2.3	0.8	0.7	..	2	2.8	0.8	1.5	4.3

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Hungary	Iceland	Ireland	Italy	Japan	Korea	Luxembourg	Mexico	Netherlands	New Zealand
Population												
Total	Thousands	1995	10 229	267	3 580	57 283	125 250	44 851	413	91 120	15 457	3 580
Inhabitants per sq. km	Number	1995	111	3	51	190	332	444	159	46	379	13
Net average annual increase over previous 10 years	%	1995	–0.3	1	0.1	0	0.4	0.9	1.2	2.1	0.7	0.9
Employment												
Total civilian employment (TCE)[2]	Thousands	1994	3 643	138	1 207	20 022	64 530	19 831	207	32 439	6 631	1 560
of which: Agriculture	% of TCE	1994	9	9.4	12	7.7	5.8	13.6	2.9	25.8	4	10.4
Industry	% of TCE	1995	34	26.1	27.6	32.1	34	33.2	30.7 (90)	22.2	23	24.9
Services	% of TCE	1995	57.1	65.2	60.5	60.2	60.2	53.2	66.1 (90)	52.1	73	64.6
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1995	43.7	7	64.3	1 087.2	5 114	455.5	10.6 (92)	246.1	395.5	59.7
Per capita	US$	1995	4 273	23 366	17 965	18 984	40 726	10 155	26 866 (92)	2 597	25 597	16 689
At current prices using current PPP's[3]	Bill. US$	1995	..	5.9	61.7	1 114.7	2 736.8	..	12.8	699.7	305.6	60.3
Per capita	US$	1995	..	21 938	17 228	19 465	21 795	..	31 303	7 383	19 782	16 851
Average annual volume growth over previous 5 years	%	1995	..	0.9	5.7	1.1	1.3	..	4.1 (92)	3.0 (93)	2.1	2.9
Gross fixed capital formation (GFCF)	% of GDP	1995	19.3	15.2	15.1	17	28.5	36.6	27.7 (92)	16.6	19.4	20.5
of which: Machinery and equipment	% of GDP	1993	8	4.7	5.5	8.6	9.6 (94)	13.2	..	9.4 (93)	9.1	10
Residential construction	% of GDP	1993	9.8	4	5	4.8	5.7 (94)	7.8	..	4.9 (93)	5.2	5.5
Average annual volume growth over previous 5 years	%	1995	..	–4.1	0.9	–1.7	–0.1	..	6.5 (92)	7.7 (94)	1.2	4.5
Gross saving ratio[4]	% of GDP	1995	..	16.4	19.5	20.5	30.8	35.8	60.2 (92)	15.1 (94)	24.6	18.4
General government												
Current expenditure on goods and services	% of GDP	1995	24.9	20.8	14.7	16.3	9.7	10.4	17.1 (92)	10.6[7]	14.3	14.3
Current disbursements[5]	% of GDP	1994	..	34.4	40.4 (93)	51	27	15.3	..	..	52.8	..
Current receipts	% of GDP	1994	..	35.4	38.9 (93)	45	32.2	24.2	..	..	51.6	..
Net official development assistance	% of GNP	1994	..	..	0.2	0.27	0.28	..	0.4	..	0.75	0.22
Indicators of living standards												
Private consumption per capita using current PPP's[3]	US$	1995	11 197	13 208	9 467	11 952	13 102	12 287	16 827	5 368	11 854	10 396
Passenger cars, per 1 000 inhabitants	Number	1993	204	435	251	516 (92)	326	95	506	88	372	439
Telephones, per 1 000 inhabitants	Number	1993	146	544	328	418	468	378	541	88	499	460
Television sets, per 1 000 inhabitants	Number	1992	414	319	304	421	614	211	267	149	488	443
Doctors, per 1 000 inhabitants	Number	1994	..	3 (93)	2	1.7 (92)	1.8	..	2.2 (93)	1	2.5 (90)	2.1
Infant mortality per 1 000 live births	Number	1994	11.5	4.8 (93)	5.9	7.3 (93)	4.2	..	8.5 (92)	17	5.6	7.3 (93)
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1995	..	..	4.3	5	2	..	..	1.9	2.9	1.6
Consumer prices	%	1995	25.4	3.5	2.5	5	1.4	6.2	2.8	17.6	2.7	2.1
Foreign trade												
Exports of goods, fob*	Mill. US$	1995	12 540	1 802	44 708	233 868	441 512	125 058	..	79 542	197 087	13 805
As % of GDP	%	1995	28.7	25.6	69.5	21.5	8.6	27.5	..	32.3	49.8	23.1
Average annual increase over previous 5 years	%	1995	5.2	2.5	13.4	6.6	9	14	..	24.3	8.5	7.9
Imports of goods, cif*	Mill. US$	1995	15 073	1 754	33 024	206 246	335 392	135 119	..	72 453	177 912	13 990
As % of GDP	%	1995	34.5	24.9	51.3	19	6.6	29.7	..	29.4	45	23.4
Average annual increase over previous 5 years	%	1995	11.7	1.2	9.8	2.5	7.5	14.1	..	18.3	7.1	8.1
Total official reserves[6]	Mill. SDRs	1995	8 108	207	5 806	23 482	123 277	21 983	..	11 333	22 680	2 967
As ratio of average monthly imports of goods	Ratio	1995	..	1.4	2.1	1.4	4.4	..	..	1.9	1.5	2.5

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Poland	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population											
Total	Thousands	1995	4 360	38 588	9 921	39 210	8 827	7 081	61 644	58 613	263 058
Inhabitants per sq. km	Number	1995	13	119	107	78	20	171	79	239	28
Net average annual increase over previous 10 years	%	1995	0.5	0.4	–0.1	0.2	0.6	0.8	2.1	0.3	1
Employment											
Total civilian employment (TCE)[2]	Thousands	1994	2 003	14 658	4 372	11 760	3 926	3 772	19 664	25 579	123 060
of which: Agriculture	% of TCE	1994	5.3	23.8	11.5	9.8	3.4	4	44.8	2.1	2.9
Industry	% of TCE	1994	23.4	31.9	32.8	30.1	25	28.8	22.2	27.7	24
Services	% of TCE	1994	71.3	44.1	55.7	60.2	71.6	67.3	33	70.2	73.1
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1995	103.4 (93)	118	99.8	559.6	230.6	306.1	169.3	1 101.8	6 954.8
Per capita	US$	1995	23 984 (93)	3 057	10 060	14 272	26 096	43 233	2 747	18 799	26 438
At current prices using current PPP's[3]	Bill. US$	1995	98.8	..	123.5	557.8	165	175.7	350.8	1 041.9	6 954.8
Per capita	US$	1995	22 672	..	12 457	14 226	18 673	24 809	5 691	17 776	26 438
Average annual volume growth over previous 5 years	%	1995	2.1 (93)	..	1.4	1.3	0.4	0	3.2	1.2	2.3
Gross fixed capital formation (GFCF)	% of GDP	1995	22 (93)	17.1	23.7	20.6	14.5	22.7	23.3	15.1	17.6
of which: Machinery and equipment	% of GDP	1995	..	..	11.7 (93)	5.8 (94)	7.8	8.3	10.8	7.3 (94)	7.7 (93)
Residential construction	% of GDP	1995	..	..	5.2 (93)	4.1 (94)	1.6	14.4[7]	9.3 (94)	3.1 (94)	4.0 (93)
Average annual volume growth over previous 5 years	%	1995	–3.3 (93)	..	1.8	–0.9	–5.3	–0.2	4	–1.6	5.8
Gross saving ratio[4]	% of GDP	1995	21.9 (93)	..	21.6	21.5	16.6	30.1	19.7	13.8	15.9
General government											
Current expenditure on goods and services	% of GDP	1995	22.1 (93)	..	18.1	16.6	25.8	14	10.8	21.4	16.2
Current disbursements[5]	% of GDP	1994	..	..	42.5 (93)	42.6	66.4	36.8.	..	42.3	35.8 (93)
Current receipts	% of GDP	1994	..	..	39.8 (93)	39.1	57.4	36.6	..	37.3	31.7 (93)
Net official development assistance	% of GNP	1994	1.05	..	0.36	0.27	0.92	0.38	..	0.31	0.15
Indicators of living standards											
Private consumption per capita using current PPP's[3]	US$	1995	11 194	..	8 150	8 812	9 778	14 594	4 021	11 319	17 834
Passenger cars, per 1 000 inhabitants	Number	1993	375	175	332	343	404	440	43	375 (92)	556
Telephones, per 1 000 inhabitants	Number	1993	542	115	311	364	678	611	184	494	574
Television sets, per 1 000 inhabitants	Number	1992	424	295	188	402	469	407	176	435	815
Doctors, per 1 000 inhabitants	Number	1994	3.3 (93)	..	2.9	4.1 (93)	3	3.1	1.1	1.5 (93)	2.5 (93)
Infant mortality per 1 000 live births	Number	1994	5.1 (93)	..	7.9	7.6 (93)	4.8 (93)	5.6 (93)	46.8	6.2	8.5 (92)
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1995	3.5	..	..	6.4	4.6	..	..	5.7	2.7
Consumer prices	%	1995	2.4	43	7.2	5.2	4.4	3.2	78.6	3.4	3.1
Foreign trade											
Exports of goods, fob*	Mill. US$	1995	41 836	22 892	23 356	91 615	79 595	81 499	21 853	242 692	584 742
As % of GDP	%	1995	30.9 (93)	19.4	23.4	16.4	34.5	26.6	12.9	22	8.4
Average annual increase over previous 5 years	%	1995	4.4	..	7.4	10.6	6.7	5	10.8	5.7	8.2
Imports of goods, cif*	Mill. US$	1995	32 804	29 050	33 539	114 835	64 469	80 193	36 060	265 696	743 445
As % of GDP	%	1995	23.3 (93)	24.6	33.6	20.5	28	26.2	21.3	24.1	10.7
Average annual increase over previous 5 years	%	1995	3.8	..	6.2	5.6	3.3	2.8	9.8	3.5	8.5
Total official reserves[6]	Mill. SDRs	1995	15 148	9 939	10 663	23 199	16 180	24 496	8 370	28 265	50 307
As ratio of average monthly imports of goods	Ratio	1995	5.5	..	3.8	2.4	3	3.7	2.8	1.3	0.8

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Including non-residential construction.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

MAIN SALES OUTLETS OF OECD PUBLICATIONS
PRINCIPAUX POINTS DE VENTE DES PUBLICATIONS DE L'OCDE

AUSTRALIA – AUSTRALIE
D.A. Information Services
648 Whitehorse Road, P.O.B 163
Mitcham, Victoria 3132 Tel. (03) 9210.7777
Fax: (03) 9210.7788

AUSTRIA – AUTRICHE
Gerold & Co.
Graben 31
Wien I Tel. (0222) 533.50.14
Fax: (0222) 512.47.31.29

BELGIUM – BELGIQUE
Jean De Lannoy
Avenue du Roi, Koningslaan 202
B-1060 Bruxelles Tel. (02) 538.51.69/538.08.41
Fax: (02) 538.08.41

CANADA
Renouf Publishing Company Ltd.
5369 Canotek Road
Unit 1
Ottawa, Ont. K1J 9J3 Tel. (613) 745.2665
Fax: (613) 745.7660

Stores:
71 1/2 Sparks Street
Ottawa, Ont. K1P 5R1 Tel. (613) 238.8985
Fax: (613) 238.6041

12 Adelaide Street West
Toronto, QN M5H 1L6 Tel. (416) 363.3171
Fax: (416) 363.5963

Les Éditions La Liberté Inc.
3020 Chemin Sainte-Foy
Sainte-Foy, PQ G1X 3V6 Tel. (418) 658.3763
Fax: (418) 658.3763

Federal Publications Inc.
165 University Avenue, Suite 701
Toronto, ON M5H 3B8 Tel. (416) 860.1611
Fax: (416) 860.1608

Les Publications Fédérales
1185 Université
Montréal, QC H3B 3A7 Tel. (514) 954.1633
Fax: (514) 954.1635

CHINA – CHINE
Book Dept., China National Publications
Import and Export Corporation (CNPIEC)
16 Gongti E. Road, Chaoyang District
Beijing 100020 Tel. (10) 6506-6688 Ext. 8402
(10) 6506-3101

CHINESE TAIPEI – TAIPEI CHINOIS
Good Faith Worldwide Int'l. Co. Ltd.
9th Floor, No. 118, Sec. 2
Chung Hsiao E. Road
Taipei Tel. (02) 391.7396/391.7397
Fax: (02) 394.9176

CZECH REPUBLIC – RÉPUBLIQUE TCHÈQUE
National Information Centre
NIS – prodejna
Konviktská 5
Praha 1 – 113 57 Tel. (02) 24.23.09.07
Fax: (02) 24.22.94.33
E-mail: nkposp@dec.niz.cz
Internet: http://www.nis.cz

DENMARK – DANEMARK
Munksgaard Book and Subscription Service
35, Nørre Søgade, P.O. Box 2148
DK-1016 København K Tel. (33) 12.85.70
Fax: (33) 12.93.87

J. H. Schultz Information A/S,
Herstedvang 12,
DK – 2620 Albertslung Tel. 43 63 23 00
Fax: 43 63 19 69
Internet: s-info@inet.uni-c.dk

EGYPT – ÉGYPTE
The Middle East Observer
41 Sherif Street
Cairo Tel. (2) 392.6919
Fax: (2) 360.6804

FINLAND – FINLANDE
Akateeminen Kirjakauppa
Keskuskatu 1, P.O. Box 128
00100 Helsinki

Subscription Services/Agence d'abonnements :
P.O. Box 23
00100 Helsinki Tel. (358) 9.121.4403
Fax: (358) 9.121.4450

***FRANCE**
OECD/OCDE
Mail Orders/Commandes par correspondance :
2, rue André-Pascal
75775 Paris Cedex 16 Tel. 33 (0)1.45.24.82.00
Fax: 33 (0)1.49.10.42.76
Telex: 640048 OCDE
Internet: Compte.PUBSINQ@oecd.org

Orders via Minitel, France only/
Commandes par Minitel, France
exclusivement : 36 15 OCDE

OECD Bookshop/Librairie de l'OCDE :
33, rue Octave-Feuillet
75016 Paris Tel. 33 (0)1.45.24.81.81
33 (0)1.45.24.81.67

Dawson
B.P. 40
91121 Palaiseau Cedex Tel. 01.89.10.47.00
Fax: 01.64.54.83.26

Documentation Française
29, quai Voltaire
75007 Paris Tel. 01.40.15.70.00

Economica
49, rue Héricart
75015 Paris Tel. 01.45.78.12.92
Fax: 01.45.75.05.67

Gibert Jeune (Droit-Économie)
6, place Saint-Michel
75006 Paris Tel. 01.43.25.91.19

Librairie du Commerce International
10, avenue d'Iéna
75016 Paris Tel. 01.40.73.34.60

Librairie Dunod
Université Paris-Dauphine
Place du Maréchal-de-Lattre-de-Tassigny
75016 Paris Tel. 01.44.05.40.13

Librairie Lavoisier
11, rue Lavoisier
75008 Paris Tel. 01.42.65.39.95

Librairie des Sciences Politiques
30, rue Saint-Guillaume
75007 Paris Tel. 01.45.48.36.02

P.U.F.
49, boulevard Saint-Michel
75005 Paris Tel. 01.43.25.83.40

Librairie de l'Université
12*a*, rue Nazareth
13100 Aix-en-Provence Tel. 04.42.26.18.08

Documentation Française
165, rue Garibaldi
69003 Lyon Tel. 04.78.63.32.23

Librairie Decitre
29, place Bellecour
69002 Lyon Tel. 04.72.40.54.54

Librairie Sauramps
Le Triangle
34967 Montpellier Cedex 2 Tel. 04.67.58.85.15
Fax: 04.67.58.27.36

A la Sorbonne Actual
23, rue de l'Hôtel-des-Postes
06000 Nice Tel. 04.93.13.77.75
Fax: 04.93.80.75.69

GERMANY – ALLEMAGNE
OECD Bonn Centre
August-Bebel-Allee 6
D-53175 Bonn Tel. (0228) 959.120
Fax: (0228) 959.12.17

GREECE – GRÈCE
Librairie Kauffmann
Stadiou 28
10564 Athens Tel. (01) 32.55.321
Fax: (01) 32.30.320

HONG-KONG
Swindon Book Co. Ltd.
Astoria Bldg. 3F
34 Ashley Road, Tsimshatsui
Kowloon, Hong Kong Tel. 2376.2062
Fax: 2376.0685

HUNGARY – HONGRIE
Euro Info Service
Margitsziget, Európa Ház
1138 Budapest Tel. (1) 111.60.61
Fax: (1) 302.50.35
E-mail: euroinfo@mail.matav.hu
Internet: http://www.euroinfo.hu//index.html

ICELAND – ISLANDE
Mál og Menning
Laugavegi 18, Pósthólf 392
121 Reykjavik Tel. (1) 552.4240
Fax: (1) 562.3523

INDIA – INDE
Oxford Book and Stationery Co.
Scindia House
New Delhi 110001 Tel. (11) 331.5896/5308
Fax: (11) 332.2639
E-mail: oxford.publ@axcess.net.in

17 Park Street
Calcutta 700016 Tel. 240832

INDONESIA – INDONÉSIE
Pdii-Lipi
P.O. Box 4298
Jakarta 12042 Tel. (21) 573.34.67
Fax: (21) 573.34.67

IRELAND – IRLANDE
Government Supplies Agency
Publications Section
4/5 Harcourt Road
Dublin 2 Tel. 661.31.11
Fax: 475.27.60

ISRAEL – ISRAËL
Praedicta
5 Shatner Street
P.O. Box 34030
Jerusalem 91430 Tel. (2) 652.84.90/1/2
Fax: (2) 652.84.93

R.O.Y. International
P.O. Box 13056
Tel Aviv 61130 Tel. (3) 546 1423
Fax: (3) 546 1442
E-mail: royil@netvision.net.il

Palestinian Authority/Middle East:
INDEX Information Services
P.O.B. 19502
Jerusalem Tel. (2) 627.16.34
Fax: (2) 627.12.19

ITALY – ITALIE
Libreria Commissionaria Sansoni
Via Duca di Calabria, 1/1
50125 Firenze Tel. (055) 64.54.15
Fax: (055) 64.12.57
E-mail: licosa@ftbcc.it

Via Bartolini 29
20155 Milano Tel. (02) 36.50.83

Editrice e Libreria Herder
Piazza Montecitorio 120
00186 Roma Tel. 679.46.28
Fax: 678.47.51

Libreria Hoepli
Via Hoepli 5
20121 Milano Tel. (02) 86.54.46
Fax: (02) 805.28.86

Libreria Scientifica
Dott. Lucio de Biasio 'Aeiou'
Via Coronelli, 6
20146 Milano Tel. (02) 48.95.45.52
Fax: (02) 48.95.45.48

JAPAN – JAPON
OECD Tokyo Centre
Landic Akasaka Building
2-3-4 Akasaka, Minato-ku
Tokyo 107 Tel. (81.3) 3586.2016
Fax: (81.3) 3584.7929

KOREA – CORÉE
Kyobo Book Centre Co. Ltd.
P.O. Box 1658, Kwang Hwa Moon
Seoul Tel. 730.78.91
Fax: 735.00.30

MALAYSIA – MALAISIE
University of Malaya Bookshop
University of Malaya
P.O. Box 1127, Jalan Pantai Baru
59700 Kuala Lumpur
Malaysia Tel. 756.5000/756.5425
Fax: 756.3246

MEXICO – MEXIQUE
OECD Mexico Centre
Edificio INFOTEC
Av. San Fernando no. 37
Col. Toriello Guerra
Tlalpan C.P. 14050
Mexico D.F. Tel. (525) 528.10.38
Fax: (525) 606.13.07

E-mail: ocde@rtn.net.mx

NETHERLANDS – PAYS-BAS
SDU Uitgeverij Plantijnstraat
Externe Fondsen
Postbus 20014
2500 EA's-Gravenhage Tel. (070) 37.89.880
Voor bestellingen: Fax: (070) 34.75.778

Subscription Agency/Agence d'abonnements :
SWETS & ZEITLINGER BV
Heereweg 347B
P.O. Box 830
2160 SZ Lisse Tel. 252.435.111
Fax: 252.415.888

NEW ZEALAND – NOUVELLE-ZÉLANDE
GPLegislation Services
P.O. Box 12418
Thorndon, Wellington Tel. (04) 496.5655
Fax: (04) 496.5698

NORWAY – NORVÈGE
NIC INFO A/S
Ostensjoveien 18
P.O. Box 6512 Etterstad
0606 Oslo Tel. (22) 97.45.00
Fax: (22) 97.45.45

PAKISTAN
Mirza Book Agency
65 Shahrah Quaid-E-Azam
Lahore 54000 Tel. (42) 735.36.01
Fax: (42) 576.37.14

PHILIPPINE – PHILIPPINES
International Booksource Center Inc.
Rm 179/920 Cityland 10 Condo Tower 2
HV dela Costa Ext cor Valero St.
Makati Metro Manila Tel. (632) 817 9676
Fax: (632) 817 1741

POLAND – POLOGNE
Ars Polona
00-950 Warszawa
Krakowskie Prezdmiescie 7 Tel. (22) 264760
Fax: (22) 265334

PORTUGAL
Livraria Portugal
Rua do Carmo 70-74
Apart. 2681
1200 Lisboa Tel. (01) 347.49.82/5
Fax: (01) 347.02.64

SINGAPORE – SINGAPOUR
Ashgate Publishing
Asia Pacific Pte. Ltd
Golden Wheel Building, 04-03
41, Kallang Pudding Road
Singapore 349316 Tel. 741.5166
Fax: 742.9356

SPAIN – ESPAGNE
Mundi-Prensa Libros S.A.
Castelló 37, Apartado 1223
Madrid 28001 Tel. (91) 431.33.99
Fax: (91) 575.39.98

E-mail: mundiprensa@tsai.es
Internet: http://www.mundiprensa.es

Mundi-Prensa Barcelona
Consell de Cent No. 391
08009 – Barcelona Tel. (93) 488.34.92
Fax: (93) 487.76.59

Libreria de la Generalitat
Palau Moja
Rambla dels Estudis, 118
08002 – Barcelona
(Suscripciones) Tel. (93) 318.80.12
(Publicaciones) Tel. (93) 302.67.23
Fax: (93) 412.18.54

SRI LANKA
Centre for Policy Research
c/o Colombo Agencies Ltd.
No. 300-304, Galle Road
Colombo 3 Tel. (1) 574240, 573551-2
Fax: (1) 575394, 510711

SWEDEN – SUÈDE
CE Fritzes AB
S–106 47 Stockholm Tel. (08) 690.90.90
Fax: (08) 20.50.21

For electronic publications only/
Publications électroniques seulement
STATISTICS SWEDEN
Informationsservice
S-115 81 Stockholm Tel. 8 783 5066
Fax: 8 783 4045

Subscription Agency/Agence d'abonnements :
Wennergren-Williams Info AB
P.O. Box 1305
171 25 Solna Tel. (08) 705.97.50
Fax: (08) 27.00.71

Liber distribution
Internatinal organizations
Fagerstagatan 21
S-163 52 Spanga

SWITZERLAND – SUISSE
Maditec S.A. (Books and Periodicals/Livres
et périodiques)
Chemin des Palettes 4
Case postale 266
1020 Renens VD 1 Tel. (021) 635.08.65
Fax: (021) 635.07.80

Librairie Payot S.A.
4, place Pépinet
CP 3212
1002 Lausanne Tel. (021) 320.25.11
Fax: (021) 320.25.14

Librairie Unilivres
6, rue de Candolle
1205 Genève Tel. (022) 320.26.23
Fax: (022) 329.73.18

Subscription Agency/Agence d'abonnements :
Dynapresse Marketing S.A.
38, avenue Vibert
1227 Carouge Tel. (022) 308.08.70
Fax: (022) 308.07.99

See also – Voir aussi :
OECD Bonn Centre
August-Bebel-Allee 6
D-53175 Bonn (Germany) Tel. (0228) 959.120
Fax: (0228) 959.12.17

THAILAND – THAÏLANDE
Suksit Siam Co. Ltd.
113, 115 Fuang Nakhon Rd.
Opp. Wat Rajbopith
Bangkok 10200 Tel. (662) 225.9531/2
Fax: (662) 222.5188

TRINIDAD & TOBAGO, CARIBBEAN TRINITÉ-ET-TOBAGO, CARAÏBES
Systematics Studies Limited
9 Watts Street
Curepe
Trinidad & Tobago, W.I. Tel. (1809) 645.3475
Fax: (1809) 662.5654

E-mail: tobe@trinidad.net

TUNISIA – TUNISIE
Grande Librairie Spécialisée
Fendri Ali
Avenue Haffouz Imm El-Intilaka
Bloc B 1 Sfax 3000 Tel. (216-4) 296 855
Fax: (216-4) 298.270

TURKEY – TURQUIE
Kültür Yayinlari Is-Türk Ltd.
Atatürk Bulvari No. 191/Kat 13
06684 Kavaklidere/Ankara
Tel. (312) 428.11.40 Ext. 2458
Fax : (312) 417.24.90

Dolmabahce Cad. No. 29
Besiktas/Istanbul Tel. (212) 260 7188

UNITED KINGDOM – ROYAUME-UNI
The Stationery Office Ltd.
Postal orders only:
P.O. Box 276, London SW8 5DT
Gen. enquiries Tel. (171) 873 0011
Fax: (171) 873 8463

The Stationery Office Ltd.
Postal orders only:
49 High Holborn, London WC1V 6HB

Branches at: Belfast, Birmingham, Bristol,
Edinburgh, Manchester

UNITED STATES – ÉTATS-UNIS
OECD Washington Center
2001 L Street N.W., Suite 650
Washington, D.C. 20036-4922
Tel. (202) 785.6323
Fax: (202) 785.0350
Internet: washcont@oecd.org

Subscriptions to OECD periodicals may also be placed through main subscription agencies.

Les abonnements aux publications périodiques de l'OCDE peuvent être souscrits auprès des principales agences d'abonnement.

Orders and inquiries from countries where Distributors have not yet been appointed should be sent to: OECD Publications, 2, rue André-Pascal, 75775 Paris Cedex 16, France.

Les commandes provenant de pays où l'OCDE n'a pas encore désigné de distributeur peuvent être adressées aux Éditions de l'OCDE, 2, rue André-Pascal, 75775 Paris Cedex 16, France.

12-1996

OECD PUBLICATIONS, 2, rue André-Pascal, 75775 PARIS CEDEX 16
PRINTED IN FRANCE
(10 98 22 1P) ISBN 92-64-15987-8 – No. 49741 1998
ISSN 0376-6438